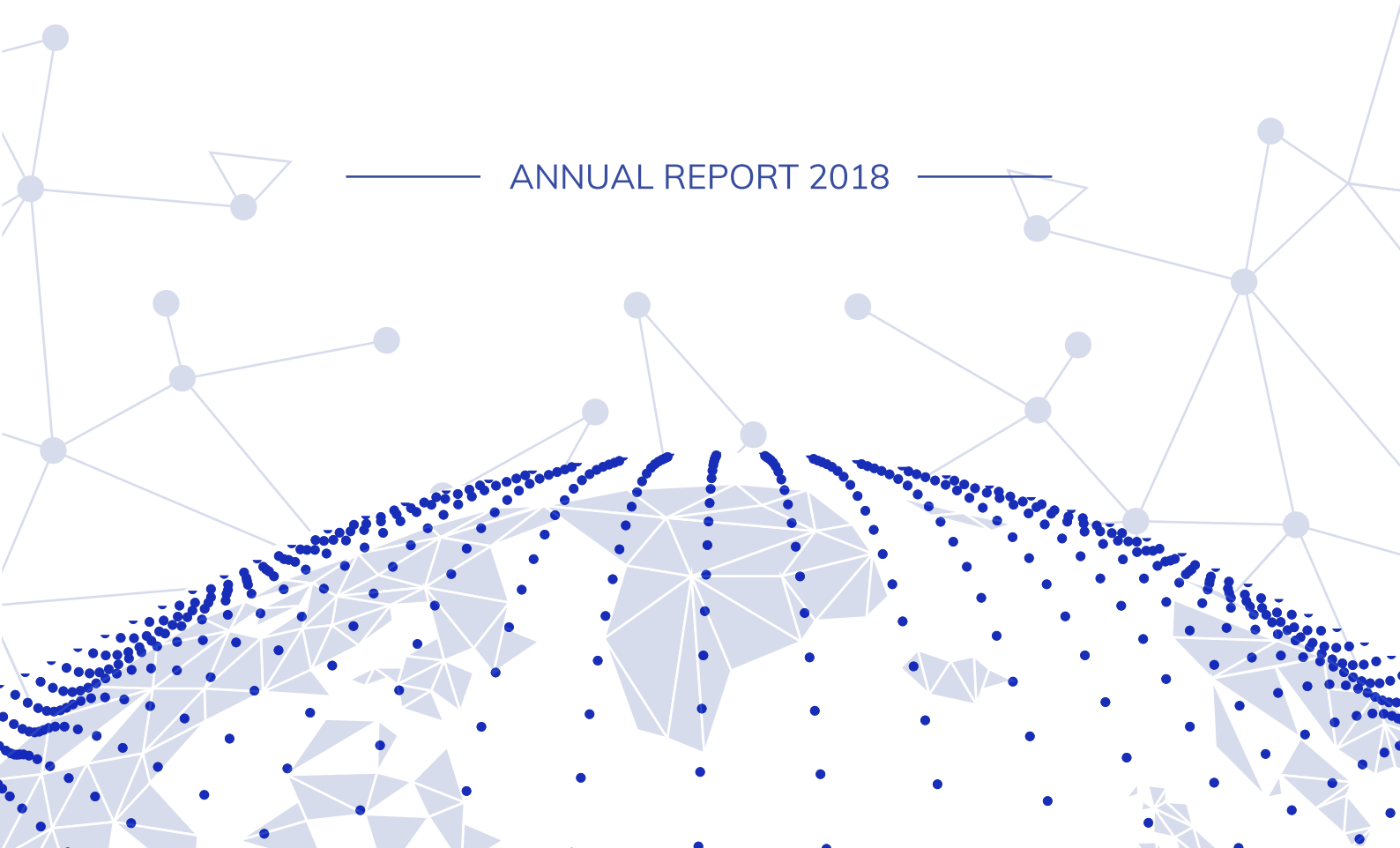
GLOBAL GOING DIGITAL

ANNUAL REPORT 2018



MISSION STATEMENT

To be Number 1, one stop innovative Application Service Provider, for the Financial Industry. Locally, regionally and Globally.

LIST OF COUNTRIES

Malaysia | Singapore | Hong Kong | Macau | Vietnam | Indonesia | Philippines | Thailand | Australia

N2N INDUSTRY CYCLE & COVERAGE

Multi Assets Trading | Buy (Funds) | Sell (Institutional) | Proprietary | Algo | Market Making | Retails
Mobility Access | Routing | Order Management | Back Office | Surveillance | Smart Order Routing
Exchange Gateway | Market Data | Asset Management | Data Center | Cybersecurity | Technical Charting
Information Services | Cloud/Dedicated Hosting | Network |

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MANAGING DIRECTOR'S STATEMENT

> **"It's about being different."**
>
> - Andrew Tiang -

2018 has been a very exciting year for the Group. Following the acquisition of AFE Solutions Limited ("AFE") from Thomson Reuters in 2017, the Group has placed considerable focus on turning around AFE's declining business, particularly the provision of information service terminals which was one of the core business of AFE alongside rental of front office trading and back office settlement systems. Back in 2012, AFE had over 15,000 information service terminals deployed at customers' premise but over a span of 5 years the numbers were reduced by half.

We are pleased to report that after devoting 18 months of relentless effort, AFE achieved a 300% improvement in its core profits resulting from effective cost management and rationalization strategies and stabilized its business operations. Having achieved the turnaround success, the Group's focus this year shall be directed at expanding the business of AFE in Hong Kong.

The Group has also garnered encouraging results in other countries abroad with several new clients being secured in Philippines, Indonesia, and Thailand. The Group's foray into the regional market has been a success. Currently revenues from countries outside of Malaysia accounts for two-third of the Group's turnover thus providing the Group with the benefit of a diverse market. Together with Malaysia, the Group has a customer base comprising a panel of over 100 investment banks and brokerages spread across the Asia Pacific region.

Regretfully, the Group suffered an unexpected setback during the year owing to the additional taxes that arose just prior to the GE14. The Malaysian Inland Revenue Board (MIRB) had challenged the Group's stand on capital allowance for in-house development cost, taking the view that such capital allowance was not claimable.

Resulting from this, the Group had to bear additional taxes including penalties that impacted the bottom line of the Group causing the net profit after tax to take a hit of RM5.3 million. Apart from this, the second round of the weakening Ringgit against the US Dollar contributed to a contraction of profits by RM7.8 million owing to unrealized foreign exchange losses. The issue surrounding the taxes, and the weakening of the Ringgit against the US Dollar were the main reasons for the Group's profit after tax to experience a contraction of 46% compared to the preceding year.

However, the business remains strong and resilient as can be seen from real growth measured by reference to the 49.9% jump in core profits despite a moderate revenue growth of 11%.

During the year, the Group saw the entrance of two new strategic investors that would play a key role in the Group's exciting plans to push for the adoption of blockchain for a digital capital market. SBI Holdings Inc ("SBI") and SBI Japannext Co., Ltd. ("SBI JNX") each took up substantial shareholdings in the Group respectively and collectively, emerged as the largest shareholder of the Group.

The revolutionary possibilities of blockchain technology has been likened to those of the internet and for the past 3 years, the Group has been working on piecing together the strategic components that are required to bring the technology to mainstream adoption in the capital markets. Currently, securities token and securities token offering have attracted a lot of attention from capital markets around the world and countries like United States, Switzerland and Singapore have taken the lead in regulating the offer and trading of digital tokens including crypto currencies. In line with this movement, the regulators in other countries, including Malaysia, are currently in the process of regulating the requirements for activities surrounding securities token and crypto currencies.

Securities token and crypto currencies promise a huge opportunity for the Group moving forward and this motivated the Group to seek alliances with suitable parties who are proficient in the field. The Group was delighted to have found SBI and SBI JNX who both have the expertise and experience in blockchain, digital tokens and the operations of capital markets. Interestingly, both the Group and the visionary founder and CEO of SBI Group, Mr Yoshitaka Kitao, shared the same vision in relation to the future of the capital markets around the world and how blockchain and digital tokens would evolve the capital markets. Mr Yoshitaka Kitao is an ardent supporter of disruptive technologies and hopes to realize his vision for a digital capital market where securities token would be offered, purchased and traded on a digital asset exchange with crypto currencies widely recognized as a medium of payment. It is no wonder that SBI has been reported as the largest investor in companies that are focused on Fintech and other disruptive technologies.

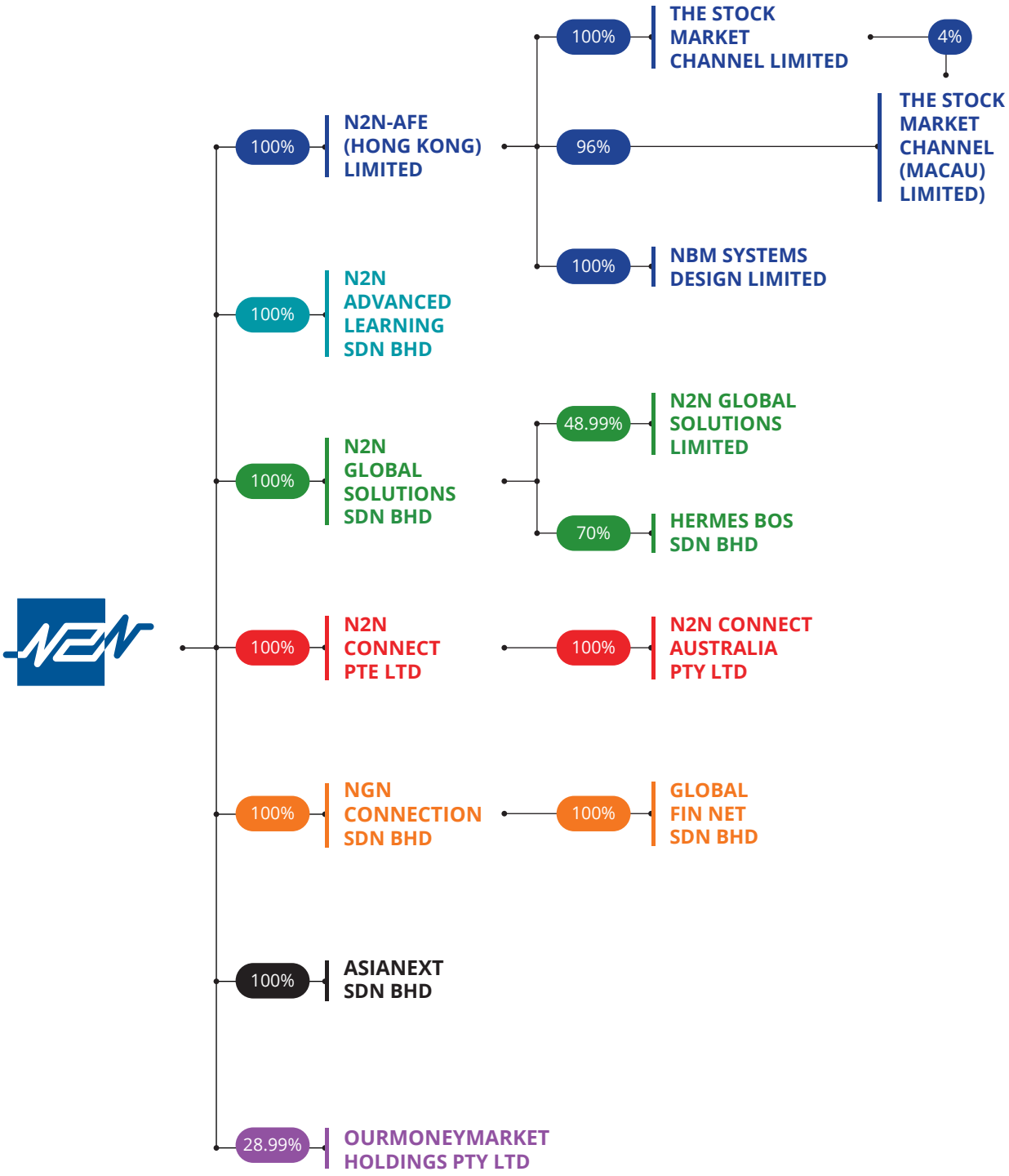
SBI was attracted to the Group's Asia Trading Hub, which is a trading platform connecting key capital markets across the Asia Pacific region. The common vision and intentions to evolve the capital markets through the adoption of blockchain technologies served to confirm the right fit for a strategic collaboration between both parties. It was clear to SBI and the Group that each party had unique strengths and each held a strategic piece of the entire equation that would transform the shared vision into reality.

Towards this end, the Group will spearhead the efforts of developing the digital asset capital market platform via AsiaNext. AsiaNext is set to be a digital asset exchange platform that will provide a comprehensive range of services that would support a digital capital market ecosystem.

The Group is optimistic that its collaboration with SBI will lead the Group into the next phase of business growth.

N2N CONNECT BERHAD

CORPORATE STRUCTURE


100%
N2N-AFE (HONG KONG) LIMITED
100%
THE STOCK MARKET CHANNEL LIMITED
4%
96%
THE STOCK MARKET CHANNEL (MACAU) LIMITED)
100%
NBM SYSTEMS DESIGN LIMITED
100%
N2N ADVANCED LEARNING SDN BHD
100%
N2N GLOBAL SOLUTIONS SDN BHD
48.99%
N2N GLOBAL SOLUTIONS LIMITED
70%
HERMES BOS SDN BHD
100%
N2N CONNECT PTE LTD
100%
N2N CONNECT AUSTRALIA PTY LTD
100%
NGN CONNECTION SDN BHD
100%
GLOBAL FIN NET SDN BHD
100%
ASIANEXT SDN BHD
28.99%
OURMONEYMARKET HOLDINGS PTY LTD

BOARD OF DIRECTORS

TIANG BOON HWA
Managing Director

LAI SU PING
Non-Independent Executive Director

AKIO FURUSE
Non-Independent Non-Executive Director

MASASHI SHINDO
Non-Independent Non-Executive Director

YBHG DATO' TAN BOON LENG
Independent Non-Executive Director

ELAINE FOONG SOOI JADE
Independent Non-Executive Director

GOH CHING CHEE
Independent Non-Executive Director

FATHI RIDZUAN BIN AHMAD FAUZI
Independent Non-Executive Director
(Appointed on 30 May 2018)

CORPORATE INFORMATION

COMPANY SECRETARIES
Ho Mun Yee (MAICSA 0877877)
Tam Fong Ying (MAICSA 7007857)

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50350 Kuala Lumpur
T: 603. 4044 3235
F: 603. 4041 3959
email: esprit@espritms.com.my

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Wisma N2N
Level 9, Tower 2,
Avenue 3
Bangsar South
No.8, Jalan Kerinchi
59200 Kuala Lumpur
T: 603. 2241 1818
F: 603. 2241 1616
website: www.n2nconnect.com

AUDITORS
Morison Anuarul Azizan Chew
(AF 001977)
Chartered Accountants
18, Jalan 1/64
Off Jalan Kolam Air / Jalan Ipoh
51200 Kuala Lumpur
T: 603. 4048 2888
F: 603. 4048 2999

REGISTRAR
Boardroom Share Registrars
Sdn. Bhd. (Co. No. 378993-D)
(formerly known as Symphony
Share Registrars Sdn. Bhd.)
Level 6, Symphony House
Pusat Dagangan Dana 1
Jalan PJU 1A/46
47301 Petaling Jaya, Selangor
T: 603. 7841 8000
F: 603. 7841 8151 / 8152

PRINCIPAL BANKERS
Standard Chartered Saadiq Berhad
OCBC Bank (Malaysia) Berhad

STOCK EXCHANGE LISTING
ACE Market of Bursa Malaysia
Securities Berhad
Stock Name: N2N
Stock Code: 0108.KL

DIRECTORS' PROFILE

MR. TIANG BOON HWA

56 years of age, Male

Managing Director

Mr. Tiang Boon Hwa joined the Company as a founder, and appointed to the Board of the Company on 24 August 2000.

For the last 18 years, he has been the visionary leader of the Group and played an instrumental role in the advancement of the Company's business model, product innovation and solution offering. Under his leadership, the Group has expanded its business beyond the Malaysian shores with market presence established in 9 countries across the Asia Pacific region. He plays a key role in steering the Group towards the creation of Asia Trading Hub and aims to extend the hub's reach to cover 12 Asian countries to promote inter-Asia trades, intra-Asia trades and also trades with brokers and exchanges in US, Europe and Middle East.

After receiving a diploma in Computer Studies from City and Guilds of London Institute, Mr. Tiang spent the beginning of his career in SGV Goh Tan Pte Ltd as a trainee programmer in 1983. In only a span of four years, he rose to become a senior at the firm and was subsequently hired by Citibank, N.A. as the head of regional IT Audit for the South Asian region in 1988. A year later, he was awarded the Best IT Auditor in the Asia Pacific Region for his numerous recommendations that helped strengthen the security and operational efficiency of banks. In 1990, he was hired by Computer Associates (CA) Malaysia as a senior consultant but later turned into an account manager in order to help boost sales. In less than 2 years, he was promoted and relocated to lead Computer Associate as its new Managing Director for both Malaysia and Brunei.

In 1996, he became the regional director of i2 Technologies Pte Ltd with the responsibility of promoting manufacturing, planning and logistic optimisation in several key Asian countries. In 1998, he was hired by Exact Software N.V. to lead the Asia Development Centre of Exact Software Asia Sdn Bhd, where he successfully grew the employee count of the company from 30 to 220 in the short period of one year.

Having gained extensive knowledge in system analysis, programming, consulting, sales and business management, Mr. Tiang decided to start his own company, N2N Connect Sdn Bhd in the year 2000, alongside a few of his ex-colleagues. In just 5 years, Mr. Tiang and his team had successfully developed the biggest ASP model in the Capital Market and achieved public listing as N2N Connect Berhad (N2N). Today N2N is the largest online trading platform provider in Asia with operations spreading across Malaysia, Singapore, Indonesia, Vietnam, Thailand, Hong Kong, Macau, Vietnam and Australia.

Mr. Andrew is also an adjunct professor of the Management & Science University (MSU) since 2017 where he shares his experience and knowledge with students in hopes of inspiring them in business and entrepreneurship.

He does not hold any directorships on the Board of other public listed companies in Malaysia.

He is a substantial shareholder of the Company and spouse of Mdm. Lai Su Ping.

Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 174 of this Annual Report for his securities holding.

MDM. LAI SU PING

48 years of age, Female

Non-Independent Executive Director

Mdm. Lai Su Ping joined the Company as a founder, and was appointed to the Board in the position of Executive Director on 10 August 2000.

Her current role is oversees to corporate communication, human resources, social responsibility. She is also the Director of N2N-AFE in Hong Kong and Macau. She has a total of 25 years of experience in marketing and project management of large scale events.

After receiving her diploma from Chartered Institute of Marketing, UK, she started her career in 1988 as a marketing executive for Yonex Sdn Bhd and later she joined Kumpulan Jetson Berhad as a project executive specialising in events and exhibition organisation. In 1994, she joined Computer Associates (M) Sdn Bhd as a channel manager where she was instrumental in establishing a customer service team as well as setting up channel sales vita the appointment of product distributors.

She does not hold any directorships on the Board of other public listed companies in Malaysia.

She sits as the Chairperson of the Option Committee.

She is a substantial shareholder of the Company and spouse of Mr. Tiang Boon Hwa. She is also one of the steering committee members on the successful acquisition of AFE.

Within the last 5 years, she has not been convicted for any offences, other than traffic offences, if any. Please refer to page 174 of this Annual Report for his securities holding.

YBHG DATO' TAN BOON LENG

53 years of age, Male

Independent Non-Executive Director

Ybhg Dato' Tan Boon Leng was first appointed to the Board of the Company on 15 April 2009. He was a Director of Century Bond Bhd ("Century Bond") group of companies and he has over 32 years of business experience and contributed to the growth and expansion of the business of Century Bond and its subsidiaries especially in the areas of sales and marketing of the Century Bond Group's products.

He sits as the Chairman of the Nomination and Remuneration Committee and as a member of the Audit Committee.

He does not hold any directorships on the Board of other public listed companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 174 of this Annual Report for his securities holding.

MS. ELAINE FOONG SOOI JADE

43 years of age, Female

Independent Non-Executive Director

Ms. Elaine Foong Sooi Jade was appointed to the Board of the Company on 15 March 2016. Ms. Foong is a fellow member of The Association of Chartered Certified Accountants, and a member of the Malaysian Institute of Accountants. She began her career in 1999 with Messrs. KPMG, Malaysia in the audit and assurance division. Subsequently, in 2001, she joined Messrs. Chio Lim & Associates, Singapore as Audit Team Lead. During this time, she led teams for various engagements, including the successful completion of two initial public offerings on the Singapore Stock Exchange. In 2004, Ms. Foong joined N2N Connect Berhad as Head of Finance Department. She was instrumental in N2N Connect Berhad's successful initial public offering exercise in 2005. During her tenure with the Company, she oversaw the finance, human resource, administrative, legal and compliance functions, and was very actively involved in business restructuring exercises, corporate proposals and strategic planning exercises. She left the Company in February 2014. Presently, she is co-partner cum chief trainer at the Alam Damai branch of the Pinoki Brain Training network, a Japanese-based whole-brain training program which enhances a child's memory and learning ability.

She does not hold any directorships on the Board of other public listed companies in Malaysia.

Ms. Foong sits as a Chairperson of the Audit Committee, member of Nomination and Remuneration Committee and Option Committee.

She does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, and has no conflict of interest with the Company and has no conviction for any offences within the past 5 years other than traffic offences, if any.

MR. AKIO FURUSE

48 years of age, Male

Non-Independent Non-Executive Director

Mr. Akio Furuse was appointed to the Board of the Company on 7 July 2014. Mr. Furuse held various posts in QUICK Corp., including Staff of Sales Headquarters (Japan), Assistant Manager of London Branch (United Kingdom), Solutions Manager of Business Planning Department (Japan) and Deputy General Manager of Global Business Department (Japan). He serves as General Manager for Business Development at Nikkei Group Asia Pte. Ltd. (Singapore). He holds a Bachelor Degree in Sociology from Kansai University, Japan.

He does not hold any directorships on the Board of other public listed companies in Malaysia. Mr. Furuse sits as a member of the Nomination and Remuneration Committee and Option Committee of the Company.

He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, no conflict of interest with the Company and has no conviction for any offences within the past 5 years other than traffic offences, if any.

MR. GOH CHING CHEE

59 years of age, Male

Independent Non-Executive Director

Mr. Goh Ching Chee was appointed to the Board of the Company on 5 January 2018. Mr. Goh is currently the Business Development Head of Zenith Properties and holds the position of Independent Non-Executive Director of India International Bank (Malaysia) Berhad. He joined Citibank Berhad (Citibank) in 1985 to help set up Citibank Retail Bank's own computer section and services. From there, he took on various responsibilities including Programming, Audit, Quality Assurance, Sales Management, Business Development and Business Management. His last position with Citibank was Executive Vice President and the Managing Director for the Mortgage Business for Citibank Malaysia. He had oversight over the Mortgage Business for Citibank Thailand as well.

He has no family relationship with any other directors or major shareholders of the Company.

Mr. Goh sits as a member of Nomination and Remuneration Committee and Audit Committee.

He is also an Independent Non-Executive Director of India International Bank (Malaysia) Berhad.

There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 174 of this Annual Report for his securities holding.

MR. MASASHI SHINDO

58 years of age, Male

Non-Independent Non-Executive Director

Mr. Masashi Shindo was appointed to the Board of Company on 30 March 2017. Mr. Shindo is currently the Managing Executive Officer at Nikkei Inc. and Managing Director at Nikkei Group Asia Pte Ltd. He joined Nikkei Inc. in 1984 and held various posts as a writer and editor in Tokyo and Europe as well as a correspondent in Paris, Milan and Vienna before being appointed as General Manager of Global Business Bureau at Nikkei from 2015 to 2018. He holds a Bachelor of Arts degree (Sociology) from Tokyo University, Japan.

He does not hold any directorships on the Board of other public listed companies in Malaysia.

He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, no conflict of interest with the Company and has no conviction for any offences within the past 5 years other than traffic offences, if any.

EN. FATHI RIDZUAN BIN AHMAD FAUZI

54 years of age, Male

Independent Non-Executive Director

En. Fathi Ridzuan Bin Ahmad Fauzi was appointed to the Board on 30 May 2018 as an Independent Non-Executive Director. He graduated with Bachelor of Science Degree in Accounting and Financial Analysis from the School of Industrial and Business Studies, University of Warwick, Coventry, United Kingdom.

He has almost 30 years of experience in the corporate world, spent largely in the capital market. He was in the Kuala Lumpur Stock Exchange, MESDAQ and Bursa Malaysia in various senior positions for more than 15 years, with his last position as Head of Exchanges.

He also spent more than 3 years in the Business Process Outsourcing (BPO) industry with VADS Berhad and IX.com Sdn Bhd.

Currently, Encik Fathi Ridzuan also sits on the Board of Advancecon Holdings Berhad, and Jiankun International Berhad.

He has no family relationship with any Director and/or major shareholder of the Company, no conflict of interest with the Company and has no conviction for any offences within the past 5 years other than traffic offences, if any. Please refer to page 174 of this Annual Report for his securities holding.

KEY SENIOR MANAGEMENT

MR. TIANG BOON HWA

56 years of age, Male

Managing Director

Please refer to Directors' Profile section for Mr. Tiang Boon Hwa's profile.

MDM. LAI SU PING

48 years of age, Female

Non-Independent Executive Director

Please refer to Directors' Profile section for Mdm. Lai Su Ping's profile.

MR. KOK WAN CHUN

51 years of age, Male

Chief Financial Officer

Mr. Kok Wan Chun joined the Company as a Senior Finance Manager in May 2018, and later appointed to be N2N's first Chief Financial Officer in 13 February 2019.

His current responsibilities revolves around the financial planning of the Company, inclusive of analysis of financial strengths and weaknesses, company's investments and capital structure. He possesses a good breadth of and depth of financial and business operations expertise given his 25 years of experience in various senior management roles covering finance, corporate finance, capital management, group corporate treasury, strategic planning, mergers and acquisitions, strategic alliances and initiatives. Additionally, he has extensive hands-on experience in management and leading strategic initiatives including business management and growth, operations management, sales management and service delivery management which span across multiple lines of business.

Mr. Kok graduated from the TAR College with a professional accounting qualification from ACCA (UK), and a diploma in Financial Accounting. Following the graduation at the age of 26, he has been in Patimas (MD) Sdn Bhd from an accounts assistant in 1993 to being a financial controller in 1999. In the year 2000, he joined Corcoda Corpoation as a financial controller and later promoted to be the General Manager of Sales & Operations in the year 2004. In the same year, he rejoined Patimas (MD) Sdn Bhd as a financial controller and eventually appointed to be the Chief Operating Officer of the company in the year 2011. After that, Mr. Kok decided to take a step back from the corporate life and settle himself into being a sessional lecturer of Sunway University and Monash University, and a corporate consultant respectively.

He does not hold any directorships in public listed companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

MR. CHAN SEE WAI

46 years of age, Male

Technical Director

Mr. Chan See Wai joined the Company as a founder, and appointed the position of Technical Director on 2 January 2004.

See Wai's current role is to drive the technological advancement and quality of the Company's trading platforms across Asia. He has a total of 20 years of experience in management, software development & architecture.

After receiving his Bachelor of Computer Science degree from Western Michigan University, See Wai spent 5 years of his early career in BASS Consulting Sdn. Bhd. in analysing, designing and programming an internet online trading system. Prior to that, he was a software engineer at Federal Computer System Sdn Bhd.

He does not hold any directorships in public listed companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

MR. LAI WEI SUEN

46 years of age, Male

Regional Head

Mr. Lai Wei Suen joined the Company in the year 2004, and appointed the position of Regional Head on 1 January 2013.

His current role is responsible for development and management of the Company's regional branches.

After receiving his Bachelor of Computer Science degree from University of Hertfordshire, Wei Suen spent 2 years at Cybertouched Sdn Bhd Malaysia. as a Presales Consultant. Then, he joined Abacus International Pte Ltd as a development lead. Since 2004, he joined the company as the Lead Implementation for managing development teams spanning Malaysia, Singapore and Vietnam. Mr. Lai left N2N and joined ID Pte Ltd as Senior Consultant in 2009. He then re-joined N2N in May 2011 as Principal Consultant.

He does not hold any directorships in public listed companies in Malaysia.

Mr. Lai Wei Suen is the younger brother of Mdm. Lai Su Ping. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

MR. JUNIOR LOH

46 years of age, Male

Head of Sales

Mr. Junior Loh joined the Company in the year 2014, and appointed the position of Head of Sales on 13 January 2017.

His current role revolves around handling the business development for both local and international clients.

After receiving his Bachelor of Computer Science degree from University of Manchester, Junior spent 15 years of his career in software development and sales management around the financial industry in the ASEAN region.

He does not hold any directorships in public listed companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 5 years, he has not been convicted for any offences, other than traffic offences, if any.

MR. LI KA FUK

45 years of age, Male

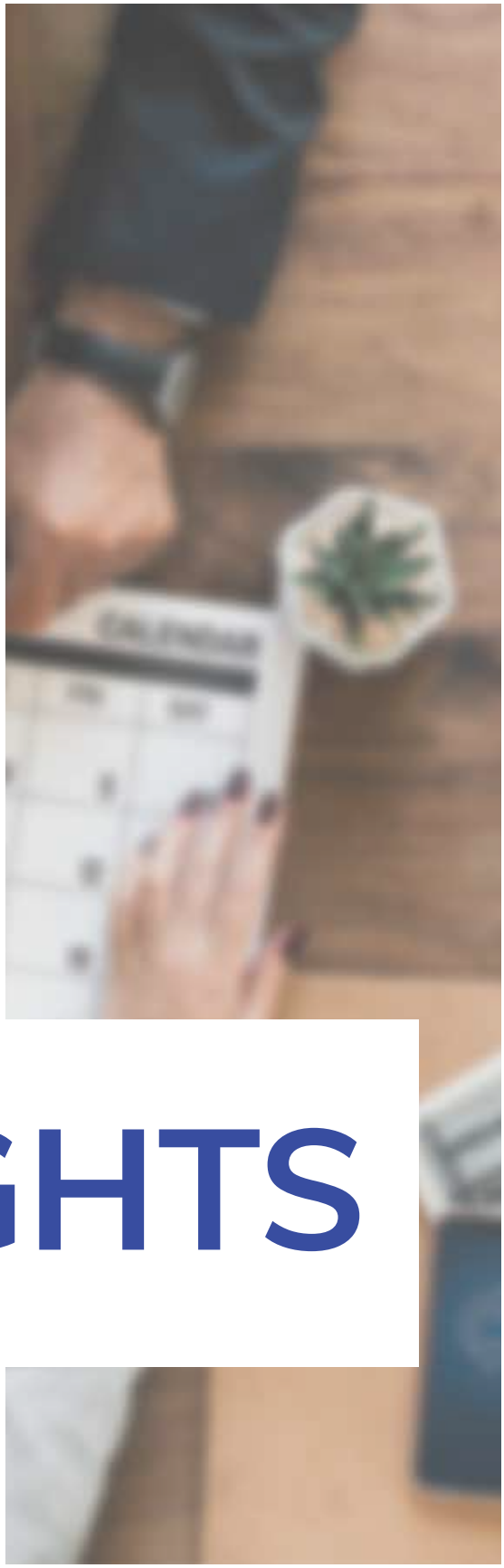
Manager, Products and Solutions Consultancy

Mr. Li Ka Fuk was appointed as Manager, Products and Solutions Consultancy on 16 April 2015.

He graduated with a Bachelor Degree of Engineering from the Chinese University of Hong Kong in 1997. He started his career as System Consultant in Sulcus Hospitality Limited in 1997. In 1998, he joined The Hong Kong Institution of Engineers as computing officer. He then worked in Systek Information Technology Ltd as project manager in 2000. Since 2003, he worked in N2N-AFE (Hong Kong) Limited ("AFE") (formerly known as AFE Solutions Limited) as Project Manager - Project Management Office and was then promoted as Senior Manager - Project Management Office in 2008. Mr. Li left AFE and joined Masterlink Securities Limited as Trader in 2008. He then re-joined AFE in April 2015.

He does not hold any directorships in public listed companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last years, he has not been convicted for any offences, other than traffic offences, if any.



EVENT HIGHLIGHTS

Bootcamp
- at Khao Yai, Thailand

N2N Employee Health Programme
- Medical Check-Up

UM Student Visit
- at N2N Connect

30 Jan

22 Feb

10 Apr

15 Apr

23 Apr

25 May

Chinese New Year
- Lou Sang Dinner

LovePlayCare
- Apek Hill Hiking Trip

N2N Connect Berhad
- 17th Annual General Meeting (AGM)

N2N - AFE (Hong Kong) Limited
- Annual Dinner

N2N Employee Health Programme
- Zumba Dance Class

"Do Good" Community Project
- Blood Donation

30 May

28 Jun

11 Jul

18 Sept

14 Nov

15 Dec

N2N Connect Berhad
- Hari Raya Open House Dinner

Company Incentive Trip
- to Lijiang, China

Christmas Celebration
- at Tom, Dick & Harry

LOVE PLAY CARE

MANAGEMENT DISCUSSION & ANALYSIS

OVERVIEW

N2N Connect Berhad ("N2N' or "The Group") is one of the largest provider of online real-time trading platforms for capital markets that stretches across key markets in the Asian region, namely Malaysia, Singapore, Hong Kong, Vietnam, Indonesia, Philippines and Thailand.

At present, Malaysia and Hong Kong are the two largest markets for N2N in which it has a market share of 70% and 40% respectively.

Throughout the years since its inception, N2N has always placed its customers' business needs as its guide for innovation and development of solutions and services.

Throughout the many years of development and innovation, N2N now provides its customers a comprehensive trading platform as opposed to a mere trading solution. The trading platform caters for all the front office trading requirements of customers and offers access through terminals, web and mobile. Apart from handling order routing and price feeds, the trading platform also provides customers with advanced charting and analytical tools together with market data and rich information feeds, enabling users to elevate their decision making capabilities. The trading platform also offers a fully integrated back office settlement solution that is capable of helping customers improve productivity and increase cost efficiencies.

By design, N2N's trading platform has been developed to cater for multi-asset classes, multi-markets and multi-currencies rendering it a trading platform that truly serves global needs.

The trading platform is offered to customers on a managed services model and for most customers, N2N offers its managed services to encompass provision, monitoring plus management of network, IT equipment and data centre colocation.

Moving forward, in anticipation of customers' need to pursue revenue growth, N2N is stepping up efforts to complete its Asia Trading Hub ("ATH"). The ATH, upon completion, will connect all N2N customers across the region into a single Pan Asian trading platform capable of promoting cost effective cross border trades. The accessibility to other key markets in the region is envisaged to drive revenue potentials for both N2N and its customers.

At present, there is a rising demand for the adoption of blockchain technologies and digital assets trading in capital markets and the trend is observed across most key capital markets globally. In Malaysia, the Securities Commission ("SC") has amended its Guidelines on Recognised Markets on 31 January 2019 to regulate the trading of digital assets as part of SC's efforts to promote innovation whilst ensuring investor protection in the trading of digital assets. The amended guidelines follows the coming into force of the Capital Markets and Services (Prescription of Securities) (Digital Currency and Digital Token) Order 2019 on 15 Jan 2019.

N2N aims to capitalize on the amended guidelines from the SC and pursue the opportunities of operating a digital asset exchange. N2N's plans to venture into the operation of a digital asset exchange is strengthened through its collaboration with one of its Japanese investors, SBI Holdings Inc ("SBI"). SBI is one of the largest investors in blockchain technology and have strategic investment stakes in various blockchain related companies across the world. The solutions and expertise of these companies bring together all the key elements that are required to complete the offerings of a digital asset exchange. SBI currently operates its own digital asset exchange in Japan that allows the trading of selected digital currencies.

OBJECTIVES AND STRATEGIES

N2N continues to adhere to its main objective of creating a strong and profitable platform for the mutual benefit of all its shareholders and stakeholders based on the following 3-prong strategy:

(a) The existing business segment comprising participating organizations of stock exchanges in Malaysia, Singapore, Hong Kong, Philippines, Indonesia, Vietnam and Thailand will continue to be N2N's key focus. With our customers in mind, we are focused to complete setting up the Asia Trading Hub to help promote greater cross border trades for our customers.

(b) It is an opportune time to address the needs of our customers and prospective customers who are seeking to replace their aging back office settlement systems with the aim of achieving cost efficiencies and overcoming critical challenges.

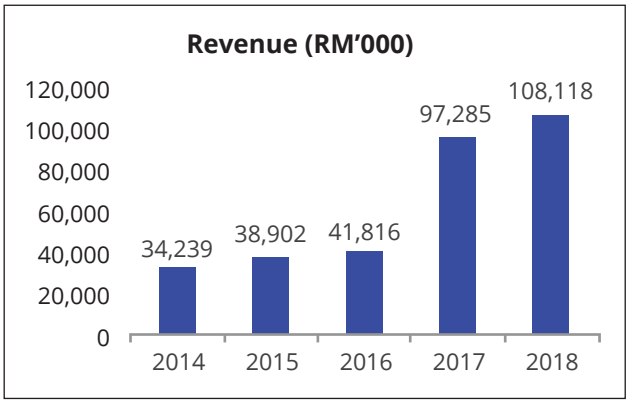
(c) N2N will focus on capitalizing on the opportunity presented by the rising interest for digital asset exchange in the region encompassing countries where N2N has already established its footprint. N2N aims to set up a digital asset exchange in each of these countries (subject to the regulations of respective countries) which is expected to provide N2N with a new revenue stream in the near future.

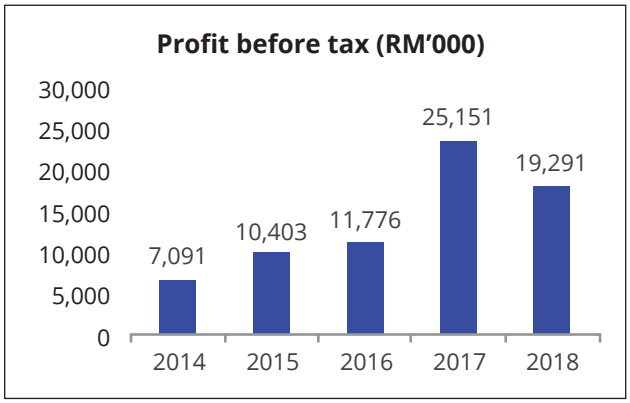
REVIEW OF FINANCIAL PERFORMANCE

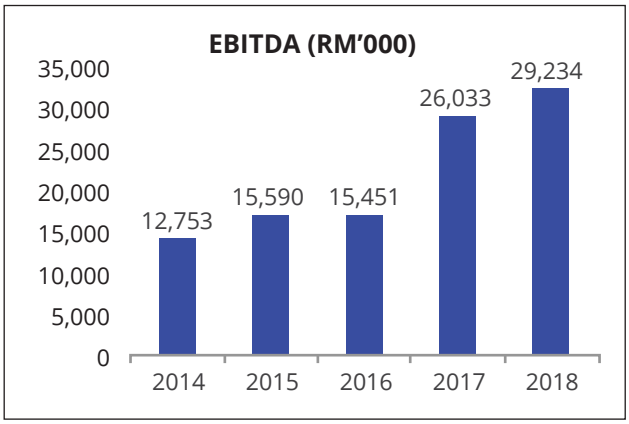
5 YEAR FINANCIAL SUMMARY

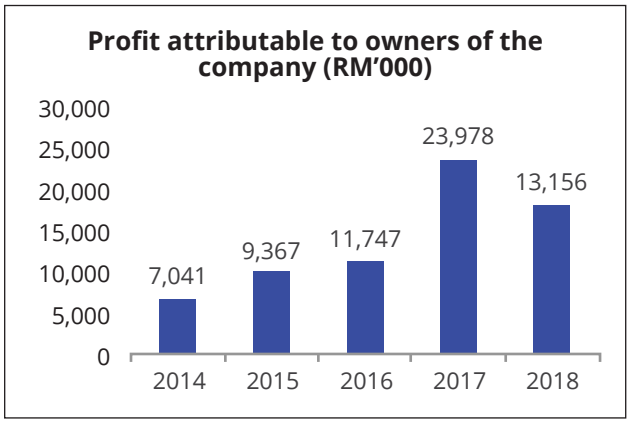
	2014	2015	2016	2017	2018
	RM'000	RM'000	RM'000	RM'000	RM'000
Revenue	34,239	38,902	41,816	97,285	108,118
Profit before tax	7,091	10,403	11,776	25,151	19,291
Earnings before interest, tax, depreciation and amortization ("EBITDA")	12,753	15,590	15,451	26,033	29,234
Profit attributable to owners of the company	7,041	9,367	11,747	23,978	13,156
Core profit *	5,320	4,937	5,618	11,479	17,208
Earnings per share (Basic) (sen)	1.90	2.13	2.49	5.11	2.46

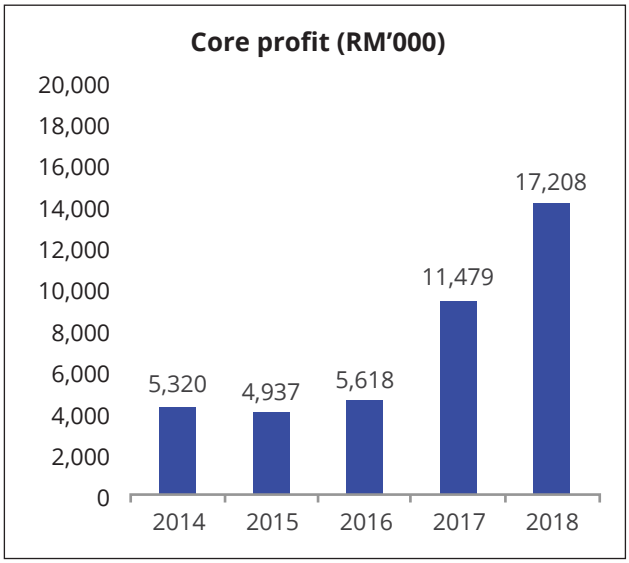
* *Core profit represents the profits of the Company excluding unrealised gains/losses on foreign exchange and one-off taxes and penalties (which are not expected to recur). Core profit helps to provide a guide for assessment of the Company's actual performance arising from its normal business activities by excluding non-recurring gains or losses including unrealised gains and losses.*











In comparison to the preceding financial year, the Group's revenue increased by 11.13% to RM108.12 million whilst profit before tax came in at RM19.29 million. The 23.3% reduction of profits before tax in comparison to preceding year was attributed to unrealised foreign exchange gains recorded in the preceding year and the incurrence of a one-off additional tax liability and tax penalty in the current financial year.

In the preceding financial year, the strengthening of the Ringgit against US Dollar resulted in an unrealised foreign exchange gain amounting to RM7.83 million. However, the Ringgit traded weaker against the US Dollar in 2018 which resulted in unrealised foreign exchange loss of RM0.38 million.

For the financial year ended 31 December 2018, the Group incurred a one-off additional tax liability and tax penalty amounting to RM6.38 million that further reduced the Group's profit before tax.

Despite the lower profit before tax, the core profit of the Group improved by 49.92% or RM5.73 million. The Group generated a core profit of RM17.21 million in 2018 against RM11.48 million in the preceding year. In the preceding financial year, unrealised foreign exchange gains contributed to 31.15% of the profit before tax.

The Group uses core profit to track its real performance which is a measurement of profits before tax after excluding the unrealised gains/losses on foreign exchange and the one-off tax penalty (which are not expected to recur in subsequent year).

The improvement in core profit of the Group is mainly attributed to improvements in revenue and margins. Revenue improvements were mainly contributed by the Group's Hong Kong entity, N2N-AFE Limited as a result of a full year's consolidation of its financials (only 9 months were consolidated in the preceding year in view of the acquisition date).

CAPITAL EXPENDITURE

The Group's capital expenditure in respect of property, plant and equipment and computer software development cost in 2018 amounted to RM6.89 million. We will continue to invest in Malaysia and overseas that will also take up some of our capex.

REVIEW OF OPERATIONS

N2N believes that its continued focus on innovation and achievement of technological breakthroughs will strengthen its position as the preferred integrated trading platform provider in the regional capital markets.

Technology has transformed ever so rapidly in recent years and has resulted in the emergence of a large pool of creative and dynamic entrepreneurs in the marketplace. To participate actively in the technological race, N2N will be looking out for suitable targets for mergers and acquisitions to speed up achievement of technological breakthroughs.

At the same time, the involvement of SBI as a substantial shareholder of N2N has started to provide the momentum for N2N to progress towards its goals of venturing into the domain of digital asset exchange. Moving ahead in 2019, N2N and SBI will be working closely with one another to set up digital asset exchanges in Malaysia and other key markets in the region.

ANTICIPATED OR KNOWN RISKS

OPERATIONAL AND SYSTEM FAILURES

N2N's business operations are highly dependent on the reliability of the computer system, hosted environment, infrastructure and equipment. N2N mitigates the risks of operational and system failures through vigorous monitoring and management of its system round the clock and adequate back-ups including fail over procedures that are designed to ensure continued operations and service availability.

VOLATILITY OF THE SECURITIES AND FUTURES MARKET

Particularly for prospective customers, the volatility of the securities and futures market that might cub their decision to spend and result in loss of opportunity for N2N. Nonetheless, N2N operates regionally and is therefore able to diversify the risk and avoid over reliance on the market of a particular country.

ADEQUACY OF HUMAN RESOURCES

A competent, knowledgeable and talented pool of employees will continue to be a key driver of N2N's business moving forward. N2N pays a significant amount of attention on employee hiring and retention programs to ensure that the business will be supported by sufficient manpower. In 2018, N2N announced a Long Term Incentive Plan (LTIP) comprising employee share grants and employee share options as part of its employee retention plans. The LTIP is envisaged to promote greater employee loyalty and mitigate employee attrition.

DIVIDENDS

N2N continues to pay dividends after considering the level of available funds, the amount of retained earnings, capital expenditure commitments and other investment planning requirements.

In line with our continued focus on shareholder returns, first and second interim single-tier dividends of 3 sen per share and 1 sen per share respectively was paid for the financial year ended 31 December 2018.

OUTLOOK

N2N foresees that one of the key areas of growth opportunity for its customers evolves around the retail sector particularly internet and mobile trading.

N2N believes that trades from retail investors will be a key driver for most of its customers. Towards this end, N2N is optimistic that the multi-asset class, multi-markets and multi-currency trading platform that it offers will have a clear edge over other competing products. N2N's trading platform offers the convenient choice of terminal trading, web based trading and mobile trading integrated into a single system. Also, N2N's trading platform has a unique architecture that is designed to manage the needs of both institutional and retail trades unlike most of the competing products that focuses on institutional trades.

At the same time, the pivotal role played by the Securities Commission ("SC") in driving growth with its focus on driving digitisation within the capital market augurs well with N2N's moving forward plans. In early 2018, SC and Bank Negara Malaysia established Brokerage Industry Digitisation Group (BRIDGe), a joint working group between the regulators and industry to accelerate digitisation of the stockbroking industry.

Based on the above, N2N believes that the outlook for its business remains positive in the coming financial year.

SUSTAINABILITY STATEMENT

N2N Connect Berhad ("N2N" or "The Company") believes that sustainability is important to N2N Group's corporate strategy and culture and is embedded in our business model to deliver long-term growth and value for our stakeholders.

The Company has begun to incorporate sustainable goals economically, environmentally and socially, across all our business operations, maintaining high standards of conduct and maximising long-term value creation for the benefit of our stakeholders during the financial year ended 31 December 2018. The sustainability statement is prepared in accordance with Bursa Malaysia Securities Berhad's Sustainability Reporting Guide.

N2N Group pursues sustainability goals according to the following sustainability principles:

(a) Emphasis to sustainability in every part the business operations;
(b) Considering the interests of all stakeholders involved during the planning and implementation process; and
(c) Continuously reviewing and assessing its sustainability approaches and practices to ensure that they are aligned with the Group's corporate strategy.

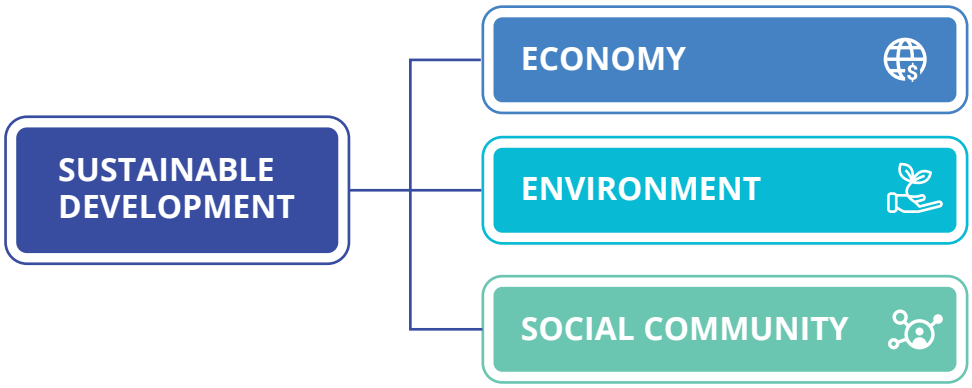
Operating as an effective and sustainable business entity, the Group believes that maintaining a good degree of communication and understanding with all the internal employees and external stakeholders involved is highly essential.

Moving forward, we believe that our sustainability strategy will underpin our growth in the region.

APPROACH TO SUSTAINABILITY

N2N's Board is responsible for setting the Company's strategic aims and providing the leadership and resources to achieve its objective. High quality corporate governance helps to underpin long-term company performance and the Board is responsible for maintaining strong governance practices and regularly reviewing the Company's governance structure.

The Group strives to conduct its business operations guided by a long-term sustainability strategy comprising three (3) main aspects:



Economic Sustainability

Achieving economic growth through effective innovation, improved productivity and reliability.

Environmental Sustainability

Striving towards reducing the Group's environmental footprint by improving on efficiency of resources and incorporating green mind-set across our value chain.

Social Sustainability

Develop processes and structures to meet the needs of its current members but also support the ability of future generations to maintain a healthy community.

Our strategic priorities are as follows:

- We will continue our evolution into a customer-centric, making resource allocation decisions across the business lines to benefit the most attractive growth prospects.
- We will invest in excellence in our technical and business functions, drive standardisation and follow common policies and procedures throughout the Group.
- We will invest in information technologies to differentiate our project delivery capabilities and to help us enhance the management of our customers' assets.
- We will improve the engagement of our people and focus on attracting, developing and retaining the best talent globally.
- We will enhance on cash generation, eliminating unnecessary expenditure and increasing efficiency and scalability of necessary costs.
- To strengthen the balance sheet ensuring a stable financial position to support the business.
- We will provide a safe and sustainable environment for our people and the communities.

STAKEHOLDER ENGAGEMENT

We are committed to ongoing stakeholder engagement as a core component of our business and sustainability strategies. We view stakeholder engagement as continuous dialogue that enables us to identify and address potential issues proactively and collaboratively.

Regular and periodic announcements on our financial performance and other pertinent information are released on Bursa Securities' website and also updated on our corporate website.

The variety of our stakeholders and the breadth of our reach means we engage in different ways. Below are examples of our key stakeholders and the ways in which we engage with them.

STAKEHOLDER ENGAGEMENT	
Government and regulatory authorities	Meetings and engagement through trade associations and chambers of commerce
Customers	Regular visits, dedicated account teams, customer care centre
Employees	Staff training, frequent employee communications, health and safety communications programs, community and employee well-being programs
Suppliers	Regular review of major suppliers to provide service delivery feedback and areas of improvement for the mutual benefit of both parties
Non-governmental organisations	On-going dialogue with NGO and charitable organisations
Investors and analyst	Announcement to Bursa Securities, general meetings, corporate website and on-going dialogue with investors and analyst
Media	Regular engagement and updates with the media of the Group and the industry's development

STAKEHOLDER ENGAGEMENT MECHANISMS

Government and regulatory authorities	• To ensure the entire business operations is complying with local Authorities rules and regulations
Customers	• To ensure customers satisfaction with the Company's product and services • To provide prompt and efficient assistance to customers
Employees	• Provide continuous training and up-skilling for better performance and career development
Suppliers	• Suppliers are regularly reviewed to ensure value creation
Investors and analyst	• Working to generate shareholder return on a sustainable basis • Reporting financial results on quarterly and annual basis • Announcement to Bursa Securities on Group's major activities

SUSTAINABILITY GOVERNANCE

We are in the midst of establishing a governance structure to oversee the overall planning and implementation of sustainability practices and policy in a continuous and systematic manner towards achieving the Group's key sustainability objectives. The Company will set up a committee and the committee will also report to the Managing Director.

All operating divisions have been charged with the fiduciary duty to take into consideration sustainability in their business strategy planning, operations and processes. While doing that, the Group strives to develop systems to monitor the implementation of its internal control measures and sustainability measures as well as the completeness and reliability of information relating to financial, operational, safety, health and environmental management aspects of the Group. The Board and the management are committed to continually refining and improving these processes over time.

ECONOMIC SUSTAINABILITY

N2N is responsible to its shareholders and specifically in securing and growing their financial position through adopting good and ethical business practices, corporate governance as well as effective capital management.

The Company declared single tier dividends of 4 sen per share for the financial year ended 31 December 2018.

For the financial performance, the Group has achieved profits over the past five years.

	2014	2015	2016	2017	2018
	RM'000	RM'000	RM'000	RM'000	RM'000
Profit before tax	7,091	10,403	11,776	25,151	19,291
Profit after tax	7,041	9,296	11,681	23,737	12,790
Core profit	5,320	4,937	5,618	11,479	17,208
Net dividend per share (sen)	2.2	1.0	2.0	1.0	4.0

N2N continues to promote local economic growth by providing employment opportunities to Malaysians. For procurement requirements, N2N also seeks local suppliers and has been working closely with them to ensure that products and services meet the business's requirements.

ENVIRONMENTAL SUSTAINABILITY

We are committed to reducing our environmental footprint across our operations. This is embodied in our stewardship of resources, including effective management of energy and resulting carbon emissions, water and waste.

1. SAVING ENERGY

N2N regularly monitors the electricity consumption and any unusual deviations are investigated and immediately addressed. Efforts to reduce energy consumption include daily monitoring of air conditioning usage, adjusting the settings to ensure optimal efficiency and servicing air conditioning regularly. Light-emitting diode ("LED") lighting and energy efficient equipment are used where possible.

2. WASTE MANAGEMENT

At N2N Malaysia, we emphasis on Reduce, Reuse, Recycle ("3R") initiatives to manage waste. Where possible, we eliminate or reduce the use of disposable resources, promote recycling at Wisma N2N and encourage the reuse of materials.

3. GOING PAPERLESS

We promote e-communication of reports, memos and other communication methods. We also encourage N2N's staffs to use devices during meetings.

SOCIAL SUSTAINABILITY

1. WORKFORCE DIVERSITY

We are proud to work in an organisation that reflects the communities in which we live. Both diversity and inclusion are embraced at every level of the Company. The differing backgrounds, opinions, experiences and perspectives of employees strengthen the business. A truly collaborative workplace is essential for our continued growth as a diversified conglomerate with a multitude of businesses.

2. WORKFORCE TRAINING AND DEVELOPMENT

We are committed to the continuous professional development of our employees, both to enable them to realise their potential and progress their careers, as well as to keep enhancing our organisational competency and capabilities. Our capability development programmes are guided and led by senior management.

3. LEADERSHIP DEVELOPMENT PROGRAMME

We have a structured and progressive leadership programme that starts with helping individuals develop leadership skills and continues until individuals become competent in setting their own goals, managing challenges and risks, and recognising their own strengths as well as areas for further development.

To assist the transition of new managers into leadership roles, conditioning programmes are introduced to enhance self-awareness, equip them with essential knowledge as well as key skills to lead themselves and others in bringing about positive change in the business.

4. INDUSTRIAL TRAINING

N2N provides technical and non-technical industrial training to undergraduates in areas related to their academic backgrounds.

5. CYBER SECURITY

We respect the privacy and confidentiality of our customer information. Our privacy policy is in accordance with the Personal Data Protection Act ("PDPA") 2010. It sets out the purpose and procedures for collecting and processing our customers' personal data and to prevent unauthorised misuse.

N2N engages in community outreach on a regular basis. Our employees are encouraged to volunteer to the various corporate social responsibility programmes which are organised by the Company.

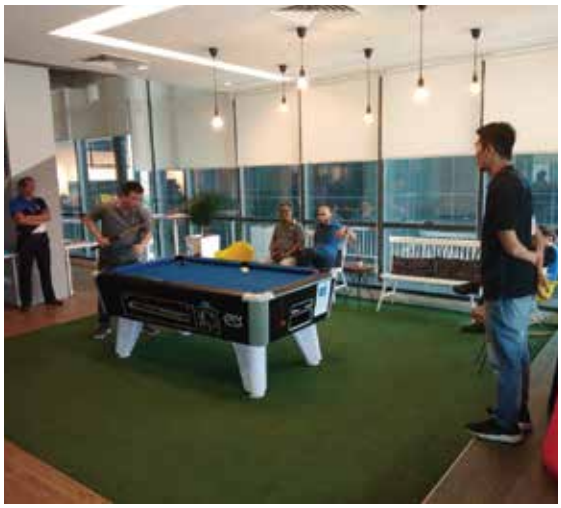
A blood donation campaign themed "Donate Blood Save Life" organised by N2N Connect Berhad received overwhelming public response.

A fire drill was held to familiarise occupants with fire safety and evacuation plans.

Cyber Security Awareness Training was held to equip employees with the knowledge to protect themselves from online threats.

Distribution of red packets (ang pow) to all employees as a gesture of well wishes.

A demonstration on the correct techniques of performing CPR was held during the CPR & AED Awareness Training.



N2N promotes work-life balance by providing indoor games for their employees to participate during lunch breaks and after working hours.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

CORPORATE GOVERNANCE OVERVIEW STATEMENT

The Board of Directors ("the Board") of N2N Connect Berhad ("N2N" or "the Company") recognises the importance of upholding high standards of corporate governance as envisioned by the Malaysian Code on Corporate Governance 2017 ("MCCG 2017" or "MCCG"), throughout its organisation. The Board further believes in adhering to such good practices in a responsible, accountable and transparent manner.

In its application of corporate governance practices, the Board is pleased to report hereunder, the Group has applied its corporate governance framework, in particular, the principles and practices as advocated by the MCCG 2017 throughout the financial year ended 31 December 2018.

This statement is to be read together with the Corporate Governance Report 2018 ("CG Report") of the Company, which is available on the Company's website at www.n2nconnect.com, as well as in the Annual Report & CG Report 2018 announcement on the website of Bursa Securities.

PRINCIPLE A: BOARD LEADERSHIP AND EFFECCTIVENESS

1. BOARD'S RESPONSIBILITIES AND DUTIES

The Board's principal role is to effectively promote the best interests of the Company with a view towards enhancing shareholders' and stakeholders' values. In this regard, the Board oversees and evaluates the Group's strategies, policies and performance to ensure the delivery of such values.

The Board assumes, inter alia the following principal responsibilities:-

- reviewing and adopting a strategic plan for the Company, including its goals and ensuring that the strategic plan of the Company supports long-term value creation and includes strategies on economic, environment and social considerations underpinning sustainability;

- establishing policies for strengthening the performance of the Company including ensuring that Management is proactively seeking to build the business through innovation, initiative, technology, new products and the development of its business capital;

- identifying principal risks, set the risk appetite within which the Board expects the Management to operate and ensuring the implementation of appropriate systems to manage the significant financial and non-financial risks and ensuring there is a sound framework for internal controls and risk management;

- reviewing the adequacy and the integrity of the Company's internal control systems and management information systems, including systems for compliance with applicable laws, regulations, rules, directives and guidelines;

- deciding on whatever steps are necessary to protect the Company's financial position and the ability to meet its debts and other obligations when they fall due, and ensuring that such steps are taken;

- ensuring that the Company's financial statements are true and fair and conform with any applicable laws and/or regulations; and

- ensuring that the Company adheres to high standards of ethics and corporate behaviour.

2. BOARD'S RESPONSIBILITIES AND DUTIES

The Group is led and controlled by an effective Board consisting of professionals and competent individuals of calibre with diverse backgrounds, expertise and experience in various fields, relevant to the Group's business activities and strategic development.

The Board consists of eight (8) members, four (4) of whom are Independent Non-Executive Directors, two (2) Non-Independent Non-Executive Directors and two (2) Executive Directors. The Board composition is in compliance with the ACE Market Listing Requirements ("ACE LR") where at least one-third of the Board are Independent Directors.

3. TENURE OF INDEPENDENT DIRECTOR

The Nomination and Remuneration Committee ('NRC") and the Board had determined that one (1) Independent Director who has served on the Board for more than nine (9) years, remains objective and independent with the following justifications:-

- He has met the independence guidelines as set out in Chapter 1 of the Bursa Malaysia Securities Berhad ACE Market Listing Requirements and is therefore able to give independent opinion to the Board;

- Being a director for more than nine years has enabled him to contribute positively during deliberations/discussions at meetings as he is familiar with the operations of the Company and possess knowledge of the Company's operations;

- He has contributed sufficient time and exercised due care during his tenure as an Independent Non-Executive Director;

- He has discharged his professional duties in good faith and also in the best interest of the Company and shareholders;

- He has the calibre, qualifications, experiences and personal qualities to challenge management in an effective and constructive manner; and

- He has never compromised on his independent judgement.

The Board was satisfied with the level of independence demonstrated by the Independent Non-Executive Director and hence, had recommended to retain him as an Independent NonExecutive Director of the Company.

4. THE CHAIRMAN AND MANAGING DIRECTOR ("MD")

The roles of the Chairman and MD are separate and clearly defined, with the division of responsibilities set out in writing and agreed by the Board.

The Chairman of the Board focuses on the achievement of the Group's strategic vision and also leads the Board in ensuring its effectiveness.

The Chairman is primarily responsible for the following:-

- to ensure that effective conduct of the Board's function and meetings;

- to ensure that effective contribution of all Directors at Board Meetings; and

- to ensure that effective and respectful communication between Directors and between the Board and its shareholders.

The Company is currently looking for a suitable candidate to fill the position of chairmanship arising from the retirement of the previous Chairman. In the meantime, the Managing Director have been chairing the Board meetings.

The Managing Director focuses on managing the Group's business activities and day-to-day operations, and is responsible for the following:-

- to ensure effective implementation of the Board's strategic decisions;

- to ensure efficient and effective operation of the Company;

- to ensure that business opportunities are of potential benefit to the Company; and

- bringing material and other relevant matters to the attention of the Board in an accurate and timely manner.

5. SUPPLY AND ACCESS TO INFORMATION

Prior to each board meeting, the agenda and a set of board papers encompassing qualitative and quantitative information relevant to the business of the meeting are usually circulated to all Directors at least 1 week in advance and not less than 3 days prior to the meeting dates. This enables the Directors to have sufficient time to peruse the Board papers and seek clarification or further details from the Management or the Company Secretary before each meeting to ensure preparedness for the meeting. Any Director may request matters to be included in the agenda.

Presentations and briefings by the Management and relevant external advisors, where applicable, were also held at board meetings to advise the Board. In this regard, relevant information is furnished and clarification given to assist the Board in making a decision.

The Directors have direct access to the Management and have unrestricted access to any information relating to the Group to enable them to discharge their duties. The Directors also have direct access to the advice and services of the Company Secretary and are regularly updated on new statutory and regulatory requirements relating to the duties and responsibilities of the Directors. In addition, all board members may seek independent professional advice when necessary in furtherance of their duties.

6. COMPANY SECRETARIES

The Company Secretaries play an advisory role to the Board in relation to the Company's Constitution, Board's policies and procedures and compliance with the relevant regulatory requirements, codes or guidance and legislations.

The Company is supported by two (2) qualified and competent company secretaries. Both Company Secretaries are qualified Chartered Secretaries pursuant to the Companies Act 2016 and are members of the Malaysian Association of the Institute of Chartered Secretaries and Administrators ("MAICSA"). The Company Secretaries are external company secretaries from Esprit Management Services Sdn. Bhd. with vast knowledge and experience from being in public practice and is supported by a dedicated team of company secretarial personnel.

Each acts as an advisor to the Board, particularly with regard to the Constitution of the Company, board policies and procedures and its compliance with regulatory requirements, codes, guidance and legislations. The Company Secretaries ensure that discussions and deliberations at the Board and Board Committee meetings are well documented and subsequently communicated to the relevant Management for appropriate actions.

7. BOARD MEETINGS AND ATTENDANCE

The Board meetings together with Board Committee meetings for the financial year 2018, were pre-scheduled in November 2017 to facilitate the Directors in planning ahead and incorporating the meetings into their respective schedules. This also serves to provide the members with ample notice of the meetings.

A total of five meetings were held during the year; to discuss and decide among others, quarterly financial results, performance reports and various other matters. In addition to the above meetings, the Company also conducted board strategic meeting with the Senior Management of N2N. The purpose of the meeting is to provide the Board with updates on market outlook, external environment analysis and the Group's strategic and growth plans. Besides the Board meetings, urgent decisions were approved via written circular resolutions.

The reports of the Audit Committee and Nomination and Remuneration Committees are also presented and deliberated at board meetings. The minutes of each board meeting are circulated in a timely manner. All proceedings of board meetings are duly recorded in the minutes of each meeting and signed minutes of each board meeting are properly kept by the Company Secretary. Minutes of the board meeting are tabled for confirmation at the next board meeting.

The average attendance rate of the Directors for these five (5) board meetings was 100%. The attendance record of the Directors at the Board and Board Committee meetings during the financial year 2018 as set out in the table below:-

Name of Director	Designation	BOD
Tiang Boon Hwa	Managing Director	5/5
Lai Su Ping	Executive Director	5/5
Elaine Foong Sooi Jade	Independent Non-Executive Director	5/5
Dato' Tan Boon Leng	Independent Non-Executive Director	5/5
Goh Ching Chee (Appointed on 5/01/2018)	Independent Non-Executive Director	5/5
Akio Furuse	Non-Independent Non-Executive Director	5/5
Masashi Shindo	Non-Independent Non-Executive Director	5/5
Fathi Ridzuan Bin Ahmad Fauzi (Appointed on 30/05/2018)	Independent Non-Executive Director	2/2
Oh Kim Sun (Resigned on 30/05/2018)	Independent Non-Executive Director	3/3

8. DIRECTORS' RE-ELECTION AND RE-APPOINTMENT

The NRC is responsible for recommending to the Board, directors who are standing for re-election at the AGM pursuant to Clause 103 of the Company's Constitution. In accordance with the Company's Constitution, one-third of the Board, including the Managing Director, shall retire and is subject to re-election and each Director shall stand for re-election at least once every 3 years.

Directors' rotation list was presented to NRC for endorsement prior to recommendation to the Board and thereafter to the shareholders for approval. In assessing the candidates, the NRC takes into consideration on their attributes, competencies, commitment, personality and qualities as well as their contribution and performance based on the Board Effectiveness Assessment.

9. BOARD EFFECTIVENESS ASSESSMENT

An assessment of the effectiveness of the Independent Directors, Executive Directors, Board Committees and the Board as a whole, is carried out annually. The objective is to improve the Board's effectiveness by identifying gaps, maximise strengths and address weaknesses. The Chairman of Nomination and Remuneration Committee ("NRC") oversees the overall evaluation process, and the responses are analysed by the NRC before being tabled and discussed at the Board level.

10. DIRECTORS' DEVELOPMENT PROGRAMME

The Directors are encouraged to attend programmes and seminars to keep themselves abreast with the latest developments in the industry and market place to enable them to carry out their roles effectively as directors in discharging their responsibilities.

During the FY2018, all the Directors have attended the Mandatory Accreditation Programme as prescribed by Bursa Securities. Apart from attending various conferences and seminars organised by external organisers, the Board also benefited from technical briefings which were conducted by in-house professionals. The Directors are regularly updated on the Group's businesses and the competitive and regulatory environment in which the Group operates.

During the year, the Directors participated in seminars and training programmes in various capacities as detailed below:

Name of Director	Training Attendence in 2018
Tiang Boon Hwa	• GAIN Re-Connect and Networking (GRAND) • N2N Bootcamp 2018 • Cyber Security Awareness Training : 2018 • In-house for Board of Directors : N2N Tax Update • MDEC GAIN Connex Philippines 2018 • Global Research Briefing – H2 Update by StandChart • Speaker (Sunway University – Job Interview Tips and Tools) • Asia Pacific Digital Technology Symposium 2018 • 2018 SME Icons Malaysia Service Providers Confederation • Seminar on "Why Is It So Difficult To Find Suitable Investors?" • MMU Panel Judge – Business/Startup Pitching • Technology Update Session by Nvdia (for IBMers & BPs) • Fintech Conference 2018 – Embracing Technology by Securities Commission
Lai Su Ping	• GAIN Re-Connect and Networking (GRAND) • N2N Bootcamp 2018 • Cyber Security Awareness Training : 2018 • In-house for Board of Directors : N2N Tax Update • MDEC GAIN Connex Philippines 2018 • Global Research Briefing – H2 Update by StandChart • Asia Pacific Digital Technology Symposium 2018 • 2018 SME Icons Malaysia Service Providers Confederation
Elaine Foong Sooi Jade	• In-house for Board of Directors : N2N Tax Update • Various online webinars
Dato' Tan Boon Leng	• Foreign Listing on TWSE by Taiwan Stock Exchange • Modern Estate Planning by United Overseas Bank • Market Outlook by Kenanga • Wealth Planning by Wealth Mentors • In-house for Board of Directors : N2N Tax Update
Fathi Ridzuan Bin Ahmad Fauzi	• Implementing Companies Act 2016 and the Malaysian Code on Corporate Governance 2017 • Audit Committee Conference 2018 • Corporate Rescue Mechanism and Duties and Responsibilities of Company Directors and Officers under the Companies Act 2016

Name of Director	Training Attendence in 2018
Akio Furuse	• National Directors' Conference 2018 – Rising Above Disruptions : A call for Actions • Government of Malaysia Conference – Malaysia : A New Dawn 2018 • Nikkei Forum : ASIAN CONSUMERS "Winning the Heat of Powerful Asians" • Nikkei Group Compliance Training – Code of Conduct and Ethics • In-house for Board of Directors : N2N Tax Update
Masashi Shindo	• Nikkei Forum Future of Asia • Nikkei Forum Innovative Asia • Innovtext Unbound • National of University of Singapore and Nikkei Digital Forum • Japanese Chamber of Commerce and Industry (Singapore) Seminar on the Outlook of Malaysia
Goh Ching Chee	• Mandatory Accreditation Programme by ICLIF • Financial Institutions Directors Education Programme by ICLIF

11. NOMINATION AND REMUNERATION COMMITTEE EFFECTIVENESS REVIEW AND PERFORMANCE

The NRC periodically reviews policies and procedures to determine the remuneration of Directors and Senior Management, which takes into account the demands, complexities and performance of the Company as well as skills and experience required of Directors and Senior Management. The NRC is objective, fair and transparent in its review process.

The Board is satisfied with the performance and effectiveness of the NRC in providing sound advice and recommendations to the Board.

(a) DIRECTORS' REMUNERATION

Our approach to remuneration is based on reward principles which aims to provide remuneration packages that fairly rewards the Executive Directors for the contribution they make to the Group, having regard to the size and complexity of the Group's business operations and the need to attract, retain and motivate executives of the highest quality.

The Board has established a formal and transparent Directors' Remuneration Framework which comprise retainer fees, meeting allowances and benefits in-kind.

The Company has undertaken a review on the Directors remuneration to ascertain the competitiveness of the current Non-Executive Directors remuneration.

Based on the findings, the Board is recommending an increase in the Directors remuneration for the financial year ended 31 December 2018 and financial year ended 31 December 2019 to reflect the increase in responsibilities of the Chairman and Non-Executive Directors, for approval by the shareholders at the forthcoming AGM. The Company also reimburses all expenses incurred by the Directors, where relevant, in the course of carrying out their duties as Directors.

The remuneration package for the Executive Directors of the Company is balanced between fixed and performance-linked elements. The current remuneration policy of the Executive Directors consists of basic salary, performance linked bonus, benefit in-kind, EPF contributions and share awards/share options respectively based on the recommendation of the Nomination and Remuneration Committee.

The Directors' remuneration for FY2018 is broadly categorised into the following bands:

	Fees	**Salaries and Bonus**	**Defined Contribution Plan**	**Allowance**	**Total**
	(RM)	(RM)	(RM)	(RM)	(RM)
GROUP					
Non-Executive Director					
Dato' Tan Boon Leng	70,313	-	-	6,000	76,313
Elaine Foong Sooi Jade	70,313	-	-	2,500	72,813
Goh Ching Chee	70,313	-	-	3,000	73,313
Fathi Ridzuan Bin Ahmad Fauzi	41,016	-	-	1,500	42,516
Akio Furuse	-	-	-	-	-
Masashi Shindo	-	-	-	-	-
Oh Kim Sun (resigned on 30/5/2018)	20,508	-	-	1,500	22,008
Executive Director					
Tiang Boon Hwa	82,032	2,717,781	40,111	-	2,839,924
Lai Su Ping	82,032	579,547	10,583	-	672,162
Total	436,527	3,297,328	50,694	14,500	3,799,049

	Fees	Salaries and Bonus	Defined Contribution Plan	Allowance	Total
	(RM)	(RM)	(RM)	(RM)	(RM)
COMPANY					
Non-Executive Director					
Dato' Tan Boon Leng	70,313	-	-	6,000	76,313
Elaine Foong Sooi Jade	70,313	-	-	2,500	72,813
Goh Ching Chee	70,313	-	-	3,000	73,313
Fathi Ridzuan Bin Ahmad Fauzi	41,016	-	-	1,500	42,516
Akio Furuse	-	-	-	-	-
Masashi Shindo	-	-	-	-	-
Oh Kim Sun (resigned on 30/5/2018)	20,508	-	-	1,500	22,008
Executive Director					
Tiang Boon Hwa	82,032	140,622	-	-	222,654
Lai Su Ping	82,032	80,005	10,583	-	172,620
Total	436,527	220,627	10,583	14,500	682,237

(b) SENIOR MANAGEMENT TEAM'S REMUNERATION

The Senior Management Team's remuneration and rewards are linked to corporate and individuals performance. The performance is measured against the key performance indices set in accordance with the Company's annual budget and business plan.

For FY2018, the remuneration for the top five senior management (other than the Executive Directors) as follows:-

Remuneration Range (RM)	Number of Senior Management
100,001 - 150,000	1
250,001 - 300,000	1
300,001 - 350,000	1
500,001 - 550,000	1
550,001 - 600,000	1

12. BOARD COMMITTEES

The Board has three (3) main Committees: Nomination and Remuneration Committee, Audit Committee and Option Committee

(a) Nomination and Remuneration Committee

The Nomination and Remuneration Committee ("NRC") comprises exclusively of the following Non-Executive Directors:

Dato' Tan Boon Leng (Chairman)
Ms Elaine Foong Sooi Jade
Mr Akio Furuse
Mr Goh Ching Chee (Appointed on 26 March 2019)

The NRC reviews the structure, size and composition of the Board and its Committees, endorses suitable candidates for appointment to the Board, and reviews the succession planning. Additionally, the NRC endorses the Company's directors' remuneration policy and framework. For more information, please refer to Nomination and Remuneration Committee Statement on page 61.

(b) Audit Committee

The Audit Committee ("AC") comprises exclusively of the following Non-Executive Directors:

Ms Elaine Foong Sooi Jade (Chairperson)
Dato' Tan Boon Leng
Mr Goh Ching Chee
En. Fathi Ridzuan Bin Ahmad Fauzi (Appointed on 26 March 2019)

The AC monitors the integrity of the Group's financial statements/announcements, the effectiveness of internal controls and risk management as well as ensuring the quality and independence of the external auditors and internal auditors. For more information, please refer to Audit Committee Report on page 56.

(c) Option Committee

The Option Committee ("OC") comprises the following Directors:

Mdm Lai Su Ping (Chairperson)
Ms Elaine Foong Sooi Jade
Mr Akio Furuse
Mr Kok Wan Chun (representing Management, appointed on 26 March 2019)

- To administer the ESOS and grant Options in accordance with the ESOS By-Law;
- To recommend to the Board to establish, amend, and revoke By-Laws, make rules and regulations to facilitate the implementation of the ESOS;
- To determine all questions of policy and expediency and to construe and interprete the provisions contained in the ESOS By-Laws in the best interest of the Company and the Eligible Employees; and
- To exercise such powers and perform such acts as are deemed necessary or expedient to promote the best interests of the Company and the Eligible Employees.

13. BOARD CHARTER

The Board Charter sets out the roles and responsibilities of the Board, functions, composition, operations and processes of the Board.

The Board Charter is to ensure that all Board members acting on behalf of the Company are aware of their duties and responsibilities as Board members and the various legislations and regulations affecting their conduct and that the principles and practices of good corporate governance are applied in all their dealings in respect of and on behalf of the Company.

The Board Charter shall be reviewed on a periodic basis and may be amended by the Board from time to time to ensure that the practices of the Board are consistent with the prevailing code of corporate governance, laws and/or regulations and reflects the Board's commitment to best practice in corporate governance.

The Board Charter was last reviewed on 26 March 2019 and is made available on the Company's website at www.n2nconnect.com.

14. CODE OF CONDUCT

The N2N Group, its Directors, Management and employees firmly believe in creating a corporate culture to operate the businesses of the Group in an ethical manner and to uphold the highest standards of professionalism and exemplary corporate conduct. The Company has established a Code of Conduct for Directors and employees ("Code"). The Code serves to outline the standards of business conduct and ethical behaviour which the Directors and employees should possess in discharging their duties and responsibilities. A copy of the Code is available on the Company's website at www.n2nconnect.com.

Additionally, the Group is committed towards preserving and protecting its interest and reputation at all times. The Group expects high standards of integrity and accountability from all employees within its Group of Companies. It is also intended to encourage and enable employees and others to raise concerns within the Group prior to seeking resolution outside the Company.

15. WHISTLEBLOWING POLICY

The Company acknowledges the importance of lawful and ethical behaviours in all its business activities and is committed to adhere to the values of transparency, integrity, impartiality and accountability in the conduct of its business and affairs in its workplace.

In line with this, N2N Group has adopted a Whistleblowing Policy to protect the values of transparency, integrity, impartiality and accountability wherever N2N conducts its business and affairs. This policy sets out the mechanism and framework by which all its stakeholders who have dealing with the Company can confidently voice concerns or complaints in a responsible manner without fear of discriminatory treatment. The Whistleblowing Policy also provides contact details of the Audit Committee Chairman and Managing Director to whom the whistleblowing report can be addressed.

The Policy is available on the Company's website at www.n2nconnect.com.

16. ACCOUNTABILITY AND AUDIT

The Board is committed to provide a fair and objective assessment of the financial position and prospects of the Group in the quarterly financial results, annual financial statements, Annual Reports and all other reports or statements to shareholders, investors and relevant regulatory authorities. The Board is assisted by the Audit Committee to oversee the Group's financial reporting processes and the quality of its financial reporting.

The Statement of Directors' Responsibilities In Relation To The Financial Statements is set out on page 66 of this Annual Report.

The Directors are also responsible for safeguarding the assets of the Group and taking reasonable steps to ensure that appropriate system are in place to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

PRINCIPLE B: EFFECTIVE AUDIT AND RISK MANAGEMENT

1. AUDIT COMMITTEE

The Audit Committee ("AC") of the Company comprises three (3) Independent Non-Executive Directors. The AC is chaired by Ms. Elaine Foong Sooi Jade. She is a fellow member of The Association of Chartered Certified Accountants, and a member of the Malaysian Institute of Accountants.

The composition of the AC is reviewed by the NRC and recommended to the Board for its approval annually. With the view to maintain an independent and effective AC, the NRC ensures that only an Independent NED who is financially literate and has strong understanding of the Company's business would be considered for membership on AC.

The AC is relied upon by the Board to, amongst others, provide advice in the areas of financial reporting, external audit, internal control environment and internal audit process, review of related party transactions as well as conflict of interest situation. The AC also undertakes to provide oversight on the risk management framework of the Group.

2. RISK MANAGEMENT AND INTERNAL CONTROL FRAMEWORK

The Board is responsible for establishing and maintaining a sound risk management and internal control system to ensure that the shareholders' investments and assets of the Company are safeguarded. The Board through its Audit Committee evaluates the adequacy and effectiveness of the internal control system by reviewing audit findings, recommendations of internal auditor, management responses and actions taken on lapses.

The details of the Group's internal controls system and risk management framework are detailed in the Statement on Risk Management and Internal Control of this Annual Report.

The Company continues to maintain and review its internal control procedures to ensure, as far as possible, its assets and its shareholders' investments are protected.

PRINCIPAL C: INTEGRITY IN CORPORATE REPORTING AND MEANINGFUL RELATIONSHIP WITH STAKEHOLDERS

1. COMMUNICATION WITH STAKEHOLDERS

The Company recognises the importance of being accountable to its stakeholders and investors through maintenance of an open communication policy. In ensuring effective communication, the Company communicates with its stakeholders and investors through various means and forums such as the annual report, company visits, site visits, shareholders' meetings, exhibition and other Group activities.

Any information that may be regarded as undisclosed material information about the Group will not be given to any single shareholder group. To ensure that shareholders and investors are well informed of major developments of the Group, information is disseminated to shareholders and investors through various disclosures and announcements to Bursa Securities which include quarterly financial results and press release from media. Such disclosures and announcements, as well as information pertaining to corporate governance are also available on the Company's website at www.n2nconnect.com.

2. CONDUCT OF GENERAL MEETINGS

The AGM is the principal forum for dialogue and interaction with its shareholders. To ensure effective participation of and engagement with shareholders at the AGM, all members of the Board were present at the meeting to respond the questions raised by the shareholders. The senior management, company secretaries and external auditors of the Company were also present to respond to queries raised from the shareholders. The notice of the AGM was issued to shareholders at least 21 days before the AGM date.

The Company had conducted its voting on all resolutions at the Seventeenth Annual General Meeting held on 25 May 2018 by polling in line with the requirement of the ACE LR. An independent scrutineer was appointed to oversee the proceedings of the polling.

The minutes of the said AGM are accessible to the public for reference on N2N's website at www.n2nconnect.com.

This Corporate Governance Overview Statement was approved by the Board on 26 March 2019.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

INTRODUCTION

The Board is pleased to set out below the Board's Statement on Risk Management and Internal Control ("Statement") which is prepared in accordance with Rule 15.26(b) of the ACE Market Listing Requirements, Malaysian Code on Corporate Governance 2017 and as guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers ("Guidelines"). This Statement outlines the nature and scope of risk management and internal control of the Group. The Group does not have material associates and joint ventures that need to be dealt with and considered in making this Statement.

BOARD RESPONSIBILITY

The Board affirms its overall responsibility for the Group's systems of risk management and internal control and for reviewing the adequacy and integrity of these systems, excluding Associate companies which are not within the Group's control. It should also be appreciated that the systems of risk management and internal control are designed to manage and control risks appropriately rather than a definitive system designed for the total avoidance of risks or for eliminating the risk of failure. The systems of risk management and internal control covers not only financial control but also operational, commercial and compliance controls. The Board believes that risk management and internal control system are a continuing process and a concerted effort by all employees of the Group. The Board will continue to ensure that necessary measures are in place to strengthen its risk management and internal control systems.

RISK MANAGEMENT FRAMEWORK

Management is an integral and critical part of risk management in the operations of the Group. The experience, knowledge and expertise of management in identifying and managing risks throughout the financial year under review enables the Group to make cautious, mindful and well-informed decisions through formulation and implementation of appropriate action plans to ensure the accomplishment of the Group's objectives.

Day to day operations in respect of financial, commercial, legal compliance and operational aspects of the Group are closely monitored by the respective Heads of Department and they are delegated with the responsibilities to identify and manage these risks.

The deliberation of risks and mitigation responses are discussed during ISMS Committee Meetings and ISM Management Review Meetings. The Company established best practices in Information Security Management System (ISMS) through ISO 27001:2013 since 2014. These best practices include security objectives, policies and procedures, in which risk management is one of them covering the identifications of key business and to determine if controls are in place in mitigating the risks identified through a risk treatment plan as well as annual review of the existing risk management practices revision of the existing practices, if needed.

Annual surveillance audit by external certification body is carried out to ensure any information risks have been managed and mitigated based on the ISMS ISO 27001:2013's policies and procedures.

KEY INTERNAL CONTROLS

The key systems of internal control in the Group are as follows:

- Defined terms of reference, authorities and responsibilities of the various Board committees to overseeing the integrity of audit and financial reporting; Board and senior management appointment, performance and remuneration;

- Well defined organisational structure with clear lines of authority, accountability and responsibilities of Management team;

- The Group's performance is monitored and the business objectives and plans are reviewed in the management meetings attended by division and business unit heads. Managing Director and Executive Directors meet regularly with Senior Management to consider the Group's financial performance, business initiatives and other management and corporate issues;

- Management reports and accounts generated in respect of the business and operating units. These reports and accounts are prepared timely and on a monthly basis and is reviewed by Managing Director, Executive Director and Senior Management;

- Managing Director, Executive Director and Senior Management are closely involved in the running of business and operations of the Group. They report to the Board on significant changes in the business and external environment which may affect the operations of the Group at large;

- The Board meets at least quarterly and has a formal agenda on matters for discussion. Board papers are distributed in advance to all Board members who are entitled to receive and access all necessary and relevant information. Decisions of the Board are only made after the required information is made available and deliberated by the Board. The Board maintains complete and effective control over the strategies and direction of the Group;

- Review of all proposals for material capital and investment opportunities by Executive Directors and approval for the same by the Board;

- Review by Audit Committee of audit and internal control issues identified by the External and Internal Auditors and action taken by Management in respect of the findings arising therefrom; and

- Performance management system is in place with established key performance indicators to measure and review staff performance annually. The competency of staff are then enhanced through training and development programs.

INTERNAL AUDIT

The Company has outsourced its internal audit function to a professional consulting firm. The Internal Auditors report independently and directly to the Audit Committee in respect of its function in accordance with the approved internal audit plan. All audit findings arising therefrom are reported to the Audit Committee on a quarterly basis.

The Internal Auditors has complete and unrestricted access to all documents and records of the Group necessary in the performance of its function and independently reviews the control procedures implemented by Management for the key activities of the Group. In addition, the Internal Auditors carry out periodic reviews to ascertain the effectiveness of internal controls in the selected key functions of the Group.

All reports and findings arising from internal audit reviews are discussed with the respective process custodians before being presented to the Audit Committee. The Internal Auditors also provide improvement recommendations for the consideration of Management and the Board as part of the continuous development of a more efficient and comprehensive internal control environment.

The total cost incurred on internal audit for the financial year ended 31 December 2018 was approximately RM62,000.

ASSURANCE FROM MANAGEMENT

The Board has received assurance from Managing Director, who is also the Director responsible for the financial management of the Company, that the Group's risk management and internal control system are operating adequately and effectively, in all material respect.

REVIEW BY EXTERNAL AUDITORS

Pursuant to Rule 15.23 of the ACE Market Listing Requirements, the External Auditors have reviewed the Statement on Risk Management and Internal Control for inclusion in the Annual Report for the financial year ended 31 December 2018. Their review was performed in accordance with Recommended Practice Guide 5 (Revised 2015): Guidance for Auditors on Engagements to Report on the Statement on Risk Management and Internal Control included in the Annual Report, issued by the Malaysian Institute of Accountants. The External Auditors have reported to the Board that nothing has come to their attention that causes them to believe that this Statement is inconsistent with their understanding of the process the Board has adopted in the review of the adequacy and integrity of risk management and internal control of the Group.

CONCLUSION

For the year under review, the Board is of the view that the systems of risk management and internal control are adequate and effective. There were no material weakness and/or reported shortfall in the risk management practices and internal control systems which have resulted and/or given rise to any material loss, contingency and/or uncertainty during the financial year under review and up to the date of approval of this Statement. Nevertheless, the Board recognises that the Group's systems of risk management and internal control must continuously evolve to support the growth and dynamics of the Group as well as to meet the changing and challenging business environment. As such, the Board, in striving for continuous improvement, will put in place appropriate action plans to further enhance the system of risk management and internal controls in the Group.

This Statement was approved by the Board on 26 March 2019.

AUDIT COMMITTEE REPORT

AUDIT COMMITTEE REPORT

The Board of Directors of N2N Connect Berhad ("N2N" or "the Company") is pleased to present the report of the Audit Committee ("AC") for the financial year ended 31 December 2018.

1. MEMBERS AND MEETINGS ATTENDANCES

The AC comprised the following three (3) members during the financial year ended 31 December 2018, all of whom are Independent Non-Executive Directors ("NED"):

Chairperson : Ms. Elaine Foong Sooi Jade
Mr. Oh Kim Sun (Resigned on 30/5/2018)
Members : Dato' Tan Boon Leng
Mr. Goh Ching Chee (Appointed on 30/5/2018)

En. Fathi Ridzuan Bin Ahmad Fauzi, who is an Independent NED, was appointed to the AC on 26 March 2019.

The AC Chairperson, Ms. Elaine Foong Sooi Jade, is an independent NED. As Ms. Elaine is a fellow member of The Association of Chartered Certified Accountants, and a member of the Malaysian Institute of Accountants, the Company also complies with Paragraph 15.09(1) of the ACE Market Listing Requirements.

The AC does not comprise of any Alternate Director.

The AC held five (5) meetings during the financial year ended 31 December 2018. The details of attendance of the members are as follows:

Name	Attendance
Ms. Elaine Foong Sooi Jade	5/5
Dato' Tan Boon Leng	5/5
Mr. Goh Ching Chee	2/2
Mr. Oh Kim Sun	3/3

Note:
- En. Fathi Ridzuan Bin Ahmad Fauzi was appointed to the AC on 26 March 2019.

The AC meetings were convened with proper notices and agenda and these were distributed to all members of the AC with sufficient notification. All deliberations during the AC meetings were recorded. Minutes of the AC meetings were tabled for confirmation at every succeeding AC meeting and subsequently presented to the Board for notation.

The Committee was also invited Executive Directors and Management to attend the AC meetings in order to keep abreast of matters and issues pertaining to the Group. The AC Chairperson also conveyed to the Board matters of significant concern as and when raised by the Internal Auditors or External Auditors.

2. SUMMARY OF ACTIVITIES AND WORK OF THE AUDIT COMMITTEE

During the financial year ended 31 December 2018, the AC had discharged its duties and responsibilities as set out in its Terms of Reference as follows:

(a) Financial Reporting

- Reviewed the quarterly financial statements including the draft announcements pertaining thereto and made recommendations to the Board for approval.

- Discussed with the Management and External Auditors on the financial reporting standards that were applied, including the judgements exercised in the application of those standards that may affect the financial statements as well as issues arising from the statutory audit.

- Reviewed the audited financial statements of the Group and the Company for the financial year ended 31 December 2017 together with the Management and the External Auditors to ensure that it presented a true and fair view of the Company's financial position and performance for the year and is in compliance with all disclosure and regulatory requirements before recommending the audited financial statements to the Board for approval.

(b) External Audit

- Evaluated the performance, suitability and independence of the External Auditors. The External Auditors had provided a declaration of independence and their compliance with the relevant ethical requirements regarding professional independence. Being satisfied with the performance, suitability and the audit independence of the External Auditors, the AC had recommended to the Board to recommend the re-appointment of Messrs Morison Anuarul Azizan Chew as External Auditors of the Company.

- Reviewed with the External Auditors the audit status reports, results of the annual audited financial statements, management letter and management's response to the findings of the External Auditors and also the Auditors' report to the shareholders.

- Reviewed with the External Auditors, the Statement on Risk Management and Internal Control for inclusion in the Annual Report 2017.

- Reviewed with the External Auditors the statutory audit plan for the financial year ended 31 December 2018 and the proposed audit fees by the External Auditors.

(c) Internal Audit

- Reviewed the adequacy of the scope, functions, competency and resources of the internal audit functions and whether it has the necessary authority to carry out its work.

- Reviewed internal audit programme, processes, the results of the internal audit programme, processes or investigation undertaken and whether or not appropriate action is taken on the recommendations of the internal audit function.

- Reviewed and approved the internal audit plan for 2018/2019 and the proposed internal audit fees by the Internal Auditors.

(d) Other Activity

- Reviewed and recommended to the Board for approval, the Audit Committee Report, Statement on Risk Management and Internal Control for the Annual Report 2017.

In order to discharge the above duties and responsibilities of AC effectively, the AC had attended various seminars, training programs and conferences during the financial year. They were also briefed by the External Auditors on the latest accounting standards applicable to the Group. The list of training attended is disclosed in the Corporate Governance Overview Statement as set out in this Annual Report.

3. INTERNAL AUDIT FUNCTION

The Company does not have its own in-house Internal Audit function. The Company's internal audit function is outsourced to IA Essential Sdn Bhd, an independent professional service firm, to assist the AC in discharging its duties and responsibilities.

The principal responsibility of the Internal Auditors is to undertake regular and systematic reviews of the system of internal control so as to provide reasonable assurance that the system is adequate, effective and continues to operate satisfactorily.

The internal audit function reviews the key controls and its adequacy in responding to risks within the organisation's governance, operations and information system, assess principal risks and plans of action to address these risks and recommends improvements to the existing systems and controls. In addition, the Internal Auditors performed follow-ups on outstanding issues arising from prior audits.

A summary of work of the internal audit function for the financial year ended 31 December 2018 covered the following areas:

(a) Tabled internal audit plan 2018/2019 for AC review and endorsement.

(b) Performed internal audit work on the following areas:

- Purchasing function
- System integration and harmonisation
- Debt reconciliation
- Follow-up audit

(c) Reviewed the Q3 2018 quarterly report disclosures of N2N Connect Berhad.

(d) Reviewed the Statement of risk management and internal control.

The internal audit reviews performed during the financial year ended 31 December 2018 did not reveal deficiency that have resulted in any material losses, contingencies or uncertainties that would require separate disclosure in this Annual Report.

The cost incurred for the internal audit function in respect of the financial year ended 31 December 2018 was approximately RM62,000.

4. TERMS OF REFERENCE OF THE AUDIT COMMITTEE

The terms of reference of the AC is available on the Company's website at www.n2nconnect.com.

NOMINATION AND REMUNERATION COMMITTEE STATEMENT

The Board of Directors of N2N Connect Berhad is pleased to present the report of the Nomination and Remuneration Committee ("NRC") for the financial year ended 31 December 2018.

The NRC comprised the following three (3) members during the financial year ended 31 December 2018, all of whom are Non-Executive Directors ("NED"), two (2) being Independent NED:

Chairman : Dato' Tan Boon Leng (Independent NED)
Members : Ms. Elaine Foong Sooi Jade (Independent NED)
Mr. Akio Furuse (Non-Independent NED)

Mr. Goh Ching Chee who is an Independent NED, was appointed to the NRC on 26 March 2019.

During the financial year ended 31 December 2018, one (1) Nomination and Remuneration Committee Meeting was held. All members of NRC attended the meeting, other than Mr. Goh Ching Chee who was appointed to the NRC on 26 March 2019.

MEMBERSHIP

(a) The Committee and its Chairman shall be appointed by the Board from amongst its number and shall comprise not less than two (2) members, consisting exclusively of non-executive directors, a majority of whom are independent; and

(b) The Chairman shall be an Independent Director or the Senior Independent Director, where such person has been appointed / identified by the Board.

MEETINGS

(a) Meetings shall be held at least once (1) a year with a minimum quorum of two (2) members. Additional meetings may be called at any time at the discretion of the Chairman of the Committee;

(b) Directors, whether Executive or Non-Executive, should not participate in decisions on their own remuneration packages;

(c) Directors should not participate in the deliberation and decision on their own re-election/re-appointment;

(d) The Company Secretary shall be the Secretary of the Committee;

(e) The proceedings and deliberations of each Committee meeting shall be reported to the Board by the Chairman of the Committee; and

(f) The minutes of each Committee meeting shall be circulated to the Board.

AUTHORITY

The Committee is authorized by the Board to obtain independent professional or other advice at the Company's expense and to invite outsiders with relevant experience and expertise to attend meetings if it considers this necessary.

DUTIES AND RESPONSIBILITIES

The Committee shall have the following duties and responsibilities, in addition to any others that may be assigned by the Board from time to time:

(a) Review the required mix of skills, experience, independence, diversity and other qualities, including core competencies which Directors (both Executive and Non-Executive) should bring to the Board;

(b) Recommend to the Board, candidates for all directorship to be filled;

(c) Recommend to the Board, the candidates to fill the seats on Board Committees;

(d) Examine the size of the Board with a view to determine the impact of the number upon its effectiveness;

(e) Assess the effectiveness of the Board as a whole, the Committees of the Board, and the contributions of each individual Director;

(f) Review the term of office and performance of Audit Committee and each of its members to determine whether the Committee and its members have carried out their duties in accordance with their terms of reference; and

(g) Review and recommend to the Board, the annual remuneration package of each individual Director (both Executive and Non-Executive) of the Company, such that the levels of remuneration are sufficient to attract and retain the Directors needed to run the Company successfully.

The Committee's focus is on strengthening, balancing and understanding the range of skills, experience and diversity of the Board. The Committee is responsible for making recommendations to the Board on the composition of the Board and its Committees, on retirements, appointments of additional and replacement directors and on succession planning.

POLICY ON BOARD COMPOSITION

The policy on the Board's composition is disclosed in the Board Charter.

The Board does not have any gender diversity policies and targets or any set measures to meet any target. Nevertheless, the Group is an equal opportunity employer and all appointments and employments are based strictly on merits and are not driven by any racial or gender bias.

POLICY ON REMUNERATING THE BOARD

The Committee will take into consideration the following criteria when reviewing and recommending remuneration packages for the Executive Directors and Non-Executive Directors:

(1) Director's fiduciary duties
(2) Time commitments
(3) Company's performances

The director fees shall be recommended to be approved by an Ordinary Resolution of the Company in a general meeting.

The review of the Directors' remuneration will be carried out by the Nomination and Remuneration Committee on an annual basis for the approval of the Board.

BOARD NOMINATION AND ELECTION PROCESS

The key steps in the process are as follows:

- The Committee considers the knowledge and experience required for the role, taking into account the strategy of the Group and its businesses as well as the criteria set by the Board.
- The Committee evaluates the potential candidates based on the identified requirements.
- The Committee recommends the shortlisted candidate for the Board's approval.

During the financial year ended 31 December 2018, Mr Goh Ching Chee and Encik Fathi Ridzuan Bin Ahmad Fauzi were appointed as Directors of the Company on 5 January 2018 and 30 May 2018 respectively.

ASSESSMENT

For the financial year ended 31 December 2018, the Committee had reviewed the results of the assessment of the Board as a whole and of each individual Director. The result of the assessment was used as a guide to evaluate and review the composition and effectiveness of the Independent Directors, Executive Directors and Board Committee Members. The assessment of the Board and Directors were based on the following criteria:

Individual Director :

- Understanding of role and responsibility
- Time commitment and dedication
- Understanding of the Group's business
- Contribution and participation in board discussion and decision-making
- Courtesy
- Self development
- Independence

Board as a whole :

- Board structure
- Conduct of meetings
- Corporate strategy and planning
- Risk management and internal control
- Performance measurement and monitoring
- Recruitment and evaluation
- Compensation
- Financial reporting
- Shareholder communication

ASSESSMENT OF TRAINING NEEDS

The Committee has reviewed and assessed the trainings attended by the Directors for the financial year ended 31 December 2018 and have determined that the trainings attended were adequate.

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RELATION TO THE FINANCIAL STATEMENTS

The Directors are required by the Companies Act 2016 ("CA 2016") to prepare financial statements which give a true and fair view of the state of affairs of the Group and the Company at the end of each financial year and of their results and cash flows for the financial year then ended.

In order to ensure that the financial statements are properly drawn up, the Board has taken the following measures:-

- ensure the adoption of appropriate, adequate and applicable accounting standards and policies and applied them consistently;
- ensured that applicable approved accounting standards have been followed;
- where applicable, judgments and estimates are made on a reasonable and prudent basis; and
- upon due inquiry into the state of affairs of the Company, there are no material matters that may affect the ability of the Company to continue in business on a going concern basis.

The Board has ensured that the quarterly reports and annual audited financial statements of the Group are released to Bursa Malaysia Securities Berhad in a timely manner in order to keep our investing public informed of the Group's latest performance and developments.

The Board has also ensured that the Company maintains accounting records that disclose with reasonable accuracy the financial position of the Company, and which enable the Board to ensure the financial statements comply with the CA 2016.

The Board has taken the necessary steps that are reasonably available to the Board to safeguard the assets of the Company, and to prevent and detect fraud and other irregularities.

ADDITIONAL COMPLIANCE INFORMATION DISCLOSURES

1. SHARE BUY-BACK AND RESALE

During the financial year ended 31 December 2018, the Company purchased a total of 30,178,000 ordinary shares from the open market at an average price of RM0.98 per share. The total consideration for the share buy-back was RM29,709,723 and was financed by internally generated funds. There were 37,517,900 treasury shares as at 31 December 2018.

There was no resale or cancellation of treasury shares during the financial year. The shares repurchased are being held as treasury shares in accordance with Section 127 of the Companies Act, 2016.

2. OPTIONS, WARRANTS AND CONVERTIBLE SECURITIES

On 9 April 2013, the Company issued 99,923,600 Warrants 2013/2018 ("Warrants") at an issue price of RM0.02 each pursuant to a renounceable rights issue of one warrant for every three existing ordinary shares held in the Company. During the financial year, a total of 68,711,512 (2017: 692,800) Warrants were exercised at the price of RM0.45 per ordinary share.

The Warrants 2013/2018 expired on 6 April 2018 and the remaining unexercised warrants amounting to 444,790 warrants lapsed during the financial year.

On 7 January 2019, 140,089,954 free warrants were issued for free to entitled shareholders of the Company on the basis of 1 warrant for every 4 existing ordinary shares at an exercise price of RM0.83.

Other than the above, there are no other options, warrants or convertible securities issued by the Company during the financial year in review.

3. SANCTIONS OR PENALTIES

The Company and its wholly-owned subsidiary, N2N Global Solutions Sdn Bhd had paid to the Inland Revenue Board of Malaysia, the additional tax and penalty for the years of assessment 2012 to 2016 total amounted to RM5,324,876.

4. NON-AUDIT FEES

During the financial year ended 31 December 2018, the External Auditors have rendered non-audit services to the Group and the Company.

The fees paid or payable to the External Auditors are as follows:-

No.	Non-Audit Services	Amount (RM)
1	Review of profit track record	37,500
2	Review of the management discussion and analysis	37,500
	TOTAL	75,000

5. MATERIAL CONTRACT

There were no material contracts involving directors and substantial shareholders during the financial year in review except for a Service Agreement dated 29 September 2004 entered into with Mr Tiang Boon Hwa ("TBH") for the appointment of TBH to act as Managing Director or in such other capacity as the Company may designate. The Company shall have the discretion to terminate TBH's employment lawfully (without notice or on notice less than that required under the Term above), by paying to TBH a sum equal to RM2,000,000 in addition to his salary and value of contractual benefits due to him in respect of that part of the period of the Term, which the Company has not given to TBH or the unexpired part of such fixed term.

FINANCIAL SECTION

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DIRECTORS' REPORT

The Directors have pleasure in submitting their report together with the audited financial statements of the Group and of the Company for the financial year ended 31 December 2018.

Principal Activities

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of its subsidiary companies are disclosed in Note 5 to the financial statements.

There have been no significant changes in the nature of these activities during the financial year.

Financial Results

	Group RM	Company RM
Profit for the financial year attributable to:		
- Owners of the Company	13,155,890	42,999,235
- Non-controlling interests	(365,437)	-
	12,790,453	42,999,235

Dividends

Since the end of the previous financial year, the Company paid:

(a) a first interim single-tier dividend of 3 sen per share amounting to RM15,785,461 in respect of the financial year ended 31 December 2018 on 28 March 2018; and

(b) a second interim single-tier dividend of 1 sen per share amounting to RM5,626,880 in respect of the financial year ended 31 December 2018 on 7 January 2019.

The Directors do not recommend any final dividend for the current financial year ended 31 December 2018.

Reserves and Provisions

There were no material transfers to or from reserves and provisions during the financial year under review other than those disclosed in the financial statements.

Issue of Shares and Debentures

During the financial year, the issued and paid-up share capital of the Company was increased from 477,124,898 ordinary shares to 597,877,841 ordinary shares by way of the issuance of:

(a) 68,711,512 new ordinary shares for cash pursuant to the exercise of Warrants based on an exercise price of RM0.45 per ordinary share; and

(b) 52,041,431 new ordinary shares for cash pursuant to the private placement at fair value of RM1.25 per ordinary share.

The new ordinary shares issued during the financial year ranked pari passu in all respects with the existing ordinary shares of the Company.

There were no issuances of debentures by the Company during the financial year.

Warrants 2013/2018

On 9 April 2013, the Company issued 99,923,600 Warrants 2013/2018 ("Warrants") at an issue price of RM0.02 each pursuant to a renounceable rights issue of one warrant for every three existing ordinary shares held in the Company. During the financial year, a total of 68,711,512 (2017: 692,800) Warrants were exercised.

The Warrants 2013/2018 expired on 6 April 2018 and the remaining unexercised warrants amounting to 444,790 had lapsed during the financial year.

The salient features of the Warrants are disclosed in Note 22(b) to the financial statements.

Options Granted Over Unissued Shares

No options were granted to any person to take up unissued shares of the Company during the financial year under review.

Repurchase of Shares

The mandate given by the shareholders at the Annual General Meeting ("AGM") held on 25 May 2018 to renew the Company's plan to repurchase its own shares will expire at the forthcoming AGM and an ordinary resolution will be tabled at the forthcoming AGM for shareholders to renew the mandate for another year.

During the financial year, the Company repurchased 30,178,000 shares at the cost of RM29,709,723. All repurchases of shares were financed by the Company's internally generated funds.

As at 31 December 2018, the Company held 37,517,900 treasury shares.

Repurchase of Shares (Continued)

Movement in the treasury shares is at follows:

	Number of shares	Amount RM	Average cost per share RM
At 1 January 2018	7,339,900	5,831,986	0.79
Repurchased during the financial year	30,178,000	29,709,723	0.98
At 31 December 2018	37,517,900	35,541,709	0.95

Directors

The Directors in office during the financial year and during the period from the end of the financial year to the date of this report are:

Tiang Boon Hwa	
Lai Su Ping	
Dato' Tan Boon Leng	
Elaine Foong Sooi Jade	
Akio Furuse	
Masashi Shindo	
Goh Ching Chee	(Appointed on 5 January 2018)
Fathi Ridzuan bin Ahmad Fauzi	(Appointed on 30 May 2018)
Goh Fuqiang, Kenneth	(Resigned on 5 January 2018)
Oh Kim Sun	(Resigned on 30 May 2018)

Directors' Interests in Shares or Debentures

According to the register of Directors' shareholdings required to be kept under Section 59 of the Companies Act, 2016, none of the Directors who held office at the end of the financial year held any shares in the Company or its subsidiaries or its holding company during the financial year except as follows:

	Number of ordinary shares			
Interest in the Company: N2N Connect Berhad	**At 1.1.2018 / date of appointment**	**Acquired**	**Disposed**	**At 31.12.2018**
Direct interest				
Lai Su Ping	15,995,644	2,045,213	-	18,040,857
Tiang Boon Hwa	14,918,944	2,502,089	-	17,421,033
Goh Ching Chee	6,000,000	-	-	6,000,000
Dato' Tan Boon Leng	1,232,700	411,166	-	1,643,866
Fathi Ridzuan bin Ahmad Fauzi	4,000	-	-	4,000
Indirect interest				
Lai Su Ping [1]	150,368,454	46,536,167	(87,861,493)	109,043,128
Tiang Boon Hwa [2]	151,445,154	46,079,291	(87,861,493)	109,662,952
Dato' Tan Boon Leng [3]	329,600	461,766	-	791,366

	Number of warrants 2013/2018			
Interest in the Company: N2N Connect Berhad	**At 1.1.2018**	**Converted**	**Disposed**	**At 31.12.2018**
Direct interest				
Lai Su Ping	2,045,213	(2,045,213)	-	-
Tiang Boon Hwa	2,502,089	(2,502,089)	-	-
Dato' Tan Boon Leng	411,166	(411,166)	-	-
Indirect interest				
Lai Su Ping [1]	49,064,558	(46,536,167)	(2,528,391)	-
Tiang Boon Hwa [2]	48,607,682	(46,079,291)	(2,528,391)	-
Dato' Tan Boon Leng [3]	461,766	(461,766)	-	-

NOTES:

1 *Deemed interest through her spouse's direct interest in the Company pursuant to Section 59(11)(c) of the Companies Act, 2016 and her direct interest in N2N Connect Holdings Sdn. Bhd. pursuant to Section 8 of the Companies Act, 2016.*

2. *Deemed interest through his spouse's direct interest in the Company pursuant to Section 59(11)(c) of the Companies Act, 2016 and his direct interest in N2N Connect Holdings Sdn. Bhd. pursuant to Section 8 of the Companies Act, 2016.*

3 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 59(11)(c) of the Companies Act, 2016.*

Directors' Interests in Shares or Debentures (Continued)

By virtue of their interests in the shares of the Company, Lai Su Ping, Tiang Boon Hwa, Dato' Tan Boon Leng, Goh Ching Chee and Fathi Ridzuan bin Ahmad Fauzi are also deemed to have interests in the shares of all its subsidiary companies to the extent the Company has an interest.

Akio Furuse, Elaine Foong Sooi Jade and Masashi Shindo who held office at the end of the financial year do not have any interest in shares or debentures in the Company or its subsidiaries during the financial year under review.

Directors' Benefits

Since the end of the previous financial year, no Director of the Company has received or become entitled to receive any benefit (other than a benefit included in the aggregate amount of emoluments received or due and receivable by Directors as shown in the financial statements) by reason of a contract made by the Company or a related corporation with the Director or with a firm of which the Director is a member, or with a company in which the Director has a substantial financial interest.

Neither during nor at the end of the financial year, was the Company or its subsidiary companies a party to any arrangement the object of which is to enable the Directors of the Company to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

Directors' Remuneration

Details of Directors' remuneration are disclosed in Note 26 to the financial statements.

Subsidiary Companies

Details of subsidiary companies are disclosed in Note 5 to the financial statements.

Auditors' Remuneration

Details of auditors' remuneration are disclosed in Note 26 to the financial statements.

Other Statutory Information

(a) Before the financial statements of the Group and of the Company were prepared, the Directors took reasonable steps:

(i) to ascertain that action had been taken in relation to the writing off of bad debts and the making of provision for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate provision had been made for impairment losses on receivables; and

(ii) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including the value of current assets as shown in the accounting records of the Group and of the Company have been written down to an amount which the current assets might be expected so to realise.

(b) At the date of this report, the Directors are not aware of any circumstances which would render:

(i) the amount written off for bad debts or the amount of the provision for doubtful debts in the financial statements of the Group and of the Company inadequate to any substantial extent; or

(ii) the values attributed to the current assets in the financial statements of the Group and of the Company misleading; or

(iii) adherence to the existing method of valuation of assets or liabilities of the Group and of the Company misleading or inappropriate; or

(iv) any amount stated in the financial statements of the Group and of the Company misleading.

(c) No contingent or other liability of any company in the Group has become enforceable, or is likely to become enforceable, within the period of twelve months after the end of the financial year which, in the opinion of the Directors, will or may affect the ability of the Group and of the Company to meet their obligations when they fall due.

(d) At the date of this report, there does not exist:

(i) any charge on the assets of the Group or of the Company which has arisen since the end of the financial year which secures the liabilities of any other person; or

(ii) any contingent liability of the Group or of the Company which has arisen since the end of the financial year.

(e) In the opinion of the Directors:

(i) the results of the operations of the Group and of the Company for the financial year were not substantially affected by any item, transaction or event of a material and unusual nature; and

(ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group and of the Company for the financial year in which this report is made.

Subsequent Events

The subsequent events are disclosed in Note 38 to the financial statements.

Auditors

The auditors, Messrs. Morison Anuarul Azizan Chew, have expressed their willingness to accept re-appointment.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

LAI SU PING	**TIANG BOON HWA**

Kuala Lumpur

16 April 2019

STATEMENT BY DIRECTORS

Pursuant to Section 251(2) of the Companies Act, 2016

We, **LAI SU PING** and **TIANG BOON HWA**, being two of the Directors of **N2N CONNECT BERHAD**, do hereby state that, in the opinion of the Directors, the financial statements set out on pages 84 to 170 are drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia so as to give true and fair view of the financial position of the Group and of the Company as at 31 December 2018 and of their financial performance and cash flows for the financial year then ended.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors

LAI SU PING

TIANG BOON HWA

Kuala Lumpur

16 April 2019

STATUTORY DECLARATION

Pursuant to Section 251(1) of the Companies Act, 2016

I, **TIANG BOON HWA**, being the Director primarily responsible for the financial management of **N2N CONNECT BERHAD**, do solemnly and sincerely declare that the financial statements set out on pages 84 to 170 are to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by)
the above named **TIANG BOON HWA**)
at Kuala Lumpur in the state of Wilayah Persekutuan)
on this date of 16 April 2019)

TIANG BOON HWA

Before me,

COMMISSIONER FOR OATHS

INDEPENDENT AUDITORS' REPORT

To the members of N2N Connect Berhad

(Company No : 523137 - K)
(Incorporated in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of N2N Connect Berhad, which comprise the statements of financial position as at 31 December 2018 of the Group and of the Company, and the statements of profit or loss and other comprehensive income, statements of changes in equity and statements of cash flows of the Group and of the Company for the financial year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 84 to 170.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of the Company as at 31 December 2018, and of their financial performance and their cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of the Company in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of the Company for the current year. These matters were addressed in the context of our audit of the financial statements of the Group and of the Company as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key Audit Matters (Continued)

Key audit matter	How our audit addressed the key audit matter
Revenue recognition (Refer to Note 2.4(m) and Note 25 to the financial statements)	
We focused on this area because there is an inherent risk over the accuracy of application solutions revenue recorded by the Group and the Company, given the complexity of the pricing models for different customers and the varying tier-based charges arising from the volume of matched trades processed by the system.	Our audit procedures included controls testing and substantive procedures covering, in particular, the following: • We engaged an external independent IT audit expert to test the IT control environment, including application controls over the systems that processed matched trade information; • We assessed the appropriateness of the external independent IT audit experts' scope of work and evaluated whether they had sufficient expertise, capabilities and objectivity to perform the work; • We discussed with the management and the external independent IT audit experts on the IT environment and application controls over the processing of matched trade transactions; • We reviewed the working papers of the independent external IT audit experts and the reports they issued; • We traced a sample of matched trade information log back to the system's database used for raising bills; • We performed tests on accuracy of customer bill generation on a sample basis based on the pricing model and charges based on the signed contract terms; • Traced and matched cash receipts on a sample of customers back to the sales invoice.

Key Audit Matters (Continued)

Key audit matter	How our audit addressed the key audit matter
Goodwill impairment assessment (Refer to Note 2.3(i) and Note 7 to the financial statements)	
As at 31 December 2018, the Group recognised goodwill amounting to RM54,437,412 arising from the acquisition of N2N-AFE (Hong Kong) Limited ("N2N-AFE"). Pursuant to MFRS 136 "Impairment of Assets", the Group is required to perform annual impairment assessment on its goodwill. The Group estimated the recoverable amount of the cash-generating unit ("CGU") to which goodwill is allocated based on its value-in-use ("VIU"). In view of the significant carrying amount of the CGU (including goodwill), coupled with the complexity and subjectivity of the assumption involved in the annual impairment test, we consider this to be an audit focus.	We evaluated management's impairment assessment and the process by which they were developed, including its oversight of the impairment assessment by the Board of Directors. We challenged assumptions used in the impairment assessment model which, amongst others, include: • forecast revenue; • forecast cost of sales and operating costs; • forecast capital expenditure; and • discount rates. Sensitivity analysis was performed on key assumptions used by management and we assessed the impact on the recoverable amount of the goodwill within a reasonable range. We found that the forecast assumptions were consistent with our understanding. Based on the procedures performed, we did not find any material exceptions to the conclusions made by the Group on the impairment assessment of goodwill as at 31 December 2018.

Information Other than the Financial Statements and Auditors' Report Thereon

The Directors of the Company are responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the financial statements of the Group and of the Company and our auditors' report thereon.

Our opinion on the financial statements of the Group and of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Group and of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The Directors of the Company are responsible for the preparation of financial statements of the Group and of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements of the Group and of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of the Company, the Directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Group or the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's or the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or the Company to cease to continue as a going concern

Auditors' Responsibilities for the Audit of the Financial Statements (Continued)

- Evaluate the overall presentation, structure and content of the financial statements of the Group and of the Company, including the disclosures, and whether the financial statements of the Group and of the Company represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Directors, we determine those matters that were of most significance in the audit of the financial statements of the Group and of the Company for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

In accordance with the requirements of the Companies Act, 2016 in Malaysia, we report that the subsidiaries of which we have not acted as auditors, are disclosed in Note 5 to the financial statements.

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act, 2016 in Malaysia and for no other purpose. We do not assume any responsibility to any other person for the content of this report.

MORISON ANUARUL AZIZAN CHEW
Firm Number: AF 001977
Chartered Accountants

CHEW LOONG JIN
Approved Number: 03279/03/2021 J
Chartered Accountant

KUALA LUMPUR

16 April 2019

STATEMENTS OF FINANCIAL POSITION

As at 31 December 2018

	Note	Group 2018 RM	Group 2017 RM	Company 2018 RM	Company 2017 RM
Non-Current Assets					
Property, plant and equipment	3	33,425,226	36,953,390	24,426,123	25,313,206
Investment properties	4	10,197,149	10,431,466	10,197,149	10,431,466
Investment in subsidiary companies	5	-	-	95,423,215	95,423,215
Investment in associates	6	8,042,767	61,201	8,330,840	-
Intangible assets	7	75,105,152	73,667,548	-	14,201,737
Amount owing by subsidiary companies	8	-	-	1,658,080	-
		126,770,294	121,113,605	140,035,407	145,369,624
Current Assets					
Trade receivables	9	16,661,279	12,007,893	4,144	218,096
Other receivables	10	7,164,575	6,459,061	1,055,481	333,979
Amount owing by subsidiary companies	8	-	-	33,654,591	13,812,054
Amount owing by related companies	11	409,397	251,956	398,380	243,353
Amount owing by an associate	12	681,008	-	11,156	-
Amount owing by a corporate shareholder	13	-	140,442	-	92,418
Tax recoverable		431,605	981,085	431,605	-
Marketable securities	14	52,045,002	43,942,563	52,038,023	38,711,059
Financial assets at fair value through profit or loss	15	114,289	316,161	114,289	316,161
Deposits with licensed banks	16	341,337	44,206,733	341,337	44,206,733
Cash and bank balances		101,575,891	53,158,054	71,605,437	9,513,589
		179,424,383	161,463,948	159,654,443	107,447,442
Current Liabilities					
Trade payables	17	5,496,961	6,154,583	143,905	203,233
Other payables	18	16,404,127	10,771,769	6,530,667	1,303,201
Amount owing to a subsidiary company	8	-	-	-	5,177,787
Amount owing to related companies	11	24,542	17,797	-	-
Amount owing to a corporate shareholder	13	-	1,228,500	-	-
Bank borrowings	19	9,191,111	40,462,300	9,191,111	40,462,300
Provision for taxation		2,655,602	242,027	-	231,045
		33,772,343	58,876,976	15,865,683	47,377,566
Net current assets		145,652,040	102,586,972	143,788,760	60,069,876
		272,422,334	223,700,577	283,824,167	205,439,500

		Group		Company	
		2018	**2017**	**2018**	**2017**
	Note	**RM**	**RM**	**RM**	**RM**
Financed By:					
Share capital	20	260,986,903	163,640,704	260,986,903	163,640,704
Treasury shares	21	(35,541,709)	(5,831,986)	(35,541,709)	(5,831,986)
Reserves	22	(7,563,337)	(6,850,202)	-	1,383,126
Retained profits		30,551,224	38,562,649	37,393,198	15,797,409
Equity attributable to owners of the Company		248,433,081	189,521,165	262,838,392	174,989,253
Non-controlling interests		(82,977)	282,460	-	-
Total Equity		248,350,104	189,803,625	262,838,392	174,989,253
Non-Current Liabilities					
Bank borrowings	19	20,680,000	28,923,256	20,680,000	28,923,256
Provision for retirement benefits	23	2,234,570	2,433,593	-	-
Deferred tax liabilities	24	1,157,660	2,540,103	305,775	1,526,991
		24,072,230	33,896,952	20,985,775	30,450,247
		272,422,334	223,700,577	283,824,167	205,439,500

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the financial year ended 31 December 2018

		Group		Company	
	Note	2018 RM	2017 RM	2018 RM	2017 RM
Revenue	25	108,117,600	97,284,995	954,551	7,482,449
Cost of sales		(46,976,171)	(43,653,636)	(683,986)	(2,995,459)
Gross profit		61,141,429	53,631,359	270,565	4,486,990
Other operating income		4,005,803	13,466,301	54,392,582	25,942,420
Administration expenses		(43,808,734)	(39,670,889)	(7,639,622)	(8,226,431)
Finance costs		(1,840,089)	(2,275,983)	(1,840,089)	(2,272,868)
Share of associates' results		(207,658)	-	-	-
Profit before taxation	26	19,290,751	25,150,788	45,183,436	19,930,111
Taxation	27	(6,500,298)	(1,414,100)	(2,184,201)	(851,722)
Profit for the financial year		12,790,453	23,736,688	42,999,235	19,078,389
Other comprehensive income/(expense):					
Item that may be reclassified subsequently to profit or loss:					
- Exchange differences arising from translation of foreign operations		669,991	(9,036,894)	-	-
Item that may be reclassified subsequently to profit or loss:					
- Remeasurement for long service payments, net of tax		495,197	998,055	-	-
Total comprehensive income for the financial year		13,955,641	15,697,849	42,999,235	19,078,389

		Group		Company	
	Note	**2018 RM**	**2017 RM**	**2018 RM**	**2017 RM**
Profit for the financial year attributable to:					
- Owners of the Company		13,155,890	23,977,502	42,999,235	19,078,389
- Non-controlling interests		(365,437)	(240,814)	-	-
		12,790,453	23,736,688	42,999,235	19,078,389
Total comprehensive income attributable to:					
- Owners of the Company		14,321,078	15,938,663	42,999,235	19,078,389
- Non-controlling interests		(365,437)	(240,814)	-	-
		13,955,641	15,697,849	42,999,235	19,078,389
Earnings per share attributable to owners of the Company:					
- Basic (sen)	28(a)	2.46	5.11		
- Diluted (sen)	28(b)	2.46	4.73		

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CHANGES IN EQUITY

For the financial year ended 31 December 2018

		Attributable to Owners of the Company							
		Non-distributable				Distributable			
Group	**Note**	**Share Capital RM**	**Treasury Share RM**	**Exchange Reserve RM**	**Warrants Reserve RM**	**Retained Profits RM**	**Sub-Total RM**	**Non-Controlling Interest RM**	**Total Equity RM**
At 1 January 2018		163,640,704	(5,831,986)	(8,233,328)	1,383,126	38,562,649	189,521,165	282,460	189,803,625
Effect of MFRS 9 adoption	37	-	-	-	-	(259,066)	(259,066)	-	(259,066)
At 1 January 2018 (restated)		163,640,704	(5,831,986)	(8,233,328)	1,383,126	38,303,583	189,262,099	282,460	189,544,559
Issuance of shares pursuant to:									
- Exercise of Warrants		32,294,410	-	-	(1,374,231)	-	30,920,179	-	30,920,179
- Private placement		65,051,789	-	-	-	-	65,051,789	-	65,051,789
Shares repurchased during the year held as treasury shares	21	-	(29,709,723)	-	-	-	(29,709,723)	-	(29,709,723)
Transfer of unexercised warrants reserve upon expiry		-	-	-	(8,895)	8,895	-	-	-
Dividends	29	-	-	-	-	(21,412,341)	(21,412,341)	-	(21,412,341)
Profit for the financial year		-	-	-	-	13,155,890	13,155,890	(365,437)	12,790,453
Other comprehensive income:									
- Exchange differences arising from translation of foreign operations		-	-	669,991	-	-	669,991	-	669,991
- Remeasurement for long service payments, net of tax		-	-	-	-	495,197	495,197	-	495,197
Total comprehensive income for the financial year		-	-	669,991	-	13,651,087	14,321,078	(365,437)	13,955,641
At 31 December 2018		260,986,903	(35,541,709)	(7,503,337)	-	30,551,224	248,433,081	(82,977)	248,350,104

		Attributable to Owners of the Company								
		Non-distributable					Distributable			
Group	**Note**	**Share Capital RM**	**Share Premium RM**	**Treasury Reserve RM**	**Exchange Reserve RM**	**Warrants Reserve RM**	**Retained Profits RM**	**Sub-Total RM**	**Non-Controlling Interest RM**	**Total Equity RM**
At 1 January 2017		47,643,210	115,671,878	(5,408,735)	803,566	1,396,982	18,284,671	178,391,572	523,274	178,914,846
Issuance of shares pursuant to exercise of Warrants		325,616	-	-	-	(13,856)	-	311,760	-	311,760
Shares repurchased during the year held as treasury shares	21	-	-	(423,251)	-	-	-	(423,251)	-	(423,251)
Transition to no-par value regime	20	115,671,878	(115,671,878)	-	-	-	-	-	-	-
Dividends	29	-	-	-	-	-	(4,697,579)	(4,697,579)	-	(4,697,579)
Profit for the financial year		-	-	-	-	-	23,977,502	23,977,502	(240,814)	23,736,688
Other comprehensive income/(expense):										
- Exchange differences arising from translation of foreign operations		-	-	-	(9,036,894)	-	-	(9,036,894)	-	(9,036,894)
- Remeasurement for long service payments, net of tax		-	-	-	-	-	998,055	998,055	-	998,055
Total comprehensive income for the financial year		-	-	-	(9,036,894)	-	24,975,557	15,938,663	(240,814)	15,697,849
At 31 December 2017		163,640,704	-	(5,831,986)	(8,233,328)	1,383,126	38,562,649	189,521,165	282,460	189,803,625

		Non-distributable			Distributable	
Company	**Note**	**Share Capital RM**	**Treasury Reserve RM**	**Warrants Reserve RM**	**Retained Profits RM**	**Total RM**
At 1 January 2018		163,640,704	(5,831,986)	1,383,126	15,797,409	174,989,253
Issuance of shares pursuant to						
- Exercise of Warrants		32,294,410	-	(1,374,231)	-	30,920,179
- Private placement		65,051,789	-	-	-	65,051,789
Shares repurchased during the year held as treasury shares	21	-	(29,709,723)	-	-	(29,709,723)
Transfer of unexercised warrants reserve upon expiry		-	-	(8,895)	(8,895)	-
Dividends	29	-	-	-	(21,412,341)	(21,412,341)
Profit/Total comprehensive income for the financial year		-	-	-	42,999,235	42,999,235
At 31 December 2018		260,986,903	(35,541,709)	-	37,393,198	262,838,392

		Non-distributable				Distributable	
Company	**Note**	**Share Capital RM**	**Share Premium RM**	**Treasury Reserve RM**	**Warrants Reserve RM**	**Retained Profits RM**	**Total RM**
At 1 January 2017		47,643,210	115,671,878	(5,408,735)	1,396,982	1,416,599	160,719,934
Issuance of shares pursuant to exercise of Warrants		325,616	-	-	(13,856)	-	311,760
Shares repurchased during the year held as treasury shares	21	-	-	(423,251)	-	-	(423,251)
Transition to no par value regime	20	115,671,878	(115,671,878)	-	-	-	-
Dividends	29	-	-	-	-	(4,697,579)	(4,697,579)
Profit/Total comprehensive income for the financial year		-	-	-	-	19,078,389	19,078,389
At 31 December 2017		163,640,704	-	(5,831,986)	1,383,126	15,797,409	174,989,253

The accompanying notes form an integral part of the financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

For the financial year ended 31 December 2018

	2018 RM	2017 RM
Cash Flows From Operating Activities		
Profit before taxation	19,290,751	25,150,788
Adjustments for:		
Amortisation of intangible assets	4,164,539	3,834,322
Bad debts written off	-	9,935
Depreciation of property, plant and equipment	5,896,706	6,254,107
Depreciation of investment properties	234,317	245,748
Fair value change on financial assets at fair value through profit and loss	201,872	(1,067,767)
Gain on disposal of property, plant and equipment	(29,120)	(14,000)
Impairment loss of trade receivables	754,587	-
Property, plant and equipment written off	17,023	6,562
Provision for long service payments	356,626	328,742
Share of associates' results	207,658	-
Unrealised foreign exchange loss/(gain)	379,850	(7,833,693)
Finance costs	1,840,089	2,275,983
Finance income	(698,936)	(2,591,896)
Dividend income	(1,943,567)	(565,358)
Operating profit before working capital changes	30,672,395	26,033,473
Changes in working capital:		
Trade receivables	(5,642,705)	8,228,879
Other receivables	(3,114,445)	10,656,554
Trade payables	(660,134)	(11,133,166)
Other payables	5,479	5,193,093
Amount owing by/(to) related companies	(150,696)	(196,420)
Amount owing by an associate	1,727,923	-
Amount owing by/(to) a corporate shareholder	(1,088,058)	1,195,765
	(8,922,636)	13,944,705
Cash generated from operations	21,749,759	39,978,178
Dividend received	1,943,567	565,358
Interest paid	(1,840,089)	(2,275,983)
Interest received	698,936	2,591,896
Tax refund	744,709	303,859
Tax paid	(5,906,403)	(1,944,230)
	(4,359,280)	(759,100)
Net cash generated from operating activities	17,390,479	39,219,078

	2018 RM	2017 RM
Cash Flows From Investing Activities		
Computer software development cost	(4,527,101)	(4,471,751)
Purchase of property, plant and equipment	(2,362,029)	(3,508,309)
Acquisition of a subsidiary, net of cash acquired	-	(66,848,875)
Proceeds from disposal of property, plant and equipment	55,000	14,000
Proceeds from disposal of financial assets at fair value through profit or loss	-	3,675,054
Net changes in marketable securities	(8,102,439)	26,786,516
Investment in associates	(8,330,840)	(61,201)
Net cash used in investing activities	(23,267,409)	(44,414,566)
Cash Flows From Financing Activities		
Dividend paid	(15,785,462)	(4,697,579)
Decrease/(Increase) in fixed deposit pledged	43,865,396	(44,206,733)
Proceeds from exercise of Warrants	30,920,179	311,760
Proceeds from private placement of shares	65,051,789	-
(Repayment)/Drawdown of bank borrowings, net	(40,095,001)	73,694,595
Repayment of finance lease	-	(42,124)
Repurchase of treasury shares	(29,709,723)	(423,251)
Net cash generated from financing activities	54,247,178	24,636,668
Net increase in cash and cash equivalents	48,370,248	19,441,180
Effect of exchange rate changes	47,589	(2,810,227)
Cash and cash equivalents at beginning of the financial year	53,158,054	36,527,101
Cash and cash equivalents at end of the financial year	101,575,891	53,158,054

Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed banks	341,337	44,206,733
Cash and bank balances	101,575,891	53,158,054
	101,917,228	97,364,787
Less: Fixed deposits pledged to a licensed bank	(341,337)	(44,206,733)
	101,575,891	53,158,054

The accompanying notes form an integral part of the financial statements.

COMPANY STATEMENT OF CASH FLOWS

For the financial year ended 31 December 2018

	2018 RM	2017 RM
Cash Flows From Operating Activities		
Profit before taxation	45,183,436	19,930,111
Adjustments for:		
Amortisation of intangible assets	658,140	2,531,985
Depreciation of property, plant and equipment	994,726	1,069,117
Depreciation of investment properties	234,317	245,748
Fair value change on financial assets at fair value through profit and loss	201,872	(1,067,767)
Gain on disposal of property, plant and equipment	-	(14,000)
Property, plant and equipment written off	-	267
Finance costs	1,840,089	2,272,868
Finance income	(514,620)	(2,378,810)
Dividend income	(51,932,900)	(11,498,704)
Unrealised foreign exchange loss/(gain)	494,363	(8,289,971)
Operating (loss)/profit before working capital changes	(2,840,577)	2,800,844
Changes in working capital:		
Trade receivables	213,952	513,017
Other receivables	(721,502)	8,185,394
Trade payables	(64,600)	25,877
Other payables	(399,413)	95,819
Amount owing by subsidiary companies	(26,670,421)	12,220,318
Amount owing by related companies	(166,183)	3,413,187
Amount owing by a corporate shareholder	92,418	-
	(27,715,749)	24,453,612
Cash (used in)/generated from operations	(30,556,326)	27,254,456
Dividend received	51,932,900	11,498,704
Interest paid	(1,840,089)	(2,272,868)
Interest received	514,620	2,378,810
Tax refund	(4,068,067)	(434,625)
Tax paid	-	97,114
	46,539,364	11,267,135
Net cash generated from operating activities	15,983,038	38,521,591

	2018 RM	2017 RM
Cash Flows From Investing Activities		
Computer software development cost	(658,897)	(2,913,736)
Purchase of property, plant and equipment	(107,643)	(421,851)
Proceeds from disposal of property, plant and equipment	-	14,000
Proceeds from disposal of intangible assets	14,202,494	-
Proceeds from disposal of financial assets at fair value through profit or loss	-	3,675,054
Net changes in marketable securities	(13,326,964)	27,000,118
Investment in subsidiary companies	-	(93,328,213)
Investment in an associate	(8,330,840)	-
Net cash used in investing activities	(8,221,850)	(65,974,628)
Cash Flows From Financing Activities		
Dividend paid	(15,785,462)	(4,697,579)
Decrease/(Increase) in fixed deposit pledged	43,865,396	(44,206,733)
Proceeds from exercise of Warrants	30,920,179	-
Proceeds from private placement of shares	65,051,789	311,760
(Prepayment)/Drawdown of bank borrowings, net	(40,095,001)	73,694,595
Repurchase of treasury shares	(29,709,723)	(423,251)
Net cash generated from financing activities	54,247,178	24,678,792
Net increase/(decrease) in cash and cash equivalents	62,008,366	(2,774,245)
Effect of exchange rate changes	83,482	-
Cash and cash equivalents at beginning of the financial year	9,513,589	12,287,834
Cash and cash equivalents at end of the financial year	71,605,437	9,513,589

Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed banks	341,337	44,206,733
Cash and bank balances	71,605,437	9,513,589
	71,946,774	53,720,322
Less: Fixed deposits pledged to a licensed bank	(341,337)	(44,206,733)
	71,605,437	9,513,589

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. Corporate Information

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of the subsidiary companies are disclosed in Note 5 to the financial statements.

The Company is a public limited liability company, incorporated under the Companies Act, 1965 and domiciled in Malaysia, and is listed on the ACE Market of Bursa Malaysia Securities Berhad.

The registered office of the Company is located at 3rd Floor, No. 17, Jalan Ipoh Kecil, 50350 Kuala Lumpur.

The principal place of business of the Company is located at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur.

2. Basis of Preparation and Significant Accounting Policies

2.1 Basis of preparation

The financial statements of the Group and of the Company have been prepared in accordance with the provisions of the Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia.

The financial statements have been prepared under the historical cost convention except as disclosed in summary of significant accounting policies.

The preparation of financial statements in conformity with MFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amount of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amount of revenues and expenses during the reported period. It also requires Directors to exercise their judgment in the process of applying the Group's and the Company's accounting policies. Although these estimates and judgment are based on the Directors' best knowledge of current events and actions, actual results may differ. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 2.3 to the financial statements.

Accounting standards, amendments to accounting standards and IC interpretation that are effective for the Group's and the Company's financial year beginning on or after 1 January 2018 are as follows:

- MFRS 9, "Financial Instruments"
- MFRS 15, "Revenue from Contracts with Customers"
- Amendments to MFRS 1, "First-time Adoption of Malaysian Financial Reporting Standards" (Annual improvements 2014-2016 cycle)
- Amendments to MFRS 2, "Classification and Measurement of Share-Based Payment Transactions"
- Amendments to MFRS 4, "Applying MFRS 9 Financial Instruments with MFRS 4 Insurance Contracts"
- Amendments to MFRS 128, "Investments in Associates and Joint Ventures" (Annual improvements 2014-2016 cycle)
- Amendments to MFRS 140, "Transfers of Investment Property"
- IC Interpretation 22, "Foreign Currency Transactions and Advance Consideration"

2. Basis of Preparation and Significant Accounting Policies (continued)

2.1 Basis of preparation (continued)

The above accounting standards, amendments to accounting standards and IC interpretation effective during the financial year do not have any significant impact to the financial results and position of the Group and the Company, except as follows:

Adoption of MFRS 9 Financial Instruments

The Group and the Company applied MFRS 9 for the first time in the 2018 financial statements with the date of initial application of 1 January 2018. The standard is applied retrospectively.

In accordance with the transitional provisions provided in MFRS 9, comparative information for 2017 was not restated and continued to be reported under the previous accounting policies governed under MFRS 139. The cumulative effects of initially applying MFRS 9 were recognised as an adjustment to the opening balance of retained earnings as at 1 January 2018. The detailed impact of the change in accounting policy on financial instruments is disclosed in Note 37 to the financial statements.

Adoption of MFRS 15 Revenue from Contracts with Customers

The Group and the Company applied MFRS 15 which is applied retrospectively from 1 January 2018. This Standard establishes a five-step model that will apply to recognition of revenue arising from contracts with customers, and provide a more structured approach in measuring and recognising revenue. Under this Standard, revenue will be recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer.

The adoption of this Standard results in changes in accounting policies for revenue recognition, and has no material financial impact other than the disclosures made in the Group's and the Company's financial statements.

Accounting standards, amendments to accounting standards, IC interpretation and amendments to IC interpretations that are applicable for the Group and the Company in the following periods but are not yet effective:

Annual periods beginning on/after 1 January 2019

- MFRS 16, "Leases"
- Amendments to MFRS 3, "Business Combination"(Annual improvements to 2015-2017 Cycle)
- Amendments to MFRS 9, "Prepayment Features with Negative Compensation"
- Amendments to MFRS 11, "Joint Arrangement"(Annual improvements to 2015-2017 Cycle)
- Amendments to MFRS 112, "Income taxes"(Annual improvements to 2015-2017 Cycle)
- Amendments to MFRS 119, "Employee Benefits"(Plan amendment, curtailment or settlement)
- Amendments to MFRS 123, "Borrowing Costs"(Annual improvements to 2015-2017 Cycle)
- Amendments to MFRS 128, "Long-term Interests in Associates and Joint Ventures"
- IC Interpretation 23, "Uncertainty over Income Tax Treatments"

2. Basis of Preparation and Significant Accounting Policies (continued)

2.1 Basis of preparation (continued)

Annual periods beginning on/after 1 January 2020

Amendments to References to the Conceptual Framework in MFRS Standards:

- Amendments to MFRS 2, "Share Based Payments"
- Amendments to MFRS 3, "Business Combinations"
- Amendments to MFRS 6, "Exploration for and Evaluation of Mineral Resources"
- Amendments to MFRS 14, "Regulatory Deferral Accounts"
- Amendments to MFRS 101, "Presentation of Financial Statements"
- Amendments to MFRS 108, "Accounting Policies, Changes in Accounting Estimates and Errors"
- Amendments to MFRS 134, "Interim Financial Reporting"
- Amendment to MFRS 137, "Provisions, Contingent Liabilities and Contingent Assets"
- Amendment to MFRS 138, "Intangible Assets"
- Amendment to IC Interpretation 12, "Service Concession Arrangements"
- Amendment to IC Interpretation 19, "Extinguishing Financial Liabilities with Equity Instruments"
- Amendment to IC Interpretation 20, "Stripping Costs in the Production Phase of a Surface Mine"
- Amendment to IC Interpretation 22, "Foreign Currency Transactions and Advance Considerations"
- Amendments to IC Interpretation 132, "Intangible Assets- Web Site Costs"

Annual periods beginning on/after 1 January 2021

- MFRS 17, "Insurance Contracts"

Effective date yet to be determined by the Malaysian Accounting Standards Board

- Amendments to MFRS 10 and MFRS 128, "Sale or Contribution of Assets between an Investor and its Associate or Joint Venture"

The above accounting standards, amendments to accounting standards, IC Interpretations and amendments to IC Interpretation which may have a significant impact to the financial statements are as follows:

<u>MFRS 16 "Leases"</u>

MFRS 16 eliminates the distinction between finance and operating leases for lessees. All leases will be brought onto its balance sheet as recording certain leases as off-balance sheet leases will no longer be allowed except for some limited practical exemptions. In other words, for a lessee that has material operating leases, the assets and liabilities reported on its balance sheet are expected to increase substantially.

The impact of the above is still being assessed. Aside from the above mentioned, the adoption of the accounting standards and amendments to accounting standards are not expected to have any significant impact to the financial statements of the Group and the Company.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.2 Basis of consolidation

(a) Subsidiary companies

Subsidiaries are entities, including structured entities, controlled by the Group. The Group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

The Group considers it has de-facto power over an investee when, despite not having the majority of voting rights, it has the current ability in circumstances where the size of the Group's voting rights relative to the size and dispersion of holdings of other shareholders to direct the activities of the investee that significantly affect the investee's return.

Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

Business combinations are accounted for using the acquisition method on the acquisition date. The consideration transferred includes the fair value of assets transferred, equity interest issued by the Group and liabilities assumed. Identifiable assets acquired, liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date.

The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of the acquiree's identifiable net assets.

Acquisition-related costs are recognised in the profit or loss as incurred.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recognised as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the profit or loss.

Inter-company transactions, balances and unrealised gains and losses on transactions between group companies are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions. Any difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.2 Basis of consolidation (continued)

(a) Subsidiary companies (continued)

Upon the loss of control of a subsidiary, the Group derecognises the assets and liabilities, any non-controlling interests and other components of equity related to the disposed subsidiary. Any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset depending on the level of influence retained.

(b) Associates

Associates are all entities over which the Group has significant influence but not control or joint control, over the financial and operating policies. Investments in associates are accounted for using the equity method of accounting. Under the equity method, the investment is initially recognised at cost. The Group's investment in associates includes goodwill identified on acquisition.

The Group's share of post-acquisition profit or loss is recognised in profit or loss and its share of post-acquisition movements in other comprehensive income is recognised in other comprehensive income. Dividends received or receivable from an associate are recognised as a reduction in the carrying amount of the investment.

When the Group's share of losses in an associate equals or exceeds its interest in the associate, the Group does not recognise further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.

Profits and losses resulting from upstream and downstream transactions between the Group and its associate are recognised in the Group's financial statements only to the extent of unrelated investor's interests in the associates. Unrealised losses are eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been changed where necessary to ensure consistency with the policies adopted by the Group.

If the ownership interest in an associate is reduced but significant influence is retained, the proportionate share of the amounts previously recognised in other comprehensive income is reclassified to profit or loss where appropriate. Dilution gains or losses arising from investments in associates are recognised in profit or loss.

The Group determines at each reporting date whether there is any objective evidence that the investment in the associate is impaired. If this is the case, the Group calculates the amount of impairment if the carrying value exceeds the recoverable amount of the associate and recognises the difference as impairment losses in profit or loss.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.3 Significant accounting estimates and judgements

Estimates, assumptions concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Group's and the Company's accounting policies, reported amounts of assets, liabilities, income and expenses, and disclosures made. They are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

The key assumptions concerning the future and other key sources of estimation or uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

(i) Impairment of goodwill

The Group determines whether goodwill is impaired at least on an annual basis. This requires an estimation of the value in use of the cash-generating units to which the goodwill is allocated. Estimating the value in use requires the group to make an estimate of the expected future cash flows from the cash-generating unit and also to choose a suitable discount rate in order to calculate the present value of those cash flows.

(ii) Impairment of software development costs

Software development costs comprise salaries of personnel involved in the development and design of products.

The Group reviews the carrying amounts of software development costs as at the end of the reporting period to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amount or value in use is estimated. Determining the value in use of software development costs requires the determination of future cash flows expected to be generated from the continued use, and ultimate disposition of such assets. Any resulting impairment loss could have a material adverse impact on the Group's financial position and results of operations.

Significant judgement in the estimation of the present value of future cash flows generated by the software development costs, which involve uncertainties and are significantly affected by assumptions used and judgement made regarding estimates of future cash flows and discount rates. Changes in assumptions could significantly affect the results of the Group's assessment for impairment of software development costs.

(iii) Impairment of loans and receivables (from 1 January 2017 to 31 December 2017)

The impairment is established when there is objective evidence that the Group will not be able to collect all amounts due according to the original terms of receivables. This is determined based on the ageing profile, expected collection patterns of individual receivable balances, credit quality and credit losses incurred. Management carefully monitors the credit quality of receivable balances and makes estimates about the amount of credit losses that have been incurred at each reporting date. Any changes to the ageing profile, collection patterns, credit quality and credit losses can have an impact on the impairment recorded.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.3 Significant accounting estimates and judgements (continued)

(iv) Measurement of expected credit loss allowance for financial assets (effective from 1 January 2018)

From 1 January 2018, the loss allowances for financial assets are based on assumptions about risk of default and expected loss rates. The Group use judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Group's past history, existing market conditions as well as forward looking estimates at the end of reporting period.

(v) Provision for long service payments

The Group estimates the liability in respect of the long service payments to its employees which require assumptions to be made in respect of future income levels, inflation and discount rate at the end of the reporting period to estimate the future cash outflows. The discount rate used in respect of the long service payment is 2.30%. Where expectations differ from the original estimates, the differences will impact the carrying amount of provision for long service payments.

2.4 Summary of significant accounting policies

(a) Investment in subsidiaries and associates

In the Company's separate financial statements, investments in subsidiaries and associates are carried at cost less accumulated impairment losses. On disposal of investments in subsidiaries and associates, the difference between disposal proceeds and the carrying amounts of the investment are recognised in profit or loss.

(b) Property, plant and equipment

(i) Recognition and measurement

Property, plant and equipment are stated at cost less accumulated depreciation and impairment losses. The cost of an item of property, plant and equipment initially recognised includes its purchase price and any cost that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are recognised as expenses in profit or loss during the financial period in which they are incurred.

When significant parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Gains and losses on disposals are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognised as net in the profit or loss.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(b) Property, plant and equipment (continued)

(ii) Depreciation

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leasehold land and building are amortised over the period of the lease. The estimated useful lives are as follows:

Leasehold land	99 years
Leasehold building	50 years
Computer equipment	3 to 5 years
Office equipment	5 to 10 years
Furniture and fittings	5 to 10 years
Renovation	3 to 10 years
Motor vehicles	5 years

Depreciation methods, useful lives and residual values are reviewed at end of each reporting period, and adjusted as appropriate.

At the end of the reporting period, the Group assesses whether there is any indication of impairment. If such indications exist, an analysis is performed to assess whether the carrying amount of the asset is fully recoverable. A write down is made if the carrying amount exceeds the recoverable amount.

(c) Investment properties

Investment properties are properties which are owned or held under a leasehold interest to earn rental income or for capital appreciation or for both. Properties that are occupied by the Group and the Company are accounted for as owner-occupied rather than as investment properties. Investment properties are measured initially at cost, including related transaction costs. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses, consistent with the accounting policy for property, plant and equipment as stated in accounting policy Note 2.4(b) to the financial statements.

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful life of the properties. Leasehold land is amortised over the period of lease of 99 years and building is depreciated over their estimated useful life of 50 years.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the profit or loss in the financial year in which they arise.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(d) Impairment of non-financial assets

Assets that have an indefinite useful life, such as goodwill or intangible assets not ready to use, are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation and depreciation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash-generating units.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

An impairment loss is recognised if the carrying amount of an asset or its related cash-generating unit exceeds its estimated recoverable amount.

Impairment losses are recognised in profit or loss unless it reverses a previous revaluation in which it is charged to the revaluation surplus. Impairment losses recognised in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are credited to profit or loss in the financial year in which the reversals are recognised.

(e) Intangible assets

(i) Goodwill

Goodwill arises on the acquisition of subsidiaries and represents the excess of the consideration transferred over the Group's interest in net fair value of the net identifiable assets, liabilities and contingent liabilities of the acquiree and the fair value of the non-controlling interest in the acquiree.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash generating units ("CGUs"), or groups of CGUs, that is expected to benefit from the synergies of the combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(e) Intangible assets (continued)

(i) Goodwill (continued)

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of goodwill is compared to the recoverable amount, which is the higher of value in use and the fair value less costs to sell. Any impairment is recognised immediately as an expense and is not subsequently reversed.

(ii) Research and development costs

Internally generated development costs incurred for computer software that are directly attributable to a plan or design for the production of new or substantially improved identifiable products and processes are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

Capitalised development costs recognised as assets are amortised over its estimated useful lives of 5 to 10 years.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(e) Intangible assets (continued)

(iii) Club membership

Club membership that has an indefinite useful life held by the Group is stated at cost less provision for impairment.

(f) Cash and cash equivalents

Cash and cash equivalents consist of cash and bank balances and deposits with banks and highly liquid investments which have an insignificant risk of changes in fair value with original maturities of three month or less, and are used by the Group and the Company in the management of their short term commitments. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged deposits.

(g) Foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The financial statements are presented in Ringgit Malaysia ("RM"), which is the Company's functional and presentation currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Non-monetary items denominated in foreign currencies measured at fair value are translated using the spot exchange rates at the date when the fair value was determined. Exchange differences arising on the translation of non-monetary items carried at fair value are included in profit or loss, except for the differences arising on the translation of non-monetary items in respect of which gains and losses are recognised in other comprehensive income.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(g) Foreign currencies (continued)

(iii) Foreign operations

The results and financial position of foreign operations that have a functional currency different from the presentation currency of the consolidated financial statements are translated into the presentation currency as follows:

- assets and liabilities of foreign operations are translated at the closing rate prevailing at the reporting date;
- income and expenses for each statement of profit and loss and other comprehensive income presented are translated at average exchange rates for the year, which approximates the exchange rates at the dates of the transactions; and
- all resulting exchange differences are taken directly to other comprehensive income through the exchange reserve.

Goodwill and fair value adjustments arising on the acquisitions of a foreign operation are treated as assets and liabilities of the foreign operation and are translated at the closing rate. Exchange differences arising are recognised in other comprehensive income.

On the disposal of a foreign operation, the cumulative amount of the exchange differences relating to that foreign operation, recognised in other comprehensive income and accumulated in the separate component of equity are reclassified to profit or loss.

In the case of a partial disposal that does not result in the Group losing control over a subsidiary that includes a foreign operation, the proportionate share of accumulated exchange differences are re-attributed to non-controlling interests and are not recognised in profit or loss. For all other partial disposals (that is, reductions in the group's ownership interest in associates or joint ventures that do not result in the group losing significant influence or joint control) the proportionate share of the accumulated exchange difference is reclassified to profit or loss.

In the consolidated financial statements, when settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely in the foreseeable future, foreign exchange gains and losses arising from such a monetary item are considered to form part of a net investment in a foreign operation and are recognised in other comprehensive income through the exchange reserve.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets

(A) Accounting policies applied until 31 December 2017

(i) Classification (continued)

The Group classifies its financial assets based on the purpose for which the financial assets were acquired at initial recognition in the following categories:

Financial assets at fair value through profit or loss

Fair value through profit or loss category comprises financial assets that are held for trading, including derivatives (except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument) or financial assets that are specifically designated into this category upon initial recognition.

Assets in this category are classified as current assets if expected to be settled within 12 months, otherwise, they are classified as non-current assets.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

They are included in current assets, except for maturities greater than 12 months after the end of the reporting period. These are classified as non-current assets.

Held-to-maturity financial assets

Held-to-maturity financial assets are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group's management has the positive intention and ability to hold to maturity.

Held-to-maturity financial assets are included in non-current assets, except for those with maturities less than 12 months from the end of the reporting period, which are classified as current assets.

Available-for-sale financial assets

Available-for-sale financial assets are non-derivatives that are either designated in this category or not classified in any of the other categories.

They are included in non-current assets unless the investment matures or management intends to dispose of it within 12 months of the end of the reporting period.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets (continued)

(A) Accounting policies applied until 31 December 2017 (continued)

(ii) Recognition and initial measurement

Regular purchases and sales of financial assets are recognised on the trade-date, the date on which the Group commits to purchase or sell the asset.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed in profit or loss.

(iii) Subsequent measurement

Gains and losses

Financial assets at fair value through profit or loss and available-for-sale financial assets are subsequently carried at fair value. Loans and receivables and held-to-maturity financial assets are subsequently carried at amortised cost using the effective interest method.

Changes in the fair values of financial assets at fair value through profit or loss, including the effects of currency translation, interest and dividend income are recognised in profit or loss in the period in which the changes arise.

Changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income. Impairment losses and exchange differences on monetary assets are recognised in profit or loss, whereas exchange differences on non-monetary assets are recognised in other comprehensive income as part of fair value change.

Interest and dividend income on available-for-sale financial assets are recognised separately in profit or loss. Interest on available-for-sale debt securities calculated using the effective interest method is recognised in profit or loss. Dividend income on available-for-sale equity instruments are recognised in profit or loss when the Group's right to receive payments is established.

Impairment of financial assets

A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset. For an equity instrument, a significant or prolonged declined in fair value below its cost is also considered objective evidence of impairment.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets (continued)

(A) Accounting policies applied until 31 December 2017 (continued)

(iii) Subsequent measurement (continued)

Impairment of financial assets (continued)

An impairment loss in respect of loans and receivables and held-to-maturity investments is recognised in profit or loss and is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account.

An impairment loss in respect of available-for-sale financial assets is recognised in profit or loss and is measured as the difference between the asset's acquisition cost (net of any principal repayment and amortisation) and the asset's current fair value, less any impairment loss previously recognised. Where a decline in the fair value of an available-for-sale financial asset has been recognised in other comprehensive income, the cumulative loss in other comprehensive income is reclassified from equity to profit or loss.

An impairment loss in respect of unquoted equity instrument that is carried at cost is recognised in profit or loss and is measured as the difference between the financial asset's carrying amount and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset.

Impairment losses recognised in profit or loss for an investment in an equity instrument classified as available for sale is not reversed through profit or loss.

If, in a subsequent period, the fair value of a financial asset measured at amortised cost and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed, to the extent that the asset's carrying amount does not exceed what the carrying amount would have been had the impairment not been recognised at the date the impairment is reversed. The amount of the reversal is recognised in profit or loss.

(iv) De-recognition

Financial assets are de-recognised when the rights to receive cash flows from the investments have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets (continued)

(A) Accounting policies applied until 31 December 2017 (continued)

(iv) De-recognition (continued)

Receivables that are factored out to banks and other financial institutions with recourse to the Group are not derecognised until the recourse period has expired and the risks and rewards of the receivables have been fully transferred. The corresponding cash received from the financial institutions is recorded as borrowings.

When available-for-sale financial assets are sold, the accumulated fair value adjustments recognised in other comprehensive income are reclassified to profit or loss.

(B) Accounting policies applied from 1 January 2018

(i) Classification

The Group classifies its financial assets in the following measurement categories:
- Amortised cost;
- Fair value through other comprehensive income ("FVOCI"); and
- Fair value through profit or loss ("FVTPL").

The classification depends on the Group's business model for managing the financial assets as well as the contractual terms of the cash flows of the financial asset.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

The Group reclassifies debt instruments when and only when its business model for managing those assets changes.

(ii) Recognition and initial measurement

Regular purchases and sales of financial assets are recognised on the trade-date, the date on which the Group commits to purchase or sell the asset.

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets (continued)

(B) Accounting policies applied from 1 January 2018 (continued)

(iii) Subsequent measurement

Debt instruments

Debt instruments mainly comprise of trade and other receivables, amount owing by related companies, amount owing by an associate, amount owing by subsidiary companies, amount owing by a corporate shareholder, marketable securities and cash and cash equivalents.

There are three subsequent measurement categories, depending on the Group's business model for managing the asset and the cash flow characteristics of the asset:

- Amortised cost

  Debt instruments that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. A gain or loss on a debt instrument that is subsequently measured at amortised cost and is not part of a hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. Interest income from these financial assets is included in interest income using the effective interest rate method.

- FVOCI

  Debt instruments that are held for collection of contractual cash flows and for sale, and where the assets' cash flows represent solely payments of principal and interest, are classified as FVOCI. Movements in fair values are recognised in Other Comprehensive Income ("OCI") and accumulated in fair value reserve, except for the recognition of impairment gains of losses, interest income and foreign exchange gains and losses, which are recognised in profit and loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss. Interest income from these financial assets is recognised using the effective interest rate method in profit or loss.

- FVTPL

  Debt instruments that are held for trading as well as those that do not meet the criteria for classification as amortised cost or FVOCI are classified as FVTPL. Movement in fair values and interest income is recognised in profit or loss in the period in which it arises.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets (continued)

(B) Accounting policies applied from 1 January 2018 (continued)

(iii) Subsequent measurement (continued)

Equity instruments

The Group subsequently measures all its equity investments at fair value. Equity investments are classified as FVTPL with movements in their fair values recognised in profit or loss in the period in which the changes arise, except for those equity securities which are not held for trading The Group has elected to recognise changes in fair value of equity securities not held for trading in OCI as these are strategic investments and the Group considers this to be more relevant. Movements in fair values of investments classified as FVOCI are recognised in OCI. Dividends from equity investments are recognised in profit or loss when the Group's and Company's right to receive payments is established.

(iv) Impairment

The Group and the Company assess expected credit losses associated with its debt instruments carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk. Expected credit losses represent a probability-weighted estimate of the difference between present value of cash flows according to contract and present value of cash flows the Group and the Company expect to receive, over the remaining life of the financial instrument.

For trade receivables and contract assets, the Group applies the simplified approach, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

While cash and cash equivalents are also subject to the impairment requirements of MFRS 9, the identified impairment loss was immaterial.

In measuring expected credit losses, trade receivables and contract assets are grouped based on shared credit risk characteristics and days past due. The contract assets relate to unbilled work in progress, which have substantially the same risk characteristics as the trade receivables for the same type of contracts. The Group has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

In calculating the expected credit loss rates, the Group considers historical loss rates for each category of customers and adjusts to reflect current and forward-looking factors affecting the ability of the customers to settle the receivables.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(h) Financial assets (continued)

(B) Accounting policies applied from 1 January 2018 (continued)

(iv) Impairment (continued)

The Group and the Company define a financial instrument as default, which is overdue above one year, when the debtor meets unlikeliness to pay criteria, which indicates the debtor is in significant financial difficulty. The Group and the Company consider the following instances:

- The debtor is in breach of financial covenants
- Concessions have been made by the Group and the Company related to the debtor's financial difficulty
- It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation
- The debtor is insolvent

Financial assets that are credit-impaired are assessed for impairment on an individual basis.

The Group and the Company write off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. The assessment of no reasonable expectation of recovery is based on unavailability of debtor's sources of income or assets to generate sufficient future cash flows to repay the amount. The Group and the Company may write-off financial assets that are still subject to enforcement activity.

(i) Financial liabilities

Financial liabilities are initially recognised at fair value net of transaction costs for all financial liabilities not carried at fair value through profit or loss. Finance liabilities carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed in profit or loss.

Fair value though profit or loss category comprises financial liabilities that are derivatives (except for a derivative that is a financial guarantee or a designated and effective hedging instrument) or financial liabilities that are specifically designated into this category upon initial recognition.

All financial liabilities are subsequently measured at amortised cost using the effective interest method other than those categorised as fair value through profit or loss.

Other financial liabilities categorised as fair value through profit or loss are subsequently measured at their fair values with the gain or loss recognised in profit or loss.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(j) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount presented in the statements of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

(k) Leases

Accounting by lessee

(i) Finance leases

Leases of property, plant and equipment where the Group has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments.

Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate of interest on the remaining balance of the liability. The corresponding rental obligations, net of finance charges, are included in other long-term payables. The interest element of the finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The property, plant and equipment acquired under finance leases is depreciated over the shorter of the useful life of the asset and the lease term.

Initial direct costs incurred by the Group in negotiating and arranging finance leases are added to the carrying amount of the leased assets and recognised as an expense in profit or loss over the lease term on the same basis as the lease expense.

(ii) Operating leases

Leases of assets where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases, net of any incentives received from the lessor, are charged to profit or loss on the straight line basis over the lease period.

Operating lease accounting by lessor

When assets are leased out under an operating lease, the asset is included in the statements of financial position based on the nature of the asset. Lease income is recognised over the term for the lease on a straight line basis.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(l) Current and deferred income tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case the tax is also recognised in other comprehensive income or directly in equity, respectively.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable in respect of previous financial years.

Deferred tax is recognised, using the liability method, on temporary differences arising between the amounts attributed to assets and liabilities for tax purposes and their carrying amounts in the financial statements. However, deferred tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit nor loss. Deferred tax is determined using tax rates that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred tax asset is realised or the deferred tax liability is settled.

Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, unused tax losses or unused tax credits can be utilised.

Deferred and current tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

(m) Revenue and income recognition

(i) Revenue from contracts with customers

Revenue is recognised by reference to each distinct performance obligation promised in the contract with customer when or as the Company transfers the control of the goods or services promised in a contract and the customer obtains control of the goods or services. Depending on the substance of the respective contract with customer, the control of the promised goods or services may transfer over time or at a point in time.

A contract with customer exists when the contract has commercial substance, the Company and its customer has approved the contract and intend to perform their respective obligations, the Company's and the customer's rights regarding the goods or services to be transferred and the payment terms can be identified, and it is probable that the Company will collect the consideration to which it will be entitled to in exchange of those goods or services.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(m) Revenue and income recognition (continued)

(i) Revenue from contracts with customers (continued)

The Group derives its revenue from providing business application solutions, financial network services and equipment rental. Revenue from provision of business application solutions includes income for installation of computer hardware and implementation of the Group's trading solution platform and service income for the subsequent usage of the managed service products. Revenue from provision of finance network services includes income for providing leased line and data center management services.

The Group generally recognised revenue as follows:

Implementation revenue

Revenue from implementation of managed service products is recognised when the Group satisfies a performance obligation by transferring a promised goods or services to a customer. An asset is transferred as and when the customer obtains control of that asset, which coincides with the delivery of goods and services and acceptance by customers.

Recurring revenue

Recurring revenue primarily consists of the service income for subsequent maintenance of the managed service products. This service is generally provided under subscription arrangements. Recurring revenue is recognised over the contract period.

Transaction revenue

Transaction revenue includes volume-based fees related to online trading transactions based on usage and recognised at a point in time. Transactions revenues may be billed in arrears and are classified as contract assets.

Managed network revenue

Managed network revenue includes service income for leased-line services and data center management to contract customers. A promised service is transferred as and when the service is delivered to customer and acceptance obtained from customers. Managed network revenue may be billed in advance and classified as contract liabilities.

Equipment rental

Equipment rental consists of monthly rental income for leasing of computer hardware to contract customers and recognised over the contract period. Equipment rental is billed in arrears and classified as contract assets.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(m) Revenue and income recognition (continued)

(ii) Other revenue and income

(i) Dividend income

Dividend income is recognised when the right to receive payment is established.

(ii) Rental income

Rental income is recognised on a straight-line basis over the tenure of the lease.

(iii) Interest income

Interest income is recognised on an accrual basis using the effective interest method.

(n) Employee benefits

(i) Short term employee benefits

Wages, salaries, bonuses and social security contributions are recognised as an expense in the financial year in which the associated services are rendered by employees of the Company and its subsidiary companies. Short term accumulating compensated absences such as paid annual leave are recognised when services are rendered by employees that increase their entitlement to future compensation absences. Short term non-accumulating compensated absences such as sick and medical leave are recognised when the absences occur.

The expected cost of accumulating compensated absences is measured as additional amount expected to be paid as a result of the unused entitlement that has accumulated at the statement of financial position date.

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). The Group's foreign subsidiary company makes contributions to its respective country's statutory pension scheme. Such contributions are recognised as an expense in the profit or loss as incurred.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(n) Employee benefits (continued)

(iii) Defined benefit plans

The defined benefit liability recognised in the statements of financial position is the present value of the defined benefit obligation at the end of the reporting period, less the fair value of plan assets, together with adjustments for actuarial gains/losses and unrecognised past service cost. The Group determines the present value of the defined benefit obligation and the fair value of any plan assets with sufficient regularity such that the amounts recognised in the financial statements do not differ materially from the amounts that would be determined at the end of the reporting period.

The defined benefit obligation, calculated using the projected unit credit method, is determined by independent actuaries, by discounting the estimated future cash outflows using market yields at the end of the reporting period on government bonds which have currency and terms to maturity approximating the terms of the related liability.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in retained earnings in other comprehensive income in the period in which they arise. The actuarial gains and losses are not subsequently reclassified to profit or loss in subsequent period.

Past service costs are recognised immediately in profit or loss, unless the changes to the plan are conditional on the employees remaining in service for a specified period of time (the vesting period). In this case, the past service costs are amortised on a straight line basis over the vesting period.

(o) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

When the Group expects a provision to be reimbursed (for example, under an insurance contract), the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain.

2. Basis of Preparation and Significant Accounting Policies (continued)

2.4 Summary of significant accounting policies (continued)

(p) Equity instruments

Ordinary shares are classified as equity. Dividends on ordinary shares are recognised in equity in the period in which they are declared.

The transaction costs of an equity transaction are accounted for as a deduction from equity, net of tax. Equity transaction costs comprise only those incremental external costs directly attributable to the equity transaction which would otherwise have been avoided.

(q) Operating segments

Operating segments are reported in a manner consistent with the internal reporting and are regularly reviewed by the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Chief Executive Officer that makes strategic decisions.

(r) Treasury shares

When shares of the Company, that have not been cancelled, recognised as equity are repurchased, the amount of consideration paid is recognised directly in equity. Repurchased shares are classified as treasury shares and presented as a deduction from total equity. No gain or loss is recognised in the profit or loss on the repurchase, sale, issue or cancellation of treasury shares. When treasury shares are reissued by resale, the difference between the sales consideration and the carrying amount is recognised in equity.

(s) Warrants reserve

Proceeds from the issuance of warrants, net of issue costs, are credited to warrants reserve which is non-distributable. Warrants reserve is transferred to the share capital account upon the exercise of warrants and the warrants reserve in relation to the unexercised warrants at the expiry of the warrants will be transferred to retained earnings.

3. Property, Plant and Equipment

Group	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor Vehicles RM	Total Equity RM
2018								
Cost								
At 1.1.2018	12,366,833	13,017,854	85,880,774	788,067	869,162	3,795,560	196,288	116,914,538
Additions	-	-	2,207,322	115,314	38,257	1,136	-	2,362,029
Disposal	-	-	(3,694)	-	-	-	(135,725)	(139,419)
Written off	-	-	(109,780)	(4,816)	(5,200)	-	-	(119,796)
Exchange differences	-	-	566,528	5,333	4,473	36,884	-	613,218
At 31.12.2018	12,366,833	13,017,854	88,541,150	903,898	906,692	3,833,580	60,563	119,630,570
Accumulated depreciation								
At 1.1.2018	768,290	1,427,082	75,010,126	476,729	504,193	1,635,307	139,421	79,961,148
Charge for the financial year	129,851	260,357	4,741,778	64,670	69,611	602,491	27,948	5,896,706
Disposal	-	-	(2,697)	-	-	-	(110,842)	(113,539)
Written off	-	-	(99,532)	(862)	(2,379)	-	-	(102,773)
Exchange differences	-	-	522,679	3,805	2,750	34,568	-	563,802
At 31.12.2018	898,141	1,687,439	80,172,354	544,342	574,175	2,272,366	56,527	86,205,344
Carrying amount								
At 31.12.2018	11,468,692	11,330,415	8,368,796	359,556	332,517	1,561,214	4,036	33,425,226

3. Property, Plant and Equipment (Continued)

Group	Note	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor Vehicles RM	Total Equity RM
2018									
Cost									
At 1.1.2017		12,366,833	10,731,795	58,970,731	467,646	595,361	1,786,559	366,518	85,285,443
Acquisition of a subsidiary		-	-	28,325,423	498,828	237,450	1,957,043	-	31,018,744
Additions		-	-	1,532,644	196,378	214,691	1,564,596	-	3,508,309
Disposal		-	-	-	-	-	-	(170,230)	(170,230)
Written off		-	-	(207,483)	(347,242)	(157,127)	(1,328,004)	-	(2,039,856)
Transferred from investment properties	4	-	2,286,059	-	-	-	-	-	2,286,059
Exchange differences		-	-	(2,740,541)	(27,543)	(21,213)	(184,634)	-	(2,973,931)
At 31.12.2017		12,366,833	13,017,854	85,880,774	788,067	869,162	3,795,560	196,288	116,914,538
Accumulated depreciation									
At 1.1.2017		638,438	961,837	49,282,408	316,193	381,978	719,146	270,393	52,570,393
Acquisition of a subsidiary		-	-	22,909,156	473,806	232,731	1,919,083	-	25,534,776
Charge for the financial year		129,852	248,926	5,322,660	51,163	56,568	405,680	39,258	6,254,107
Disposal		-	-	-	-	-	-	(170,230)	(170,230)
Written off		-	-	(207,464)	(346,966)	(157,108)	(1,321,756)	-	(2,033,294)
Transferred from investment properties	4	-	216,319	-	-	-	-	-	216,319
Exchange differences		-	-	(2,296,634)	(17,467)	(9,976)	(86,846)	-	(2,410,923)
At 31.12.2017		768,290	1,427,082	75,010,126	476,729	504,193	1,635,307	139,421	79,961,148
Carrying amount									
At 31.12.2018		11,598,543	11,590,772	10,870,648	311,338	364,969	2,160,253	56,867	36,953,390

3. Property, Plant and Equipment (Continued)

Company	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor Vehicles RM	Total Equity RM
2018								
Cost								
At 1.1.2018	12,366,833	13,017,854	34,401,714	503,900	628,468	1,797,825	-	62,716,594
Additions	-	-	8,625	85,567	13,451	-	-	107,643
At 31.12.2018	12,366,833	13,017,854	34,410,339	589,467	641,919	1,797,825	60,563	62,824,237
Accumulated depreciation								
At 1.1.2018	768,290	1,427,082	33,611,615	320,984	405,974	869,443	-	37,403,388
Charge for the financial year	129,851	260,357	391,256	31,901	39,279	142,082	-	994,726
At 31.12.2018	898,141	1,687,439	34,002,871	352,885	445,253	1,011,525	-	38,398,114
Carrying amount								
At 31.12.2018	11,468,692	11,330,415	407,468	236,582	196,666	786,300	-	24,426,123

3. Property, Plant and Equipment (Continued)

Group	Note	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor Vehicles RM	Total Equity RM
2017									
Cost									
At 1.1.2017		12,366,833	10,731,795	34,278,012	421,476	560,719	1,650,358	170,230	60,179,423
Additions		-	-	123,702	82,933	67,749	147,467	-	421,851
Disposal		-	-	-	-	-	-	(170,230)	(170,230)
Written off		-	-	-	(509)	-	-	-	(509)
Transferred from investment properties	4	-	2,286,059	-	-	-	-	-	2,286,059
At 31.12.2017		12,366,833	13,017,854	34,401,714	503,900	628,468	1,797,825	-	62,716,594
Accumulated depreciation									
At 1.1.2017		638,438	961,837	33,182,321	288,163	362,428	685,007	170,230	36,288,424
Charge for the financial year		129,852	248,926	429,294	33,063	43,546	184,436	-	1,069,117
Disposal		-	-	-	-	-	-	(170,230)	(170,230)
Written off		-	-	-	(242)	-	-	-	(242)
Transferred from investment properties	4	-	216,319	-	-	-	-	-	216,319
At 31.12.2017		768,290	1,427,082	33,611,615	320,984	405,974	869,443	-	37,403,388
Carrying amount									
At 31.12.2017		11,598,543	11,590,772	790,099	182,916	222,494	928,382	-	25,313,206

(a) The long term leasehold land and building of the Group and the Company with a carrying amount of RM22,799,107 (2017: RM23,189,315) have been pledged to a licensed bank as security for credit facilities granted to the Group and the Company as disclosed in Note 19 to the financial statements.

(b) The remaining lease period of the long term leasehold land and building is 89 (2017: 90) years.

4. Investment Properties

	Note	Group/Company 2018 RM	2017 RM
Leasehold land and building			
Cost			
At 1 January		11,715,814	14,001,873
Transferred to property, plant and equipment	3	-	(2,286,059)
At 31 December		11,715,814	11,715,814
Accumulated depreciation			
At 1 January		1,284,348	1,254,919
Charge for the financial year		234,317	245,748
Transferred to property, plant and equipment	3	-	(216,319)
At 31 December		1,518,665	1,284,348
Carrying amount		10,197,149	10,431,466
Fair value		20,368,180	20,368,180

The above investment properties have been pledged to a licensed bank as security for credit facilities granted to the Group and the Company as disclosed in Note 19 to the financial statements.

The remaining lease period of the investment properties is 89 (2017: 90) years.

The income earned by the Group and the Company from rental of investment properties amounted to RM945,816 (2017: RM1,235,394). Direct operating expenses incurred on the investment properties during the financial year amounted to RM210,975 (2017: RM312,321).

The fair values of the investments as at the end of the reporting periods are arrived at by reference to market evidence of transaction prices for similar properties, adjusted for factors specific to the investment properties.

Leasehold land and buildings of the Group and of the Company with a carrying amount of Nil (2017: RM2,069,740) were transferred to property, plant and equipment due to a change of its use from obtaining rental returns to owner occupation.

5. Investment in Subsidiary Companies

(a) Investment in subsidiary companies

	Company	
	2018 RM	**2017 RM**
Unquoted shares, at cost		
In Malaysia	1,000,004	1,000,004
Outside Malaysia	94,720,213	94,720,213
	95,720,217	95,720,217
Less: Impairment loss	(297,002)	(297,002)
	95,423,215	95,423.215

Movement on the provision for impairment of investment in subsidiary companies is as follows:

	Company	
	2018 RM	**2017 RM**
At 1 January/31 December	297,002	297,002

(b) The subsidiary companies and shareholding therein are as follows:

Name of company	**Country of incorporation and principal place of business**	**Effective ownership and voting interest**		**Principal activities**
		2018 %	**2017 %**	
Direct holding:				
* N2N Connect Pte. Ltd.	Singapore	100	100	Provide consultancy services, sales, marketing and related activities
N2N Global Solutions Sdn. Bhd.	Malaysia	100	100	Research and development of software packages and provision of design, programming, consultancy services and related services

5. Investment in Subsidiary Companies (Continued)

(b) The subsidiary companies and shareholding therein are as follows (continued):

Name of company	Country of incorporation and principal place of business	Effective ownership and voting interest 2018 %	2017 %	Principal activities
Direct holding:				
NGN Connection Sdn. Bhd.	Malaysia	100	100	Provision of managed network services, consultancy services, sales, marketing and related activities
N2N Advanced Learning Sdn. Bhd	Malaysia	100	100	Provision of professional trainings for remisiers and related fields
* N2N-AFE (Hong Kong) Limited	Hong Kong	100	100	Provision of on-line stock market information, on-line securities trading systems and business solutions, and associated sales and maintenance services on microcomputers.
Indirect holding:				
Subsidiary of N2N Global Solutions Sdn. Bhd.				
Hermes Bos Sdn. Bhd.	Malaysia	70	70	Researcher and developer of software packages and provider of design, programming, consultancy services and related activities
Subsidiary of NGN Connection Sdn. Bhd.				
Global Fin Net Sdn. Bhd.	Malaysia	100	100	Provision of data center, system integration, managed network services and related services

5. Investment in Subsidiary Companies (Continued)

(b) The subsidiary companies and shareholding therein are as follows (continued):

Name of company	Country of incorporation and principal place of business	Effective ownership and voting interest 2018 %	2017 %	Principal activities
Indirect holding: Subsidiary of N2N Connect Pte. Ltd.				
# N2N Connect Australia Pty. Ltd.	Australia	100	100	Researcher and developer of software packages and provider of design, programming, consultancy services and related activities
Subsidiary of N2N-AFE (Hong Kong) Limited				
*NBM Systems Design Limited	Hong Kong	100	100	Inactive
*The Stock Market Channel Limited	Hong Kong	100	100	Investment holding
*The Stock Market Channel (Macau) Limited	Macau	100	100	Sale of computer hardware and software and provision of online financial information in Macau

* Audited by another member firm of Morison KSi which is a separate and independent legal entity from Messrs. Morison Anuarul Azizan Chew.

\# The audited financial statements for the financial year ended 31 December 2018 of this subsidiary company are not available at the date the financial statements of the Group as it is not required by the local legislations to have their financial statements audited. However, the Directors are of the opinion that the financial results of this subsidiary company are not material to the Group as the said subsidiary company is dormant. Hence, the management accounts of the said subsidiary company for the financial year ended 31 December 2018 have been used for the consolidation purposes.

5. Investment in Subsidiary Companies (Continued)

(c) Non-controlling interests ("NCI") in subsidiaries

	Hermes Bos Sdn. Bhd.	
	2018 RM	**2017 RM**
Non-current assets	3,431,857	3,256,130
Current assets	112,605	226,590
Current liabilities	(3,821,050)	(2,541,184)
Net (liabilities)/assets	(276,588)	941,536
Carrying amount of NCI as at 31 December	82,976	282,460
Revenue	-	-
Loss/Total comprehensive expense during the financial year	1,218,124	802,712
Loss/Total comprehensive expense allocated to NCI during the financial year	365,437	240,814
Cash flows from operating activities	867,876	871,890
Cash flows used in investing activities	(1,044,725)	(880,085)
Cash flows from financing activities	-	-
Net decrease in cash and cash equivalents	(176,849)	(8,195)
Ownership interest and voting rights percentage held by NCI	30%	30%

6. Investment in Associates

(a) Investment in associates

	Group		Company	
	2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
At cost				
Unquoted shares outside Malaysia	8,392,041	61,201	8,330,840	-
Share of post-acquisition reserves	(207,658)	-	-	-
	8,184,383	61,201	8,330,840	-
Exchange differences	(141,616)	-	-	-
	8,042,767	61,201	8,330,840	-

6. Investment in Associates (Continued)

(b) The associate and shareholding therein are as follows:

Name of company	Country of incorporation and principal place of business	Effective Ownership and voting interest 2018 %	2017 %	Principal activities
Direct holding:				
* OurMoneyMarket Holdings Pty. Ltd. ("OMM")	Australia	28.99	-	Investment holding
Indirect holding:				
Associate of N2N Global Solutions Sdn. Bhd.				
N2N Global Solutions Limited ("NGSL")	Thailand	48.99	48.99	Research and development of software packages and provision of design, programming, consultancy services and related services

* The audited financial statements for the financial year ended 31 December 2018 of this associate is not available at the date the financial statements of the Group. However, the Directors are of the opinion that the financial contribution of these associates are not material to the Group. Hence, the management accounts of the said associates for the financial year ended 31 December 2018 have been used for equity accounting purposes

(c) The summarised financial information of the associates are as follows:

	OMM RM	NGSL RM	Total RM
Asset and liabilities			
Non-current assets	7,851,506	-	7,851,506
Current assets	4,444,655	261,550	4,706,205
Non-current liabilities	(602,538)	-	(602,538)
Current liabilities	(113,725)	(47,445)	(161,170)
Net assets	11,579,898	214,105	11,794,003

6. Investment in Associates (Continued)

(c) The summarised financial information of the associates are as follows (continued):

	OMM RM	NGSL RM	Total RM
Revenue	948,406	223,969	1,172,375
Loss/Total comprehensive expense for the financial year	(523,061)	(128,588)	(651,649)
Cash flows used in operating activities	(2,359,155)	(101,211)	(2,460,366)
Cash flows used in investing activities	(5,046,984)	-	(5,046,984)
Cash flows generated from financing activities	583,798	-	583,798
Net changes in cash and cash equivalents	(6,822,341)	(101,211)	(6,923,552)

(d) The reconciliation of net assets of the associates to the carrying amount of the investment in associates are as follows:

	OMM RM	NGSL RM	Total RM
The Group's share of loss/ total comprehensive expense during the financial year	(146,457)	(61,201)	(207,658)
Equity attributable to owners of the associate companies	11,579,898	214,105	11,794,003
The Company's share of net assets	3,242,371	-	3,242,371
Goodwill	4,800,396	-	4,800,396
	8,042,767	-	8,042,767

The Group has discontinued the recognition of its share of current year losses of NGSL which has exceeded the Group's interest in NGSL. As at 31 December 2018, the Group's cumulative unrecognised share of losses in NGSL is RM1,794 (2017: Nil).

7. Intangible Assets

Group	Note	Goodwill on consolidation RM	Club membership RM	Computer software RM	Total RM
2018					
Cost					
At 1 January 2018		53,385,777	1,711,881	39,881,689	94,979,347
Addition during the financial year	30	-	-	4,527,101	4,527,101
Exchange differences		1,051,635	33,722	10,203	1,095,560
At 31 December 2018		54,437,412	1,745,603	44,418,993	100,602,008
Accumulated Amortisation					
At 1 January 2018		-	-	20,638,462	20,638,462
Addition during the financial year		-	-	4,164,539	4,164,539
Exchange differences		-	-	7,255	7,255
At 31 December 2018		-	-	24,810,256	24,810,256
Accumulated Impairment					
At 1 January 2018		-	673,337	-	673,337
Exchange differences		-	13,263	-	13,263
At 31 December 2018		-	686,600	-	686,600
Carrying amount					
31 December 2018		54,437,412	1,059,003	19,608,737	75,105,152

7. Intangible Assets (Continued)

Group	Note	Goodwill on consolidation RM	Club membership RM	Computer software RM	Total RM
2017					
Cost					
At 1 January 2017		-	-	34,891,987	34,891,987
Acquisition of a subsidiary		59,293,977	1,881,314	569,215	61,744,506
Addition during the financial year	30	-	-	4,471,751	4,471,751
Exchange differences		(5,908,200)	(169,433)	(51,264)	(6,128,897)
At 31 December 2017		53,385,777	1,711,881	39,881,689	94,979,347
Accumulated Amortisation					
At 1 January 2017		-	-	16,758,840	16,758,840
Acquisition of a subsidiary		-	-	56,923	56,923
Amortisation during the financial year		-	-	3,834,322	3,834,322
Exchange differences		-	-	(11,623)	(11,623)
At 31 December 2017		-	-	20,638,462	20,638,462
Accumulated Impairment					
At 1 January 2017		-	-	-	-
Acquisition of a subsidiary		-	739,980	-	739,980
Exchange differences		-	(66,643)	-	(66,643)
At 31 December 2017		-	673,337	-	673,337
Carrying amount					
31 December 2017		53,385,777	1,038,544	19,243,227	73,667,548

7. Intangible Assets (Continued)

		Computer software	
	Note	2018 RM	2017 RM
Company			
Cost			
At 1 January		31,908,058	28,994,322
Addition during the financial year	30	658,897	2,913,736
Disposal during the financial year		(32,566,955)	-
At 31 December		-	31,908,058
Accumulated Amortisation			
At 1 January		17,706,321	15,174,336
Amortisation during the financial year		658,140	2,531,985
Disposal during the financial year		(18,364,461)	-
At 31 December		-	17,706,321
Carrying amount			
31 December		-	14,201,737

(a) The Group and the Company capitalise costs on development works relating to the enhancement of its existing software and development of new software packages which management expects will contribute to the generation of additional future economic benefits. During the financial year, the Group and the Company recognised an amortisation of RM4,164,539 and RM658,140 (2017: RM3,834,322 and RM2,531,985) respectively which has been charged to cost of sales.

(b) During the financial year, the Company has disposed its intangible assets with carrying amount of RM14,202,494 (2017: Nil) to a subsidiary company, N2N Global Solutions Sdn. Bhd..

(c) Impairment test for goodwill on consolidation

The Group undertakes an annual impairment assessment on its cash-generating units ("CGU") identified based on its geographical segment in Hong Kong, being the lowest level of assets for which the management monitors the goodwill of the Group.

Key assumptions used to determine recoverable amount

The recoverable amount of the Group's CGU has been determined based on value-in-use calculation. These calculations use pre-tax cash flow projections based on financial budgets approved by management covering a five-year period. Cash flows beyond the five-year period are extrapolated using the estimated growth rates.

7. Intangible Assets (Continued)

(c) Impairment test for goodwill on consolidation (continued)

The key assumptions used for the value-in-use calculations are as follows:

	Group	
	2018	**2017**
	RM	**RM**
Revenue growth rate over 5 years (per annum)	8.0%	10.0%
Operating expenditure and capital expenditure growth rate (per annum)	8.0%	10.0%
Terminal growth rate	0%	0%
Pre-tax discount rate	6.5%	7.4%

Management determined the revenue growth rates, selling prices and direct costs during the budget period based on future expectations of changes in the market. Management estimates discount rate using pre-tax rate that reflect current market assessments of the time value of money and the risks specific to the CGU.

The Group's review includes an impact assessment of changes in key assumptions. Based on the sensitivity analysis, the Board of Directors concluded that no reasonable change in the assumptions above would cause the carrying amount of the CGUs to exceed its recoverable amounts.

8. Amount Owing by/(to) Subsidiary Companies

	Company	
	2018	**2017**
	RM	**RM**
Amount owing by subsidiary companies	35,312,671	13,812,054
Analysed as:		
Non-current assets	1,658,080	-
Current assets	33,654,591	13,812,054
	35,312,671	13,812,054
Amount owing to subsidiary companies	-	5,177,787

Following the issuance of Financial Reporting Standards Implementation Committee ("FRSIC"), FRSIC Consensus 31 – Classification of Amount Due from subsidiaries and Amount Due to Holding Company that is Repayable on Demand by the Malaysian Institute of Accountants on 4 July 2018, the Directors of the Company had reviewed the expected repayments from subsidiaries and hence had classified certain amounts owing by subsidiaries as non-current.

These owing by/(to) the subsidiary companies are non-trade in nature, interest free and are repayable on demand.

9. Trade Receivables

	Group		Company	
	2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
Trade receivables	12,172,751	10,623,056	4,144	218,096
Less: Impairment loss	(1,097,031)	(71,032)	-	-
	11,075,720	10,552,024	4,144	218,096
Contract assets in relation to application solutions:				
- Accrued income	5,600,667	1,455,869	-	-
Less: Impairment loss	(15,108)	-	-	-
	5,585,559	1,455,869	-	-
	16,661,279	12,007,893	4,144	218,096

The Group's and the Company's normal trade credit terms range from 30 to 90 days (2017: 30 to 90 days).

The movement on the impairment loss during the financial year is disclosed in Note 34 to the financial statements

10. Other Receivables

	Group		Company	
	2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
Other receivables	3,243,590	916,083	182,072	40,675
Deposits	1,504,786	3,822,998	210,156	178,928
Prepayments	2,416,199	1,719,980	663,253	114,376
	7,164,575	6,459,061	1,055,481	333,979

11. Amount Owing by/(to) Related Companies

These amounts are non-trade in nature, unsecured, interest-free and is repayable on demand.

12. Amount Owing by an Associate

These amounts are non-trade in nature, unsecured, interest-free and is repayable on demand.

13. Amount Owing by/(to) a Corporate Shareholder

These amounts are non-trade in nature, unsecured, interest-free and is repayable on demand.

14. Marketable Securities

	Group		Company	
	2018 RM	2017 RM	2018 RM	2017 RM
Quoted unit trusts in Malaysia	52,045,002	43,942,563	52,038,023	38,711,059

15. Financial assets at Fair Value Through Profit or Loss

	Group/Company	
	2018 RM	2017 RM
Quoted shares in Malaysia	114,289	316,161

16. Deposits with Licensed Banks

Interest rates on deposits placed with licensed banks range from 2.67% to 2.96% (2017: 2.90% to 3.15%) per annum and have average maturity period of 30 to 90 days (2017: 30 to 90 days).

17. Trade Payables

The normal trade credit terms granted to the Group and the Company range from 15 to 90 days (2017: 15 to 90 days).

18. Other Payables

	Group		Company	
	2018 RM	2017 RM	2018 RM	2017 RM
Other payables	8,257,376	1,828,193	5,847,742	541,719
Accruals	4,725,958	5,446,764	471,390	587,087
Deposits received	3,420,793	3,496,812	211,535	174,395
	16,404,127	10,771,769	6,530,667	1,303,201

Included in the other payables of the Group and of the Company is an amount of RM5,626,880 (2017: Nil) which relates to dividend payable and was subsequently paid on 7 January 2019.

19. Bank Borrowings

	Group/Company	
	2018	**2017**
	RM	**RM**
Secured		
Bridging loan	-	31,523,254
Term loan	29,871,111	37,862,302
	29,871,111	69,385,556
Analysed as:		
Repayable within twelve months		
Bridging loan	-	31,523,254
Term loan	9,191,111	8,939,046
	9,191,111	40,462,300
Repayable after twelve months		
Term loan	20,680,000	28,923,256
	29,871,111	69,385,556

The above credit facilities obtained from a licensed bank are secured on the following:

(a) fixed charge on the Group's and Company's long term leasehold land and building and investment properties as disclosed in Notes 3 and 4 to the financial statements;

(b) fresh charge over all cash deposits or to be deposits from time to time by the Company and profit thereon with a charge over deposit stamped nominally duly executed in favour of the bank for all monies owing or payable under the bank facility;

(c) the Group shall maintain leverage ratio less than or equal to 2 times at all times until the maturity date;

(d) the Group shall maintain debt service coverage ratio equal to or not less than 1.3 times;

(e) The Company and its Malaysian subsidiary companies shall route at least 20% of its revenue collection by end of first year post drawdown of the bank facilities; and

(f) The Company shall maintain minimum cash balances with steps-downs throughout the financing period as follows:

- Year 1 USD5,000,000
- Year 2 USD4,000,000
- Year 3 USD3,000,000
- Year 4 USD2,000,000
- Year 5 USD1,000,000

19. Bank Borrowings (Continued)

Maturity of bank borrowings is as follows:

	Group/Company	
	2018	**2017**
	RM	**RM**
Within one year	9,191,111	40,462,300
Between one and two years	18,382,222	17,810,089
Between two and five years	2,297,778	11,113,167
	29,871,111	69,385,556

Range of interest rates during the financial year is as follows:

	Group/Company	
	2018	**2017**
	RM	**RM**
Bridging loan	3.57	3.06 - 3.57
Term loan	3.56 - 4.72	3.23 - 3.56

20. Share Capital

	Group/Company			
	Number of Ordinary Shares		Amount	
	2018 Units	2017 Units	2018 RM	2017 RM
Authorised				
At 1 January	-	1,000,000,000	-	100,000,000
Abolishment of authorised share capital	-	(1,000,000,000)	-	(100,000,000)
At 31 December	-	-	-	-
Issued and fully paid				
At 1 January	477,124,898	476,432,098	163,640,704	47,643,210
Issued during the financial year	120,752,943	692,800	97,346,199	325,616
Transition to no par value regime*	-	-	-	115,671,878
At 31 December	597,877,841	477,124,898	260,986,903	163,640,704

* The new Companies Act 2016 (the "Act"), which came into operation on 31 January 2017, abolished the concept of authorised share capital and par value of share capital. Consequently, the amounts standing to the credit of the share premium account become part of the Company's share capital pursuant to the transition set out in Section 618(2) of the Act. There is no impact on the number of ordinary shares in issue or the relative entitlement of the members as a result of this transition.

During the financial year, the issued and paid-up share capital of the Company was increased from 477,124,898 ordinary shares to 597,877,841 ordinary shares by the way of the issuance of:

(a) 68,711,512 new ordinary shares for cash pursuant to the exercise of Warrants based on an exercise price of RM0.45 per ordinary share; and

(b) 52,041,431 new ordinary shares for cash pursuant to the private placement at fair value of RM1.25 per ordinary share.

The new ordinary shares issued during the financial year rank pari passu in all respects with the existing ordinary shares of the Company.

21. Treasury Shares

	Group/Company			
	Number of Ordinary Shares		Amount	
	2018 Units	2017 Units	2018 RM	2017 RM
At 1 January	7,339,900	6,701,000	5,831,986	5,408,735
Shares repurchased during the financial year	30,178,000	638,900	29,709,723	423,251
At 31 December	37,517,900	7,339,900	35,541,709	5,831,986

During the financial year, the Company had repurchased a total of 30,178,000 (2017: 638,900) ordinary shares of its issued share capital from the open market at a total cost of RM29,709,723 (2017: RM423,251). The average price paid for the shares repurchased was RM0.98 (2017: RM0.66) share. The repurchase transactions were financed by internally generated funds. The repurchased shares are held as treasury shares and carried at cost in accordance with the requirements of section 127 of the Companies Act, 2016. Treasury shares had no rights to voting, dividends and participation in other distribution.

22. Reserves

	Group		Company	
	2018 RM	2017 RM	2018 RM	2017 RM
Non-distributable				
Exchange reserve	(7,563,337)	(8,233,328)	-	-
Warrants reserve	-	1,383,126	-	1,383,126
	(7,563,337)	(6,850,202)	-	1,383,126

(a) Exchange reserve

The exchange reserve represents exchange differences arising from the translation of the financial statements of foreign operations whose functional currencies are different from that of the Group's presentation currency.

(b) Warrant reserve

On 9 April 2013, the Company issued 99,923,600 Warrants 2013/2018 ("Warrants") at an issue price of RM0.02 each pursuant to a renounceable rights issue of one warrant for every three existing ordinary shares of RM0.10 each held in the Company. The Warrants are constituted by a deed poll dated 5 March 2013. The warrants were listed on Bursa Malaysia on 11 April 2013. The warrants were de-listed on Bursa Malaysia on 9 April 2018. During the financial year, a total of 68,711,512 (2017: 692,800) Warrants were exercised.

22. Reserves (Continued)

(b) Warrant reserve (continued)

The main features of the Warrants are as follows:

- Each Warrant entitles the registered holder at any time during the exercise period to subscribe for one new ordinary share of RM0.10 each in the Company at an exercise price of:

  (a) RM0.32 per ordinary share (immediately preceding the first anniversary of the issuance of the Warrants);
  (b) RM0.38 per ordinary share (from the first anniversary of the issuance of the Warrants up to the date immediately preceding the third anniversary of the issuance of the Warrants); and
  (c) RM0.45 per ordinary share (from the third anniversary of the issuance of the Warrants up to and including the expiry date of the Warrants).

- The exercise price and the number of Warrants are subject to adjustment in the event of alteration to the share capital, bonus issue, capital distribution and rights issue by the Company in accordance with the conditions provided in the deed poll.

- The Warrants shall be exercisable at any time within the period commencing on and including the date of issue of the Warrants and ending on the date preceding the fifth anniversary of the date of issue of the Warrants.

- Upon exercise of the Warrants into new ordinary shares, such shares shall rank pari passu in all respects with the ordinary shares of the Company in issue at the time of exercise except that they shall not be entitled to any dividend or other distributions declared in respect of a financial period prior to the financial period in which the Warrants are exercised or any interim dividend declared prior to the date of exercise of the Warrants.

- At the expiry of the exercise period, any Warrants which have not been exercised will lapse and cease to be valid for any purposes.

The Warrants 2013/2018 expired on 6 April 2018 and the remaining unexercised Warrants amounting to 444,790 had lapsed during the financial year.

23. Provision for Retirement Benefits

Provision for retirement benefits of the Group relate to long service payments ("LSP") provisions as prescribed under the Hong Kong Employment Ordinance. LSP is paid to employees of a subsidiary company upon termination of their employment, subject to completion of five years of continuous service and meeting certain qualifying conditions. The benefit is based on final wages and service at leaving employment.

23. Provision for Retirement Benefits (Continued)

The movements during the financial year of the amount recognised in the statements of financial position in respect of the long service payments are as follows:

	Group	
	2018	**2017**
	RM	**RM**
At 1 January	2,433,593	-
Acquisition of a subsidiary	-	3,553,629
Recognised in profit or loss	356,626	328,742
Remeasurements	(592,592)	(1,195,616)
Exchange differences	36,943	(253,162)
At 31 December	2,234,570	2,433,593

The total expenses recognised in profit or loss is as follows:

	Group	
	2018	**2017**
	%	**%**
Current service cost	302,092	267,644
Interest cost	54,534	61,098
At 31 December	356,626	2,433,593

The principal assumptions used are as follows:

	Group	
	2018	**2017**
	%	**%**
Increase in maximum amount of relevant salary for contribution	2.5	3.0
Discount rate	2.3	2.3
Salary growth rate	4.0 - 4.5	4.0

There are no explicit assets held in respect of the long service payment obligations.

Cumulative remeasurement recognised in other comprehensive income is as follows:

	Group	
	2018	**2017**
	RM	**RM**
Long service payments	592,592	1,195,616

23. Provision for Retirement Benefits (Continued)

Expected maturity analysis of undiscounted benefit payments is as follows:

	Group	
	2018	**2017**
	RM	**RM**
Long service payments		
Within one year	-	-
Between two and five years	348,850	129,579
More than five years	12,991,029	14,056,288
At 31 December	13,339,879	14,185,867

24. Deferred Tax Liabilities

	Group		Company	
	2018	**2017**	**2018**	**2017**
	RM	**RM**	**RM**	**RM**
At 1 January	2,540,103	1,252,277	1,526,991	1,252,277
Acquisition of a subsidiary	-	661,553	-	-
Recognised in profit or loss (Note 27):				
- property, plant and equipment	(2,451,255)	342,691	(2,351,003)	76,508
- unabsorbed capital allowance	1,129,787	198,206	1,129,787	198,206
- provision for retirement benefits and others	(170,260)	(18,213)	-	-
	(1,491,728)	522,684	(1,221,216)	274,714
Recognised in other comprehensive income:				
- remeasurement of long service payments	97,395	197,561	-	-
Exchange differences	11,890	(93,952)	-	-
At 31 December	1,157,660	2,540,103	305,775	1,526,991

24. Deferred Tax Liabilities (Continued)

The components of deferred tax assets and liabilities of the Group during the financial year prior to offsetting are as follows:

	Group		Company	
	2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
Deferred tax assets:				
- unabsorbed capital allowances	-	1,129,787	-	1,129,787
Offsetting	-	(1,129,787)	-	(1,129,787)
Net deferred tax assets	-	-	-	-
Deferred tax liabilities:				
- property, plant and equipment	860,309	3,478,248	305,775	2,656,778
- provision for retirement benefits and others	297,351	191,642	-	-
	1,157,660	3,669,890	305,775	2,656,778
Offsetting	-	(1,129,787)	-	(1,129,787)
Net deferred tax assets	1,157,660	2,540,103	305,775	1,526,991

The deductible temporary difference and unutilised tax losses of the Group for which no deferred tax assets were recognised in the statements of financial position are as follows:

	Group	
	2018 RM	**2017 RM**
Deductible temporary differences	850,669	341,127
Unutilised tax losses	2,167,156	1,709,085
Unabsorbed capital allowance	3,016,283	732,406
	6,034,108	2,782,618
Deferred tax assets not recognised at 24% (2017: 24%)	1,448,186	667,828

25. Revenue

Breakdown of revenue recognised from contracts with customers is as follows:

	Group		Company	
	2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
Application solutions				
- Implementation fees	4,577,082	3,259,495	-	6,400
- Managed services	79,568,136	68,417,906	822,913	7,217,433
	84,145,218	71,677,401	822,913	7,223,833
Financial network services				
- Implementation fees	5,000	299,396	-	-
- Managed network services	22,460,854	23,933,313	131,638	258,616
	22,465,854	24,232,709	131,638	258,616
Equipment rental	1,506,528	1,374,885	-	-
	108,117,600	97,284,995	954,551	7,482,449
Geographical market				
Malaysia	39,521,657	42,505,522	954,551	7,482,449
Hong Kong	60,425,641	48,438,405	-	-
Others	8,170,302	6,341,068	-	-
	108,117,600	97,284,995	954,551	7,482,449
Timing of Revenue recognition				
At a point in time	108,117,600	97,284,995	954,551	7,482,449

26. Profit Before Taxation

Profit before taxation is derived after charging/(crediting):

	Group		Company	
	2018	**2017**	**2018**	**2017**
	RM	**RM**	**RM**	**RM**
Amortisation of intangible assets	4,164,539	3,834,322	658,140	2,531,985
Auditors' remuneration:				
- statutory audit	265,611	228,686	51,000	36,000
- under provision in prior years	15,000	8,840	15,000	3,000
- others	5,000	5,000	5,000	5,000
Depreciation of property, plant and equipment	5,896,706	6,254,107	994,726	1,069,117
Depreciation of investment properties	234,317	245,748	234,317	245,748
Directors' remuneration:				
- fees	444,230	382,032	444,230	382,032
- salaries and other emoluments	3,692,804	3,242,717	156,032	463,316
- defined contribution plan	(35,911)	137,868	9,660	46,765
Bad debts written off	-	9,935	-	-
Rental of premises	1,413,623	1,893,590	24,000	-
Foreign exchange (gain)/loss:				
- realised	(644,644)	(155,281)	(726,164)	(359,897)
- unrealised	379,850	(7,833,693)	494,363	(8,289,971)
Fair value change on financial assets at fair value through profit or loss	201,872	(1,067,767)	201,872	(1,067,767)
Interest expense	1,840,089	2,275,983	1,840,089	2,272,868
Impairment loss of trade receivables	754,587	-	-	-
Gain on disposal of property, plant and equipment	(29,120)	(14,000)	-	(14,000)
Property, plant and equipment written off	17,023	6,562	-	267
Provision for long service payments	356,626	328,742	-	-
Interest income	(698,936)	(2,591,896)	(514,620)	(2,378,810)
Dividend income	(1,943,567)	(565,358)	(51,932,900)	(11,498,704)
Rental income	(945,816)	(1,235,394)	(945,816)	(1,235,394)
Management fee:				
- related party	(60,000)	(60,000)	(60,000)	(60,000)
- subsidiary companies	-	-	(569,357)	(993,605)

27. Taxation

	Group		Company	
	2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
Current tax:				
- Current year provision	3,527,528	1,026,436	675,250	570,914
- Under/(Over) provision in prior years	4,464,498	(135,020)	2,730,167	6,094
	7,992,026	891,416	3,405,417	577,008
Deferred taxation:				
- Original and reversal of temporary differences	(1,522,668)	439,523	(1,252,156)	191,553
- Under provision in prior year	30,940	83,161	30,940	83,161
	(1,491,728)	522,684	(1,221,216)	274,714
Taxation for the financial year	6,500,298	1,414,100	2,184,201	851,722

Domestic income tax is calculated at the Malaysian statutory tax rate of 24% (2017: 24%) of the estimated assessable profit for the financial year. Taxation for other jurisdictions is calculated at the rates prevailing in the respective jurisdictions.

A reconciliation of income tax expense applicable to profit before taxation at the statutory income tax rate to income tax expense at the effective income tax rate of the Group and of the Company are as follows:

	Group		Company	
	2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
Profit before taxation	19,290,751	25,150,788	45,183,436	19,930,111
Taxation at statutory tax rate of 24% (2017: 24%)	4,629,780	6,036,189	10,844,025	4,783,227
Effect of different tax rates in other countries	(853,622)	(434,933)	-	-
Expenses not deductible for tax purposes	2,241,214	2,021,704	1,042,966	728,522
Tax incentive arising from pioneer status	(4,385,649)	(3,778,110)	-	-
Income not subject to tax	(455,269)	(2,926,782)	(12,463,897)	(4,749,282)
Deferred tax assets not recognised	828,476	509,593	-	-
Changes in deferred tax liabilities not recognised due to Pioneer Status	-	38,298	-	-
Under/(Over) provision of current taxation in prior year	4,464,428	(135,020)	2,730,167	6,094
Under provision of deferred taxation in prior year	30,940	83,161	30,940	83,161
Taxation for the financial year	6,500,298	1,414,100	2,184,201	851,722

28. Earnings Per Share

(a) Basic earnings per share

Basic earnings per share of the Group is calculated by dividing the consolidated profit attributable to owners of the Company by the weighted average number of ordinary shares of the Company in issue during the financial year.

	Group	
	2018	**2017**
Profit for the financial year attributable to the owners of the Company (RM)	13,155,890	23,977,502
Weighted number of ordinary shares issued	533,975,874	469,477,540
Basic earnings per share (sen)	2.46	5.11

(b) Diluted earnings per share

For the purposes of calculating diluted earnings per share, consolidated profit attributable to owners of the Company is divided by weighted average number of ordinary shares in issue during the financial year, adjusted for the dilutive effects of all potential ordinary shares.

	Group	
	2018	**2017**
Profit for the financial year attributable to the owners of the Company (RM)	13,155,890	23,977,502
Weighted number of ordinary shares issued	533,975,874	469,477,540
Adjusted for:		
Assumed exercise of Warrants at no consideration	-	37,456,773
	533,975,874	506,934,313
Diluted earnings per share (sen)	2.46	4.73

29. Dividends

	Group/Company	
	2018	**2017**
	RM	**RM**
First interim single tier dividend of 1 sen per ordinary share paid in respect of the financial year ended 31 December 2017	-	4,697,579
First interim single tier dividend of 3 sen per ordinary share paid in respect of the financial year ended 31 December 2018	15,785,461	-
Second interim single tier dividend of 1 sen per ordinary share paid in respect of the financial year ended 31 December 2018	5,626,880	-
	21,412,341	4,697,579

30. Staff Costs

		Group		Company	
		2018	**2017**	**2018**	**2017**
	Note	**RM**	**RM**	**RM**	**RM**
Salaries, bonus and other emoluments		25,079,827	22,735,555	2,107,859	5,213,985
Contribution to defined contribution plan and social security		2,095,355	1,868,749	252,790	595,056
Provision for long service payments		356,626	328,742	-	-
Total staff costs		27,531,808	24,933,046	2,360,649	5,809,041
Staff costs (excluding Directors) analysed as:					
- Charged to profit or loss		23,004,707	20,461,295	1,701,751	2,895,305
- Capitalised as intangible assets	7	4,527,101	4,471,751	658,898	2,913,736
Total staff costs		27,531,808	24,933,046	2,360,649	5,809,041

31. Reconciliation of Liabilities From Financing Activities

	Group		
	Finance lease liabilities RM	**Bridging and term loans RM**	**Total RM**
At 1 January 2017	12,706	3,695,470	3,708,176
Cash flows	(42,124)	73,694,595	73,652,471
Acquisition of a subsidiary	29,418	-	29,418
Foreign exchange movements	-	(8,004,509)	(8,004,509)
Total non-cash changes	29,418	(8,004,509)	(7,975,091)
At 31 December 2017	-	69,385,556	69,385,556
Cash flows	-	(40,095,001)	(40,095,001)
Foreign exchange movements	-	580,556	580,556
At 31 December 2018	-	29,871,111	29,871,111

	Company		
	Finance lease liabilities RM	**Bridging and term loans RM**	**Total RM**
At 1 January 2017	-	3,695,470	3,695,470
Cash flows	-	73,694,595	73,694,595
Foreign exchange movements	-	(8,004,509)	(8,004,509)
At 31 December 2017	-	69,385,556	69,385,556
Cash flows	-	(40,095,001)	(40,095,001)
Foreign exchange movements	-	580,556	580,556
At 31 December 2018	-	29,871,111	29,871,111

32. Segmental Information

(a) Business segment

The reportable segments of the Group derive their revenue primarily from the provision of design, programming, consultancy services and related services which are substantially within a single business segment.

Management has determined the operating segments based on the reports reviewed by the Board of Directors (Chief Operating Decision Maker). The Board of Directors considers the business from a geographical perspective.

The Group's operations by key operating companies are segmented into these main geographic segments: Malaysia, Hong Kong and others comprise of investment holding companies and other operating companies in other countries that contributed less than 10% of consolidated revenue.

	Malaysia RM	Hong Kong RM	Others RM	Eliminations RM	Total RM
2018					
Revenue					
Sales to external customers	39,521,657	60,425,641	8,170,302	-	108,117,600
Inter-segment sales	-	-	-	-	-
Total	39,521,657	60,425,641	8,170,302	-	5,809,041
Results					
EBITDA *	15,287,006	10,839,814	3,251,424	(215,023)	29,163,221
Amortisation of intangible assets	(4,063,610)	(100,929)	-	-	(4,164,539)
Depreciation of property, plant and equipment	(3,569,773)	(2,193,693)	(133,240)	-	(5,896,706)
Depreciation of investment properties	(234,317)	-	-	-	(234,317)
Dividend income	1,943,567	-	-	-	1,943,567
Finance income	685,232	6,918	6,786	-	698,936
Finance costs	(1,840,089)	-	-	-	(1,840,089)
Impairment loss on receivables	182,118	547,591	24,878	-	754,587
Share of associates' results	(207,658)	-	-	-	(207,658)
Unrealised foreign exchange (loss)/gain	(375,376)	8,190	1,203	(13,867)	(379,850)
Other non-cash items	(189,775)	(356,626)	-	-	(546,401)
Taxation	(4,022,808)	(2,048,578)	(428,912)	-	(6,500,298)
Segment profit/(loss) for the financial year	3,594,517	6,702,687	2,722,139	(228,890)	12,790,453
Non-current assets	66,235,205	60,231,184	303,905	-	126,770,294

*Earnings before interest, taxes, depreciation and amortisation (excluding other significant non-cash items).

32. Segmental Information (Continued)

(a) Business segment (continued)

	Malaysia RM	Hong Kong RM	Others RM	Eliminations RM	Total RM
2017					
Revenue					
Sales to external customers	42,505,522	48,438,405	6,341,068	-	97,284,995
Inter-segment sales	7,194,381	-	-	(7,194,381)	-
Total	49,699,903	48,438,405	6,341,068	(7,194,381)	97,284,995
Results					
EBITDA *	18,602,321	8,039,857	175,540	(784,245)	26,033,473
Amortisation of intangible assets	(3,750,132)	(84,190)	-	-	(3,834,322)
Depreciation of property, plant and equipment	(4,130,136)	(1,731,019)	(392,952)	-	(6,254,107)
Depreciation of investment properties	(245,748)	-	-	-	(245,748)
Dividend income	565,358	-	-	-	565,358
Finance income	2,578,717	13,179	-	-	2,591,896
Finance costs	(2,273,035)	(2,948)	-	-	(2,275,983)
Unrealised foreign exchange gain/(loss)	8,109,561	(300)	(13,503)	(262,065)	7,833,693
Other non-cash items	1,075,205	(328,742)	(9,935)	-	736,528
Taxation	(944,389)	(469,711)	-	-	(1,414,100)
Segment profit/(loss) for the financial year	19,587,722	5,436,126	(240,850)	(1,046,310)	23,736,688
Non-current assets	60,165,303	60,513,304	434,998	-	121,113,605

*Earnings before interest, taxes, depreciation and amortisation (excluding other significant non-cash items).

33. Capital Management

The primary objective of the Group's capital management is to maintain an adequate capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business.

The Group monitors capital using gearing ratio, which is total equity plus net debt. The Group's policy is to keep the lower gearing ratio. The Group includes within net debt, trade and other payables, bank borrowings less cash and bank balances.

	Group		Company	
	2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
Trade and other payables	21,901,088	16,926,352	6,674,572	1,506,434
Bank borrowings	29,871,111	69,385,556	29,871,111	69,385,556
Less: cash and cash equivalents	(101,917,228)	(97,364,787)	(71,946,774)	(53,720,322)
Net (liquidity)/debt	(50,145,029)	(11,052,879)	(35,401,091)	17,171,668
Total equity	248,350,104	189,803,625	262,838,392	174,989,253
Capital and net debt	198,205,075	178,750,746	227,437,301	192,160,921
Gearing ratio	N/A	N/A	N/A	N/A

The Group is required to maintain leverage ratio of not more than 2 times and debt service coverage ratio of more than 1.3 times as disclosed in Note 19 to the financial statements.

(i) Leverage ratio

	Group/Company	
	2018 RM	**2017 RM**
Term loan	29,871,111	37,862,302
EBITDA (Note 32)	29,163,221	26,033,473
Leverage ratio	1.02	1.45

33. Capital Management (Continued)

(ii) Debts service coverage ratio

	Group	
	2018	**2017**
	RM	**RM**
EBITDA (Note 32)	29,163,221	26,033,473
Adjustments:		
Changes in working capital	(8,923,174)	13,944,705
Net tax paid	(5,161,694)	(1,640,371)
Capital expenditure:		
- Computer software development costs	(4,527,101)	(4,471,751)
- Purchase of property, plant and equipment	(2,362,029)	(3,508,309)
	(20,973,998)	4,324,274
Free cash flows	8,247,463	30,357,747
Debts service (Undiscounted principal and interest repayment of term loan for the next 12 months)	10,046,315	10,061,701
Debts service coverage ratio	0.82	3.02

Notwithstanding that the Group the debts service coverage ratio requirements were not met, management has obtained an exemption from the respective bank which grant a one-time indulgence for the said breach with no impact to the facility.

34. Financial Instruments

The following table analyses the financial assets and finance liabilities of the Group and of the Company by the classes and categories of financial instrument to which they are assigned, and therefore by the measurement basis:

	Financial assets at fair value through profit or loss RM	Financial assets and liabilities at amortised cost RM	Total RM
2018			
Group			
Financial assets			
Trade and other receivables	-	15,824,096	15,824,096
Amount owing by related companies	-	409,397	409,397
Amount owing by an associate	-	681,008	681,008
Marketable securities	-	52,045,002	52,045,002
Financial assets at fair value through profit or loss	114,289	-	114,289
Cash and cash equivalents	-	101,917,228	101,917,228
	114,289	170,876,731	170,991,020
Financial liabilities			
Trade and other payables	-	21,901,088	21,901,088
Amount owing to related companies	-	24,542	24,542
Bank borrowings	-	29,871,111	29,871,111
	-	51,796,741	51,796,741
Company			
Financial assets			
Trade and other receivables	-	396,372	396,372
Amount owing by subsidiary companies	-	35,312,671	35,312,671
Amount owing by related companies	-	398,380	398,380
Amount owing by an associate	-	11,156	11,156
Marketable securities	-	52,038,023	52,038,023
Financial assets at fair value through profit or loss	114,289	-	114,289
Cash and cash equivalents	-	71,946,774	71,946,774
	114,289	160,103,376	160,217,665
Financial liabilities			
Trade and other payables	-	6,674,572	6,674,572
Bank borrowings	-	29,871,111	29,871,111
	-	36,545,683	36,545,683

34. Financial Instruments (Continued)

	Fair value through profit or loss RM	Loans and receivables/ other financial liabilities RM	Total RM
2017			
Group			
Financial assets			
Trade and other receivables	-	15,291,105	15,291,105
Amount owing by related companies	-	251,956	251,956
Amount owing by an associate	-	140,442	140,442
Marketable securities	-	43,942,563	43,942,563
Financial assets at fair value through profit or loss	316,161	-	316,161
Cash and cash equivalents	-	97,364,787	97,364,787
	316,161	156,990,853	157,307,014
Financial liabilities			
Trade and other payables	-	16,926,352	16,926,352
Amount owing to related companies	-	17,797	17,797
Amount owing to a corporate shareholder	-	1,228,500	1,228,500
Bank borrowings	-	69,385,556	69,385,556
	-	87,558,205	87,558,205
Company			
Financial assets			
Trade and other receivables	-	437,699	437,699
Amount owing by subsidiary companies	-	13,812,054	13,812,054
Amount owing by related companies	-	243,353	243,353
Amount owing by an associate	-	92,418	92,418
Marketable securities	-	38,711,059	38,711,059
Financial assets at fair value through profit or loss	316,161	-	316,161
Cash and cash equivalents	-	53,720,322	53,720,322
	316,161	107,016,905	107,333,066
Financial liabilities			
Trade and other payables	-	1,506,434	1,506,434
Amount owing to a subsidiary company	-	5,177,787	5,177,787
Bank borrowings	-	69,385,556	69,385,556
	-	76,069,777	76,069,777

34. Financial Instruments (Continued)

Financial risk management

The Group's financial risk management policy is to ensure that adequate financial resources are available for the development of the Group's operations whilst managing its financial risks, including credit risk, liquidity risk and market risk.

Credit risk

Credit risk is the risk of a financial loss to the Group if a counterparty of a financial asset fails to meet its contractual obligations. The Group's exposure to credit risk arises mainly from trade and other receivables, contract assets and intercompany receivables.

Management has a credit policy in place and the exposure to credit risk is monitored on an ongoing basis through the review of trade receivables and contract assets ageing. The Group monitors the results of the related parties regularly to safeguard credit risk on balance from intercompany receivables.

The maximum exposure to credit risk for the Group is the carrying amount of the financial assets shown in the statement of financial position.

The ageing analysis of the Group's and of the Company's trade receivables and contract assets is as follows:

	Group		Company	
	2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
Neither past due nor individually impaired	5,760,394	4,029,705	4,144	-
Past due but not individually impaired:				
- Past due less than 1 year	10,870,724	6,846,596	-	18,653
- Past due more than 1 year	105,475	1,131,592	-	199,443
	10,976,199	7,978,188	-	218,096
Individually impaired	1,036,825	71,032	-	-
	17,773,418	12,078,925	4,144	218,096

34. Financial Instruments (Continued)

Financial risk management (continued)

Credit risk (continued)

The Group's and the Company's trade receivables and contract assets of RM10,937,101 and Nil (2017: RM7,978,188 and RM218,096) respectively were past due but not individually impaired. These relate to a number of independent customers for whom there is no recent history of default.

The Group's and Company's trade receivables and contract assets of RM1,036,825 (2017: RM71,032) were individually impaired. The individually impaired receivables mainly relate to trade receivables, which are facing difficulties in cash flows. As at the end of the reporting date, the impairment loss for these receivables is RM1,036,825 (2017: RM71,032).

Movements on the Group's and the Company's loss allowance for impairment of trade receivables and contract assets are as follows:

	Trade receivables RM	Contract assets RM	Total RM
Group			
2018			
At 1 January	71,032	-	71,032
Effect of adoption of MFRS 9 (Note 37)	259,066	-	259,066
	330,098	-	330,098
Charge during the financial year	740,152	14,435	754,587
Exchange differences	26,781	673	27,454
At 31 December	1,097,031	15,108	1,112,139
Represented by:			
Individual impairment	1,036,825	-	1,036,825
Lifetime expected credit loss impairment	60,206	15,108	75,314
	1,097,031	15,108	1,112,139
2017			
At 1 January	-	-	-
Acquisition of a subsidiary company	78,062	-	78,062
Exchange differences	(7,030)	-	(7,030)
At 31 December	71,032	-	71,032
Represented by:			
Individual impairment	71,032	-	71,032

34. Financial Instruments (Continued)

Financial risk management (continued)

Liquidity risk (continued)

The table below summarises the maturity profile of the Group's and the Company's financial liabilities as at the end of the reporting period based on contractual undiscounted payments:

	Carrying amount RM	Contractual interest rate %	Contractual cash flow RM	On demand or within one year RM	One to five years RM	More than five years RM
2018						
Group						
Trade and other payables	21,901,088	-	21,901,088	21,901,088	-	-
Amount owing to related companies	24,542	-	24,542	24542	-	-
Term loan	29,871,111	3.57	31,310,664	10,046,315	21,264,349	-
	51,796,741		53,236,294	31,971,945	21,264,349	-
Company						
Trade and other payables	6,674,572	-	6,674,572	6,674,572	-	-
Term loan	29,871,111	3.57	31,310,664	10,046,315	21,264,349	-
	36,545,683		37,985,236	16,720,887	21,264,349	-
2017						
Group						
Trade and other payables	16,926,352	-	16,926,352	16,926,352	-	-
Amount owing to related companies	17,797	-	17,797	17,797	-	-
Amount owing to a corporate shareholder	1,228,500	-	1,228,500	1,228,500	-	-
Bridging loan	31,523,254	3.06 - 3.57	31,801,524	31,801,524	-	-
Term loan	37,862,302	3.23 - 3.56	40,633,196	10,061,701	30,571,495	-
	87,558,205		90,607,369	60,035,874	30,571,495	-
Company						
Trade and other payables	1,506,434	-	1,506,434	1,506,434	-	-
Amount owing to a subsidiary company	5,177,787	-	5,177,787	5,177,787	-	-
Bridging loan	31,523,254	3.06 - 3.57	31,801,524	31,801,524	-	-
Term loan	37,862,302	3.23 - 3.56	40,633,196	10,061,701	30,571,495	-
	76,069,777		79,118,941	48,547,446	30,571,495	-

34. Financial Instruments (Continued)

Financial risk management (continued)

Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and cash flow and fair value interest rate risk that may affect the Group's financial position and cash flows.

(a) Foreign currency exchange risk

The Group and the Company are exposed to foreign currency risk on sales and purchases that are denominated in a currency other than Ringgit Malaysia. The currency giving rise to this risk is primarily Singapore Dollar, United States Dollar, Australia Dollar, Indonesia Rupiah, Vietnamese Dong, Macau Patacca and Hong Kong Dollar. The Group and the Company monitor the foreign currency risks on an ongoing basis.

The net unhedged financial assets and financial liabilities of the Group and the Company that are not denominated in their functional currencies are as follows:

	Financial Assets/(Liabilities) Held in Non-Functional Currency						
Functional Currency	**Singapore Dollar RM**	**United States Dollar RM**	**Indonesia Rupiah RM**	**Vietnamese Dong RM**	**Hong Kong Dollar RM**	**Macau Patacca RM**	**Total RM**
2018							
Group							
Trade receivables	-	318,887	113,643	-	-	-	432,530
Cash and bank balances	9,114	4,713,608	-	-	45,472	482,524	5,250,718
Bank borrowings	-	(29,871,111)	-	-	-	-	(29,871,111)
Trade payables	-	(172,363)	-	-	-	-	(172,363)
	9,114	(25,010,979)	113,643	-	45,472	482,524	(24,360,226)
2017							
Trade receivables	-	1,580,413	51,427	-	-	-	1,631,840
Cash and bank balances	-	13,769,008	-	143,313	-	280,690	14,193,011
Bank borrowings	-	(69,385,556)	-	-	-	-	(69,385,556)
Trade payables	-	(333,132)	-	-	-	-	(333,132)
	-	(54,369,267)	51,427	143,313	-	280,690	(53,893,837)

34. Financial Instruments (Continued)

Financial risk management (continued)

Market risk (continued)

(a) Foreign currency exchange risk (continued)

	Financial Assets/(Liabilities) Held in Non-Functional Currency				
Functional Currency	**Singapore Dollar RM**	**United States Dollar RM**	**Australia Dollar RM**	**Hong Kong Dollar RM**	**Total RM**
Company					
2018					
Amount owing by subsidiary companies	7,506,514	11,156	292,834	29,834	7,840,338
Cash and bank balances	9,114	2,742,381	-	45,472	2,796,967
Trade payables		(149,905)	-	-	(149,905)
Bank borrowings	-	(29,871,111)	-	-	(29,871,111)
	7,515,628	(27,267,479)	292,834	75,306	(19,383,711)
2017					
Amount owing by/(to) subsidiary companies	5,854,486	-	316,634	(5,177,787)	993,333
Cash and bank balances	-	3,141,199	-	-	3,141,199
Trade payables	-	(146,682)	-	-	(146,682)
Bank borrowings	-	(69,385,556)	-	-	(69,385,556)
	5,854,486	(66,391,039)	316,634	(5,177,787)	(65,397,706)

34. Financial Instruments (Continued)

Financial risk management (continued)

Market risk (continued)

(a) Foreign currency exchange risk (continued)

Currency risk sensitivity analysis (continued)

The following table shows the sensitivity of the Group's and the Company's equity and loss net of tax to a reasonably possible change in the Singapore Dollar, United States Dollar, Indonesia Rupiah, Australian Dollar, Hong Kong Dollar, Vietnamese Dong and Macau Pataca exchange rates against the functional currency of the Company, with all other variables remain constant.

		Group Profit net of tax		Company Profit net of tax	
		2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
SGD/RM	-strengthened 5%	346	-	285,594	222,470
	-weakened 5%	(346)	-	(285,594)	(222,470)
USD/RM	-strengthened 5%	(950,417)	2,066,032	(1,036,164)	(2,522,859)
	-weakened 5%	950,417	(2,066,032)	1,036,164	2,522,859
IDR/RM	-strengthened 5%	4,318	1,954	-	-
	-weakened 5%	(4,318)	(1,954)	-	-
AUD/RM	-strengthened 5%	-	-	11,128	12,032
	-weakened 5%	-	-	(11,128)	(12,032)
HKD/RM	-strengthened 5%	1,728	-	2,862	(196,756)
	-weakened 5%	(1,728)	-	(2,862)	196,756
VND/RM	-strengthened 5%	-	5,446	-	-
	-weakened 5%	-	(5,446)	-	-
MP/RM	-strengthened 5%	18,336	10,666	-	-
	-weakened 5%	(18,336)	(10,666)	-	-

(b) Interest rate risk

The Group's and the Company's income and operating cash flows are substantially independent of changes in market interest rates. Interest rate exposure arises from the Group's and the Company's borrowings and deposits.

34. Financial Instruments (Continued)

Financial risk management (continued)

Market risk (continued)

(b) Interest rate risk (continued)

Exposure to interest rate risk

The interest rate profile of the Group's and the Company's significant interest-bearing financial instruments, based on carrying amounts as at the end of the financial year are as follows:

	Group/Company	
	2018	**2017**
	RM	**RM**
Fixed rate instruments		
Deposits with licensed banks	341,337	44,206,733
Floating rate instruments		
Bank borrowings	(29,871,111)	(69,385,556)

Interest rate risk sensitivity analysis

Since the Group's and the Company's fixed rate financial assets and liabilities are measured at amortised cost, possible changes in interest rates are not expected to have a significant impact on the Group's and the Company's profit or loss.

A change of 50 basis points ("bp") in floating interest rates at the end of the reporting period would have increase/(decrease) profit net of tax by the amounts shown below, assuming all other variables remain constant.

	Group/Company	
	2018	**2017**
	RM	**RM**
Profit net of tax		
50 bp increase	(113,510)	(263,655)
50 bp increase	113,510	263,655

34. Financial Instruments (Continued)

Fair value information

The carrying amounts of cash and cash equivalents, short term receivables and payables and short term borrowings reasonably approximate their fair values due to the relatively short term nature of these financial instruments.

The carrying amount of long term borrowings carried on the statement of financial position reasonably approximate fair value as it is a floating rate instrument that is re-priced to market interest rates on or near the reporting date.

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1: Quoted prices in active markets for identical assets or liabilities.
Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.
Level 3: Inputs for the asset or liability that is not based on observable market data.

The following table analyses the fair value hierarchy for financial instruments carried at fair value in the statement of financial position:

	2018 Level 1 Fair Value RM	2017 Level 1 Fair Value RM
Group/Company		
Financial assets		
Financial assets at fair value through profit or loss	114,289	316,161

35. Related Party Disclosures

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Company has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Company and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

(a) The significant related party transactions of the Group and the Company, other than key management personnel compensation, are as follows:

	Group	
	2018	**2017**
	RM	**RM**
Subcontract fee received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	-	(123,686)
Rental income received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	(54,000)	(54,000)
Management fees received/receivable from related company:		
- Netinfinium Solutions Sdn. Bhd.	(60,000)	(60,000)

	Company	
	2018	**2017**
	RM	**RM**
E-Broker fees received/receivables from subsidiary company:		
- N2N Global Solutions Sdn. Bhd.	-	(4,521,972)
Management fees received/receivable from subsidiary companies:		
- NGN Connection Sdn. Bhd.	(148,759)	(933,605)
- N2N Global Solutions Sdn. Bhd.	(282,488)	-
- N2N Connect Pte Ltd.	(78,110)	-
- Hermes Bos Sdn. Bhd.	(60,000)	(60,000)
Rental income received/receivable from subsidiary companies:		
- N2N Global Solutions Sdn. Bhd.	(193,698)	(193,698)
- NGN Connection Sdn. Bhd.	(108,000)	(108,000)
- Hermes Bos Sdn. Bhd.	(24,000)	(24,000)
Subcontractor fees received/receivable from subsidiary company:		
- Hermes Bos Sdn. Bhd.	-	(197,168)
Sale of intangible assets		
- N2N Global Solutions Sdn. Bhd.	(14,202,494)	-

35. Related Party Disclosures (Continued)

(b) Information regarding outstanding balances arising from related party transactions as at the end of the reporting period are disclosed in Notes 8, 11, 12 and 13 to the financial statements.

(c) Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly. The key management personnel include all the Directors of the Group, and certain members of senior management of the Group.

Information regarding the compensation of key management personnel is as follows:

	Group		Company	
	2018 RM	**2017 RM**	**2018 RM**	**2017 RM**
Short term employee benefits	5,503,999	5,522,119	825,636	1,396,175

36. Contingent Liability

On 7 November 2017, the Company received a writ of summons ("Writ") from SAKK Consulting, Inc ("SAKK") issued by High Court of Hong Kong. The Writ was later amended ("Amended Writ") on 22 January 2018. SAKK alleged in the Amended Writ that the Company entered into an engagement letter ("Engagement Letter") with SAKK on or before 1 December 2015 for the provision of merger and acquisition advisory services by SAKK to the Company. SAKK further alleged that, among others, the Company has failed to pay the success fee amounting to USD411,946 (equivalent to RM1,667,351), being the 2% of the Company's purchase consideration of USD20,597,300 of the acquisition of N2N-AFE (Hong Kong) Limited (formerly known as AFE Solutions Limited), and accordingly, breached the Engagement Letter.

SAKK claimed in the Amended Writ against the Company for the following:
(a) the sum of USD411,946 (equivalent to RM1,667,351);
(b) interest of 1% per month, or alternatively, pursuant to the applicable rule of the Hong Kong High Court;
(c) costs of the action on an indemnity basis; and
(d) any other relief.

On 8 August 2018, SAKK made a sanctioned offer to settle the whole of the SAKK Claim in Action, inclusive of interest, for the sum of USD220,000. The Sanctioned offer was not accepted by the Group within 28 days of the Sanctioned offer.

The Group and the Company is currently contesting the claim and the Directors is of the view that the Group and the Company has a good arguable case in respect of the claims and the said litigation would not have a material impact on the Group and the Company.

37. Changes in Accounting Policies

(a) Effect of adoption of MFRS 9

As disclosed in Note 2.1, the Group and the Company have adopted MFRS 9, which resulted in changes in accounting policies and adjustments to the financial position as follows:

Classification and measurement of financial assets

Until 31 December 2017, financial assets were classified in the following categories: financial assets at fair value through profit or loss ("FVTPL"), loans and receivables ("L&R"), held-to-maturity ("HTM"), and available-for-sale ("AFS") financial assets. Note 2.4(h)(A) sets out the details of accounting policies for classification and measurement of financial assets under MFRS 139.

From 1 January 2018, the new accounting policies for classification and measurement of financial assets under MFRS 9 are set out in Note 2.4(h)(B).

Classification of the Group's and of the Company's financial assets consisting of financial assets and liabilities at amortised cost and financial assets at fair value through proft or loss that have previously been classified as loans and receivables based on MFRS 139 are now classified as and continue to be measured at amortised cost after adoption of MFRS 9.

Impairment

Until 31 December 2017, impairment of loan and receivables and AFS financial assets is assessed based on the incurred loss model. Note 2.4(h)(A)(iii) set out the details of accounting policies for impairment of financial assets under MFRS 139.

From 1 January 2018, the Group and the Company apply the expected credit loss model to determine impairment on investment in debt instruments that are measured at amortised cost. The new accounting policies for impairment under MFRS 9 are set out in Note 2.4(h)(B)(iv).

The impact of the changes in accounting policies on the Group and the Company as at 1 January 2018 are as follows:

		Financial assets		
Group	**Note**	**FVTPL RM**	**Amortised cost* RM**	**Retained earnings RM**
Balance as at 31 December 2017 (based on MFRS 139)		316,161	158,446,722	38,562,649
Allowance for expected credit loss impairment of financial assets	(i)	-	(259,066)	(259,066)
Balance as at 1 January 2018 (after adoption of MFRS 9)		316,161	158,187,656	38,303,583

* Amortised cost category based on MFRS 139 includes financial assets classified under loan and receivables.

37. Changes in Accounting Policies (Continued)

(a) Effect of adoption of MFRS 9 (continued)

(i) Expected credit loss allowance for impairment of financial assets

The Group and the Company has financial assets that are subject to the expected credit loss impairment model under MFRS 9.

Trade receivables and contract assets

For all trade receivables and contract assets that do not contain significant financing components, the Group and the Company apply the MFRS 9 simplified approach which is to measure the loss allowance at an amount equal to lifetime expected credit losses at initial recognition and throughout its life. This resulted in the recognition of additional loss allowances for trade receivables and contract assets on 1 January 2018.

Amount owing by subsidiaries/related companies/corporate shareholder

Amount owing by subsidiaries, related companies and corporate shareholder that are repayable on demand and interest-free are classified as amortised cost in the Company's financial statements because the Company's business model is to hold and collect the contractual cash flows and those cash flows represent solely payments of principal and interest. The Company applied the general 3-stage approach when determining ECL for these amount owing by subsidiaries, related companies and corporate shareholder.

No additional loss allowance is recognised on these amount owing by subsidiaries, related companies and corporate shareholder upon adoption of MFRS 9 as all strategies indicate that the Company could fully recover the outstanding balance of the amount owing by subsidiaries.

38. Subsequent Events

(i) Bonus issue of Warrants

On 15 January 2019, the Group had completed the Bonus Issue of Warrants following the listing of and quotation for 140,089,954 Warrants on the ACE Market of Bursa Securities.

(ii) Acquisition of a wholly-owned subsidiary company

On 22 February 2019, the Company had acquired the entire equity interest in Asianext Sdn. Bhd. ("Asianext") comprising of 2 ordinary shares for a total cash consideration of RM2. Asianext is principally engaged in providing, operate and maintain a digital asset exchange and alternative trading system. The Acquisition is not expected to have any material effect on the earnings and net assets of the Group.

(iii) Memorandum of Understanding with SBI Holdings, Inc.

On 6 March 2019, the Company had entered into a Memorandum of Understanding ("MOU") with SBI Holdings, Inc. ("SBI") to set out the general understanding of Company and SBI's intended engagement in a joint venture in the Asia Pacific region.

38. Subsequent Events (Continued)

(iii) Memorandum of Understanding with SBI Holdings, Inc. (continued)

The Company and SBI wishes to jointly establish and operate a company that will become a holding company of operators of digital asset exchange for clients in the Asia Pacific region. Subject to further system, regulatory, legal, financial, accounting and tax, due diligence and consideration by the Company and SBI. The Company and SBI currently agree:

- to form a holding company to cover formation of digital exchanges for all Asia Pacific countries (other than Japan), that will result in both parties' holding equal shareholding in each digital exchange;
- to contribute each of their expertise and resources to cause the holding company and each of the operators in the respective Asia Pacific regions (other than Japan) to be successful;
- to enable N2N to invest in Global Max and to enable SBI to invest in Asianext.

N2N and SBI will create a team to agree on the details of the Joint Venture and enter into definitive agreements.

The terms of the MOU will continue until the earlier of execution of a legally binding definitive agreement on the matters related to the joint venture between N2N and SBI or the elapse of one year anniversary of the signing of the MOU.

39. Date of Authorisation for Issue

The financial statements of the Group and of the Company for the financial year ended 31 December 2018 were authorised for issue in accordance with a resolution of the Board of Directors dated 16 April 2019.

LIST OF PROPERTY
N2N CONNECT BERHAD

As at 31 December 2018

Postal Address	Approximate Age of Building	Tenure/ Date of Acquisition	Remaining Lease Period (Expiry of Lease)	Current Use	LandArea (SQ Feet)	Carrying Amount As at 31 December 2018 (RM'000)
Wisma N2N Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur	10 Years	Leasehold/ 3 June 2011	89 Years (16 August 2106)	Corporate Offices	54,059	32,996

ANALYSIS OF SHAREHOLDINGS

As at 29 March 2019
(based on Record of Depositors)

Type of Securities	:	Ordinary Shares
Total number of Shares issued	:	597,877,841 Ordinary Shares
Voting rights	:	One vote per Ordinary Share
No. of shareholders	:	2,282
Number of Treasury shares	:	37,517,900 Ordinary Shares

1. DISTRIBUTION SCHEDULE OF SHAREHOLDERS

No. of Holders	Holdings	Total Holdings	%
55	Less than 100	1,370	0.00
283	100 to 1,000	183,454	0.03
1,167	1,001 to 10,000	6,382,620	1.13
604	10,001 to 100,000	20,286,772	3.62
168	100,001 to less than 5% of issued shares	177,637,178	31.70
5	5% and above of issued shares	355,868,547	63.51
2,282		560,359,941	100.00

2. LIST OF THIRTY (30) LARGEST SECURITIES ACCOUNT HOLDERS

	Name	No. of Shares	Percentage (%)
1.	SBI Holdings, Inc.	102,879,831	18.36
2.	Cimsec Nominees (Asing) Sdn Bhd *Exempt An for CGS-CIMB Securities (Singapore) Pte. Ltd. (Retail Clients)*	101,384,621	18.09
3.	N2N Connect Holdings Sdn Bhd	91,622,095	16.35
4.	Cimsec Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	29,991,000	5.35
5.	Cimsec Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	29,991,000	5.35
6.	Wong Kok Ping	19,566,966	3.49
7.	Lai Su Ping	18,040,857	3.22
8.	Citigroup Nominees (Asing) Sdn Bhd *Exempt An for UBS Switzerland AG (Clients Assets)*	17,280,000	3.08
9.	Tiang Boon Hwa	15,803,426	2.82
10.	Chua Hock Ann	7,161,362	1.28
11.	Citigroup Nominees (Tempatan) Sdn Bhd *Employees Provident Fund Board*	6,986,500	1.25
12.	Maybank Securities Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Kuan Teck*	6,207,100	1.11
13.	Cimsec Nominees (Tempatan) Sdn Bhd *CIMB Bank for Goh Ching Chee (MY0605)*	5,000,000	0.89
14.	Tan Kuan Teck	4,118,900	0.74
15.	Chan See Wai	3,902,256	0.70

2. LIST OF THIRTY (30) LARGEST SECURITIES ACCOUNT HOLDERS (Continued)

	Name	No. of Shares	Percentage (%)
16.	Cimsec Nominees (Tempatan) Sdn Bhd *Exempt An for CGS-CIMB Securities (Singapore) Pte Ltd (Retail Clients)*	3,645,700	0.65
17.	CIMB Islamic Nominees (Tempatan) Sdn Bhd *CIMB Islamic Trustees Berhad – Kenanga Syariah Growth Fund*	3,394,300	0.61
18.	Amanahraya Trustees Berhad *PMB Shariah Growth Fund*	3,300,000	0.59
19.	Ming Khing Yih	2,450,900	0.44
20.	Lim Kok Tean	2,363,916	0.42
21.	Lai Sok Kun	2,299,200	0.41
22.	Chen Boon Chew	1,810,000	0.32
23.	Cimsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Yen Woon (Cyberjaya-CL)*	1,624,300	0.29
24.	Vivian Lea Si-Xiu	1,594,466	0.28
25.	Kenanga Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Gan Sem Yam*	1,355,700	0.24
26.	Loh Lan Jin @ Loh Luan Eng	1,354,000	0.24
27.	Cimsec Nominees (Tempatan) Sdn Bhd *CIMB Bank for Ng Ching Yun (MY2318)*	1,327,900	0.24
28.	CIMB Group Nominees (Tempatan) Sdn Bhd *CIMB Commerce Trustee Berhad – Kenanga Malaysian Inc Fund*	1,271,100	0.23
29.	Liew Kim Loong	1,200,200	0.21
30.	Tang Yim Heng	1,135,300	0.20
		490,062,896	87.45

3. LIST OF SUBSTANTIAL SHAREHOLDERS

	Name	No. of Shares (Direct)	Percentage (%)	No. of Shares (Indirect)	Percentage (%)
1.	SBI Holdings, Inc.	102,879,831	18.36	-	-
2.	N2N Connect Holdings Sdn Bhd	91,622,095	16.35	-	-
3.	SBI Japannext Co., Ltd	76,483,521	13.65	-	-
4.	Cimsec Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	29,991,000	5.35	29,991,000	5.35
5.	Cimsec Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	29,991,000	5.35	-	-
6.	Tiang Boon Hwa	17,421,033	3.11	109,662,952[(1)]	19.57
7.	Lai Su Ping	18,040,857	3.22	109,043,128[(2)]	19.46

4. DIRECTORS' INTEREST IN SHARES IN THE COMPANY AND ITS RELATED COMPANIES

	Name	No. of Shares (Direct)	Percentage (%)	No. of Shares (Indirect)	Percentage (%)
1.	Tiang Boon Hwa	17,421,033	3.11	109,662,952[(1)]	19.57
2.	Lai Su Ping	18,040,857	3.22	109,043,128[(2)]	19.46
3.	Dato' Tan Boon Leng	1,643,866	0.29	791,366[(3)]	0.14
4.	Goh Ching Chee	6,000,000	1.07	-	-
5.	Fathi Ridzuan Bin Ahmad Fauzi	4,000	0.00	-	-
6.	Akio Furuse	-	-	-	-
7.	Elaine Foong Sooi Jade	-	-	-	-
8.	Masashi Shindo	-	-	-	-

The above Directors by virtue of their shareholdings in the Company are also deemed interested in shares in the related corporations to the extent the Company has an interest.

NOTE:

(1) *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*

(2) *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*

(3) *Deemed interested by virtue of his spouse, Maggie Chong Mei Ling's interest, pursuant to Section 59 of the Companies Act 2016.*

ANALYSIS OF WARRANTHOLDINGS

As at 29 March 2019
(based on Record of Depositors)

Type of Securities	:	Warrant B
Total Warrant Issued and Not Exercised	:	140,089,954
Voting rights	:	The holders of the Warrants are not entitled to any voting rights or to participate in any distribution and/or offer of further securities in the Company until and unless such holder of the Warrants are issued with new N2N Shares arising from their exercise of the Warrants
No. of warrantholders	:	1,761
Exercise price	:	RM0.83
Expiry date	:	8 January 2024

1. DISTRIBUTION SCHEDULE OF WARRANTHOLDERS

No. of Holders	Holdings	Total Holdings	%
171	Less than 100	5,519	0.00
541	100 to 1,000	288,345	0.20
718	1,001 to 10,000	2,427,088	1.74
263	10,001 to 100,000	8,658,752	6.18
63	100,001 to less than 5% of issued warrants	39,893,115	28.48
5	5% and above of issued warrants	88,817,135	63.40
1,761		140,089,954	100.00

2. LIST OF THIRTY (30) LARGEST WARRANTS ACCOUNT HOLDERS

	Name	No. of Shares	Percentage (%)
1.	SBI Holdings, Inc.	28,521,757	20.36
2.	N2N Connect Holdings Sdn Bhd	22,905,523	16.35
3.	Cimsec Nominees (Asing) Sdn Bhd *Exempt An for CGS-CIMB Securities (Singapore) Pte. Ltd. (Retail Clients)*	22,394,355	15.99
4.	Cimsec Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	7,497,750	5.35
5.	Cimsec Nominees (Asing) Sdn Bhd *Pledged Securities Account for Quick Corp*	7,497,750	5.35
6.	Lai Su Ping	4,510,214	3.22
7.	Citigroup Nominees (Asing) Sdn Bhd *Exempt An for UBS Switzerland AG (Clients Assets)*	4,320,000	3.08
8.	Tiang Boon Hwa	3,950,856	2.82
9.	Wong Kok Ping	3,659,891	2.61
10.	Cimsec Nominees (Tempatan) Sdn Bhd *CIMB Bank for Goh Ching Chee (MY0605)*	2,000,000	1.43

2. LIST OF THIRTY (30) LARGEST WARRANTS ACCOUNT HOLDERS (Continued)

	Name	No. of Shares	Percentage (%)
11.	Maybank Securities Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Kuan Teck*	1,500,000	1.07
12.	Chua Hock Ann	1,490,340	1.06
13.	CIMB Islamic Nominees (Tempatan) Sdn Bhd *CIMB Islamic Trustees Berhad – Kenanga Syariah Growth Fund*	1,407,550	1.00
14.	Tan Kuan Teck	1,331,000	0.95
15.	Citigroup Nominees (Tempatan) Sdn Bhd *Employees Provident Fund Board*	1,217,650	0.87
16.	Chan See Wai	975,564	0.70
17.	Cimsec Nominees (Tempatan) Sdn Bhd *Exempt An for CGS-CIMB Securities (Singapore) Pte Ltd (Retail Clients)*	911,425	0.65
18.	Lai Sok Kun	621,000	0.44
19.	CIMB Group Nominees (Tempatan) Sdn Bhd *CIMB Commerce Trustee Berhad – Kenanga Malaysian Inc Fund*	620,850	0.44
20.	Ming Khing Yih	612,725	0.44
21.	Lim Kok Tean	590,979	0.42
22.	Tok Hum Yuan	450,300	0.32
23.	Cimsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Yen Woon (Cyberjaya-CL)*	406,075	0.29
24.	Vivian Lea Si-Xiu	398,616	0.28
25.	Teo Min Lynn	344,900	0.25
26.	Loh Lan Jin @ Loh Luan Eng	338,500	0.24
27.	Cimsec Nominees (Tempatan) Sdn Bhd *CIMB Bank for Ng Ching Yun (MY2318)*	331,975	0.24
28.	Lim Siew Hong	318,175	0.23
29.	Yap Pau Fang	315,000	0.22
30.	Liew Kim Loong	300,050	0.21
		121,740,770	86.88

3. DIRECTORS' INTEREST IN WARRANTS IN THE COMPANY

	Name	No. of Warrants (Direct)	Percentage (%)	No. of Warrants (Indirect)	Percentage (%)
1.	Tiang Boon Hwa	4,355,257	3.11	27,415,737[(1)]	19.57
2.	Lai Su Ping	4,510,214	3.22	27,260,780[(2)]	19.46
3.	Dato' Tan Boon Leng	410,966	0.29	197,841[(3)]	0.14
4.	Goh Ching Chee	2,250,000	1.61	-	-
5.	Fathi Ridzuan Bin Ahmad Fauzi	1,000	0.00	-	-
6.	Akio Furuse	-	-	-	-
7.	Elaine Foong Sooi Jade	-	-	-	-
8.	Masashi Shindo	-	-	-	-

NOTE:

(1) *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*

(2) *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 8 and 59 of the Companies Act 2016.*

(3) *Deemed interested by virtue of his spouse, Maggie Chong Mei Ling's interest, pursuant to Section 59 of the Companies Act 2016.*

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the Eighteenth Annual General Meeting of the Company will be held at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur on Wednesday, 12 June 2019 at 10:00 a.m. to transact the following business:

Agenda

Ordinary Business

1. To lay before the Meeting the Audited Financial Statements for the financial year ended 31 December 2018 and the Reports of the Directors and Auditors thereon.
Please refer to Notes (i).

2. To approve the payment of Directors' fees of RM436,527 for the financial year ended 31 December 2018 (2017: RM382,032). **(Ordinary Resolution 1)**

3. To approve the payment of Directors' fees of RM571,500 for the financial year ending 31 December 2019, to be made payable on monthly basis. **(Ordinary Resolution 2)**
Please refer to Notes (ii).

4. To approve the payment of Directors' benefits (excluding Directors' Fees) up to an amount of RM20,000 payable from 1 January 2019 until the next Annual General Meeting of the Company. **(Ordinary Resolution 3)**
Please refer to Notes (iii).

5. To re-elect the following Directors retiring in accordance with Clause 103(1) of the Company's Constitution:

   5.1 Ms Elaine Foong Sooi Jade **(Ordinary Resolution 4)**

   5.2 Mr Masashi Shindo **(Ordinary Resolution 5)**

6. To re-elect the following Director retiring in accordance with Clause 110 of the Company's Constitution:

   6.1 En. Fathi Ridzuan Bin Ahmad Fauzi **(Ordinary Resolution 6)**

7. To re-appoint Messrs Morison Anuarul Azizan Chew as Auditors of the Company and to authorise the Board of Directors to determine their remuneration. **(Ordinary Resolution 7)**

Special Business

8. To consider and if thought fit, to pass the following as an ordinary resolution:

AUTHORITY PURSUANT TO SECTIONS 75 AND 76 OF THE COMPANIES ACT 2016 **(Ordinary Resolution 8)**

"THAT, pursuant to Sections 75 and 76 of the Companies Act 2016 and subject to the approvals of the relevant government and/or regulatory authorities, where necessary, the Directors be and are hereby empowered to issue ordinary shares in the Company at any time until the conclusion of the next Annual General Meeting and upon such terms and conditions and for such purposes as the Directors may, in their absolute discretion, deem fit provided that the aggregate number of ordinary shares to be issued does not exceed 10% of the total issued share capital of the Company at the time of issue, and that the Directors be and are also empowered to obtain the approval of Bursa Malaysia Securities Berhad for the listing of and quotation for the additional shares so issued."

9. To consider and if thought fit, to pass the following as an ordinary resolution:

PROPOSED RENEWAL OF THE AUTHORITY FOR THE COMPANY TO PURCHASE UP TO TEN PERCENT (10%) OF ITS TOTAL NUMBER OF ISSUED SHARES ("PROPOSED SHARE BUY-BACK")

"THAT, subject to the Companies Act, 2016, the Constitution of the Company, the Listing Requirements of Bursa Malaysia Securities Berhad ("Bursa Securities") for the ACE Market ("ACE LR") and the approval of such relevant government and/or regulatory authorities where necessary, the Company be and is hereby authorised to purchase its own ordinary shares ("Shares") on the ACE Market of Bursa Securities ("Proposed Share Buy-Back") at any time, upon such terms and conditions as the Directors shall in their discretion deem fit and expedient in the best interest of the Company provided that:- **(Ordinary Resolution 9)**

(a) The aggregate number of Shares in the Company which may be purchased and/or held by the Company shall not exceed ten percent (10%) of the prevailing total number of issued shares of the Company at the time of purchase and the compliance with the public shareholding spread requirements as stipulated in Rule 8.02(1) of the ACE LR or such other requirements as may be determined by Bursa Securities from time to time;

(b) The maximum funds to be allocated by the Company for the purpose of purchasing the Shares shall not exceed the aggregate of the retained profit of the Company based on the latest Audited Financial Statements and/or the latest management accounts of the Company (where applicable) available at the time of purchase(s);

(c) The authority conferred by this resolution will commence after the passing of this ordinary resolution and will continue to be in force until:-

(i) the conclusion of the next Annual General Meeting ("AGM") at which time it shall lapse unless by ordinary resolution passed at the meeting, the authority is renewed, either unconditionally or subject to conditions; or
(ii) the expiration of the period within which the next AGM after that date is required by law to be held; or
(iii) revoked or varied by ordinary resolution passed by the shareholders of the Company in a general meeting;

whichever occurs first; and

(d) Upon the purchase by the Company of its own Shares, the Board of Directors of the Company ("Board") be and is hereby authorised to:-

(i) cancel all or part of the Shares purchased pursuant to the Proposed Share Buy-Back ("Purchased Shares"); and/or
(ii) retain all or part of the Purchased Shares as treasury shares; and/or
(iii) distribute the treasury shares as share dividends to the Company's shareholders for the time being; and/or
(iv) resell all or part of the treasury shares on Bursa Securities; and/or
(v) transfer all or part of the treasury shares for the purposes of or under an employees' share scheme; and/or
(vi) transfer all or part of the treasury shares as purchase consideration; and/or
(vii) sell, transfer or otherwise use the treasury shares for such other purposes as the Minister may by order prescribe.

AND THAT authority be and is hereby given to the Board to take all such steps as are necessary or expedient to implement, finalise and give full effect to the Proposed Share Buy-Back with full powers to assent to any conditions, modifications, revaluations, variations and/or amendments (if any) as may be required or imposed by the relevant authorities from time to time and to do all such acts and things as the Board may deem fit and expedient in the best interest of the Company."

10. To consider and if thought fit, to pass the following as an ordinary resolution:

RETENTION OF INDEPENDENT DIRECTOR

"That Dato' Tan Boon Leng who has served the Board for more than nine years be retained as Independent Non-Executive Director of the Company." **(Ordinary Resolution 10)**

11. To transact any other business of which due notice shall have been given.

FURTHER NOTICE IS HEREBY GIVEN THAT for the purpose of determining a member who shall be entitled to attend this Eighteenth Annual General Meeting, the Company shall be requesting Bursa Malaysia Depository Sdn. Bhd. ("Bursa Depository") in accordance with Clause 71 of the Company's Constitution and Section 34 (1) of the Securities Industry (Central Depositories) Act 1991 to issue a General Meeting Record of Depositors as at 4 June 2019. Only a depositor whose name appears on the Record of Depositors as at 4 June 2019 shall be entitled to attend the said meeting or appoint proxy/proxies to attend and/or vote on his behalf.

By order of the Board

HO MUN YEE (MAICSA 0877877)
TAM FONG YING (MAICSA 7007857)
Company Secretaries

Kuala Lumpur
30 April 2019

NOTES:

1. *A proxy may but need not be a member of the Company.*
2. *A member shall be entitled to appoint not more than two (2) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
3. *The instrument appointing a proxy must be deposited at the Company's Registered Office at 3rd Floor, No. 17 Jalan Ipoh Kecil, 50350 Kuala Lumpur not less than 48 hours before the time appointed for holding the Meeting or any adjournment thereof.*

Notes:

(i) The Audited Financial Statements are for discussion only as they do not require shareholders' approval pursuant to Section 340(1) of the Companies Act 2016. Hence this matter will not be put for voting.

(ii) The Company is seeking shareholders' approval for the payment of Directors' Fees for the financial year ending 31 December 2019 because moving forward the company wishes to seek shareholders' approval on a prospective basis instead of a retrospective basis. A prospective basis provides a forward looking approach to setting the remuneration of Directors and is expected to be more meaningful in reflecting the ongoing contributions of Directors to the Board. The proposed Directors' Fees for the current Directors are as follows:

Category	RM (per Director, per annum)
Executive Director	102,600
Chairman of Audit Committee	102,600
Non-Executive Director	87,900

(iii) The benefits payable to the Directors (excluding Directors' Fees) comprises meeting allowances. The estimated meeting allowances payable to the Directors from 1 January 2019 until the next Annual General Meeting are calculated based on the number of scheduled meetings for Board of Directors, Board Committees and general meetings of the Company.

EXPLANATORY NOTES ON SPECIAL BUSINESS

A. Authority pursuant to Sections 75 and 76 of the Companies Act 2016

The Ordinary Resolution, if passed, will give authority to the Directors of the Company, from the date of the above Annual General Meeting, to issue ordinary shares in the Company up to and not exceeding in total 10% of the issued capital of the Company at the time of issue. This authority, unless revoked or varied at a general meeting, will expire at the next Annual General Meeting.

Pursuant to the mandate granted to the Directors at the last Annual General Meeting held on 25 May 2018, the Company had issued 52,041,431 new ordinary shares at an issue price of RM1.25 per share to SBI Holdings Inc ("SBI"), via a private placement on 13 June 2018. The proceeds raised from the issue was RM65,051,788.75. The proceeds raised from the private placement are expected to be utilised by N2N and its subsidiaries for business alliances with SBI and its group of companies. N2N and SBI have been exploring various business alliance opportunities which may include acquisitions of strategic investments, strategic collaborations, joint ventures or alliances. However, discussions are still ongoing. Thus, the proceeds from the private placement have been deposited in an interest bearing 3.7% per annum pending its intended utilization.

The Renewed Mandate will provide flexibility to the Company for any possible fund raising activities, including but not limited to further placing of shares, for purpose of funding future investment project(s), working capital, acquisitions and/or such other applications that the Directors may in their absolute discretion deem fit.

B. Proposed Renewal of Authority To Buy-Back Shares

The Ordinary Resolution, if passed, will provide mandate for the Company to buy-back its own shares up to a limit of 10% of the prevailing total number of issued shares of the Company. Further explanatory notes on Ordinary Resolution 9 is set out in the Share Buy-Back Statement to Shareholders dated 30 April 2019 despatched together with the Annual Report.

C. Retention of Independent Director

The Board of Directors has vide the Nomination and Remuneration Committee conducted an assessment of independence on Dato' Tan Boon Leng who has served as an Independent Non-Executive Director for a cumulative term of more than nine years and recommended him to continue to act as an Independent Non-Executive Director based on the following justifications :

Justifications

a) He has met the independence guidelines as set out in Chapter 1 of the Bursa Malaysia Securities Berhad ACE Market Listing Requirements and is therefore able to give independent opinion to the Board;
b) Being director for more than nine years has enabled him to contribute positively during deliberations/discussions at meetings as he is familiar with the operations of the Company and possess knowledge of the Company's operations;
c) He has contributed sufficient time and exercised due care during his tenure as an Independent Non-Executive Director;
d) He has discharged his professional duties in good faith and also in the best interest of the Company and shareholders;
e) He has the calibre, qualifications, experiences and personal qualities to challenge management in an effective and constructive manner; and
f) He has never compromised on his independent judgement.

STATEMENT ACCOMPANYING THE NOTICE OF ANNUAL GENERAL MEETING

A. Further Details of the Directors who are standing for re-election as Directors

The details of the Directors who are standing for re-election at the Eighteenth Annual General Meeting are set out in the Directors' Profile of the Company's 2018 Annual Report. No individual other than the retiring Directors are seeking election as Directors at the Eighteenth Annual General Meeting.

The retiring Directors have been assessed by the Nomination and Remuneration Committee and the Board of Directors and are recommended for re-election at the Eighteenth Annual General Meeting.

B. Mandate for Issuance of Shares

Further details of the authority to Directors to issue ordinary shares in the Company pursuant to Sections 75 and 76 of the Companies Act, 2016 are as stated above in the Explanatory Notes on Special Business.

N2N CONNECT BERHAD

(523137-K)
(Incorporated in Malaysia)

PROXY FORM

CDS Account No. :		No. of Shares held :		Tel No :	

I/We, _____
(Full name in Block Letters and NRIC/Passport/Company No.)

of _____
(Address)

being a member(s) of N2N CONNECT BERHAD, hereby appoint

Full Name (in Block Letters) and address	NRIC/Passport No.	% of Shareholding

or failing him/her

Full Name (in Block Letters) and address	NRIC/Passport No.	% of Shareholding

or failing him/her, the CHAIRMAN OF THE MEETING, as my/our proxy, to vote for me/us and on my/our behalf at the Eighteenth Annual General Meeting of the Company to be held at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur on Wednesday, 12 June 2019 at 10:00 a.m. or at any adjournment thereof.

		FOR	AGAINST
Ordinary Resolution 1	Directors' fees for the year ended 31 December 2018		
Ordinary Resolution 2	Directors' fees for the year ending 31 December 2019		
Ordinary Resolution 3	Directors' benefits		
Ordinary Resolution 4	Re-election of Ms Elaine Foong Sooi Jade		
Ordinary Resolution 5	Re-election of Mr Masashi Shindo		
Ordinary Resolution 6	Re-election of En Fathi Ridzuan Bin Mohd Fauzi		
Ordinary Resolution 7	Re-appointment of Auditors		
Ordinary Resolution 8	Authority to issue shares pursuant to Sections 75 and 76		
Ordinary Resolution 9	Proposed Share Buy-Back		
Ordinary Resolution 10	Retention of Independent Director – Dato' Tan Boon Leng		

Subject to any voting instructions so given, the proxy will vote, or may abstain from voting on any resolution as he/she may think fit.

_____
Signature(s)/Common Seal of Shareholder

Dated this _____ day of _____ 2019

NOTES

1. *A proxy may but need not be a member of the Company.*
2. *A member shall be entitled to appoint not more than two (2) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
3. *The instrument appointing a proxy must be deposited at the Company's Registered Office at 3rd Floor, No. 17 Jalan Ipoh Kecil, 50350 Kuala Lumpur not less than 48 hours before the time appointed for holding the Meeting or any adjournment thereof.*

www.n2nconnect.com

N2N CONNECT BERHAD 523137-K

Wisma N2N, Level 9, Tower 2, Avenue 3
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MSC MALAYSIA
Status Company